

Welspun Living (WELSPUNLIV)

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"Welspun Living Limited
Post Earnings Conference Call"

October 25, 2023

ANALYST : MS. PRERNA JHUNJHUNWALA - ELARA SECURITIES
PRIVATE LIMITED

MANAGEMENT : MS. DIPALI GOENKA - MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER – WELSPUN LIVING
LIMITED
MR. SANJAY GUPTA – CHIEF FINANCIAL OFFICER –
WELSPUN LIVING LIMITED
MR. SALIL BAWA - HEAD, GROUP INVESTOR
RELATIONS – WELSPUN WORLD
Welspun Living Limited
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Page 2 of 15 Moderator: Ladies and gentlemen, good day and welcome to the Welspun Living 's Earnings Conference Call hosted by Elara Securities Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Prerna Jhunjunwala from Elara Securities Private Limited. Thank you and over to you Madam!

Prerna Jhunjunwala : Thank you Rohit. Good evening everyone. On behalf of Elara Securities Private Limited I would like to welcome you all to Q2 & H1 FY'24 post results conference call of Welspun Living Limited. Today we have with us the senior management of the company including Ms. Dipali Goenka, Managing Director & CEO; Mr. Sanjay Gupta, CFO and Mr. Salil Bawa, Head, Group Investor Relations. I would now like to hand over the call to Mr. Salil Bawa for his initial remarks post which we can start the Q&A session. Thank you and over to you Salil!

Salil Bawa : Thank you Prerna. Good afternoon to all of you. On behalf of Welspun Living erstwhile (Welspun India limited) I welcome all of you to the company's Q2 FY'24 earnings call. Along with me we have with us today Ms. Dipali Goenka, Managing Director & CEO and Mr. Sanjay Gupta, Chief Financial Officer. We hope you have had a chance to review the investor presentation that we filed with exchanges today. It is also available on our website during the discussion we may be making references to this presentation. Please do take a moment to review the Safe Harbor statement in our presentation. As usual we will start the forum with opening remarks by our leadership team and then we will open the floor for your questions. Once the call gets over should you have any further queries that remain unanswered post the earnings call please feel free to reach out to us. With that I would now like to hand over the floor to Ms. Dipali Goenka, Managing Director & CEO. Over to you Madam!

Dipali Goenka: Thank you Salil. Good afternoon everyone and thank you for taking the time to join us today for a Q2 FY'24 analyst call. I would like to share some perspectives on the operating highlights of a performance during the quarter under review after which Sanjay would share some highlights from our financial matrix.

Firstly as informed last quarter the process for change of a name Welspun Living limited is now complete. The move resonates with our intent to transform from a pure B2B to also a B2C oriented company. The new brand identity Welspun Living not only reflects the current business verticals but opportunity to grow in related areas as a complete Home Solutions provider. We are pleased to share that we have seen our revenues jump to an ever quarterly highest of ₹ 2,542 Crores growing by 19% Y-on-Y and 15% Q-on-Q. The upcoming holiday season in US has led to increased buying from all major retailers. Consequently we witnessed higher capacity utilization on the back of season rollouts at 80 to 90% for our terry to wels, bedsheets and rug units. We have also achieved highest EBITDA of ₹ 391 Crores in the last eight quarters clocking

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15.4% in Q2 growing 158% Y-on-Y and 15% Q-on-Q. Annualized ROCE has improved

Page 3 of 15 substantially to 14.6% from 5.7% last year. As per the OTEXA data India has gained back its market share in exports to US for the January to August 2023 period from both in T T from 40 to 45 and bed sheets from 51 to 58%. We are keeping a close watch on all the three Cs cotton, coal, container, as we know post-COVID commodities have remained dynamic. We have strengthened our internal governance to ensure that we are minimizing impact due to any untoward price volatility both in short-term and medium term. We continue to be cautiously optimistic of the operating performance for the remaining part of FY'24 though the global slowdown estimates and worries still persist we are committed towards meeting our directed revenue growth of 10% to 12% for the year and 15% EBITDA.

I would like to share some lights on the updates for major business segment starting with the export markets. Globally the growth has moderated to 2.6% in Q3 and 3.3% in 2022. USA is, however, a market showing resilience. The GDP in Q3 expected to expand at 4% despite banking crisis and rate hikes. US retail sales show resilience in Q3 it grew 3.8% Y-o-Y in September 2023, 0.7% MoM in September 2023. Inflation though has affected consumer purchasing power to some extent inflation is at 3.7% as compared to 3% last quarter. For the upcoming holiday season in US we have witnessed increased in flow of orders during the quarter. Export revenue for Welspun saw a growth of 22% Y-o-Y with innovation products growing at 67% Y-o-Y. Our deeper customer connect across major international retailers is reflected in the increased share of shells as compared to pre-pandemic levels both in bed and bath categories. The global economic scenario is expected to be volatile. The recent Israel-Palestine conflict it has added to the overall complexity though our direct impact is minimal but that it may potentially affect global economic sentiments, which is something we are keeping a close watch.

On closer home, the Indian Market has been resilient during the recent global turmoil with expected GDP growth of 6.5% and inflation at 5%; however, recently there has been volatility in inflation owing to huge price hikes and different essentials leading to a dampening of retail sentiments. In Q2 as in Q1 at retail level we have witnessed relatively lower footfalls and off-takes within the consumer, general merchandise and apparel space. In this time of inflation volatility the consumer is prioritizing essentials rather than discretionary products despite the transient challenges in the market. Welspun's domestic consumer business sales remain flat for Q2. Brand Welspun continues to strengthen its leadership position and is mostly widely distributed home textile brand in the country with presence in 600 plus towns and 15511 outlets up by 2246 in Q2, a reach not hitherto achieved by any home textile player in India. Brand SPACES has outgrown the category in modern trade channel emerging as a leading brand within the category and gaining market share. Despite the continuing investment in marketing and relatively weaker retail market sentiments the home textile consumer business continues with a streak of positive EBITDA in Q2. We remain committed to continued investments in our brands for improving brand visibility and salience, which shall be prominent in the upcoming festive season. With the consumer sentiments improving we expect B2C segment posting a good growth during the coming months. We remain committed towards our focus to build profitable business growth in a domestic consumer business.

Page 4 of 15 Our emerging business

es of domestic consumer business global brands, advanced textiles and flooring businesses grew 28% in Q2 Y-o-Y and 15% Q-on-Q. Our global brands include licensed brands like Martha Stewart, Creative CO/Lab and Disney and own brand Christy continued its upward trajectory and give 27% Y-o-Y. Licensed brands have given us an edge in US and European markets by opening up new avenues and total brand share of our sales has jumped up to 17% as compared to 12% in 2021.

In flooring business we have witnessed big ticket orders for soft flooring in UK with a bulk order inflow coming in from USA. In hard flooring in Q2 we have witnessed good order flow from US and Middle East markets and have made inroads into African markets. Overall our flooring plant reached a capacity utilization of 63% during the quarter with record revenues of ₹ 243 Crores growing by 52% Y-o-Y. EBITDA also continues to grow reaching 8.3% in Q2 on the back of increased revenues and better operating leverage. As shared in the last quarter as well we are witnessing a push towards the China +1 strategy in major global markets and with a focus on complete traceability of the supply chain. In order to capitalize on the market opportunities we are working on indigenization of a complete value chain.

On domestic market front in flooring we continue to see growth in commercial and institutional segments. We have executed one of the largest wall-to-wall order in India for Bharat Mandapam which hosted the recently concluded G20 Summit. Residential segment continues to pickup

traction in all our key markets.

The Advanced textile business witnessed a 15% growth Y-o-Y in Q2 FY'24. We have expanded into newer territories and customers despite large scale offloading by Chinese and Turkish competition. Welspun spunlace is now also approved for innovative medical applications which have opened newer avenues.

On the ESG front we are glad to inform that the Solar Power JV with CleanMax has started operations in Vapi. The 30 megawatt solar plant at Anjar is also nearing completion and shall be operational soon. We are also taking steps to further our agenda of renewable energy goals by 2030 through JVs to set up more solar and hybrid power plants. ESG is embedded in every aspect of operations at Welspun keeping us ahead of our peers globally in sustainable practices. With this I would now like to hand over to Sanjay who will take you through the financial highlights.

Thank you.

Sanjay Gupta : Thank you Dipali and greetings everyone. I will give a brief overview of financial numbers for Q2 FY'24 before we open for question and answer. During Q2 highest FY'24 we reported ever quarterly revenues of ₹2,542 Crores up 19% year-on-year and 15% quarter-on-quarter. For H1 of FY'24 revenue is at ₹4,754 Crores which is up 16% year-on-year. EBITDA margin for Q2 stood at 391 Crores that is 15.4% highest in last eight quarters is up by 158% year-on-year that is ₹829 basis points and 15% up quarter-on-quarter. For H1 FY'24 EBITDA is at ₹733 Crores, 15.4% is up by 125% year-on-year which is 751 basis points. Cotton being the major input cost has become relatively stable albeit at a new higher level. The consistent profitability reflects the work that the company has done across all operating areas, the cost rationalization, value engineering, Welspun Living Limited

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Page 5 of 15 developing new innovative products for winning new marketing programs from customers. Profit after tax after minority interest for the quarter is at ₹197 Crores vis-à-vis ₹9 Crores year-on-year and ₹162 Crores last quarter increased by more than 22 times year-on-year. For H1 PAT is at ₹358 Crores versus ₹31 Crores of H1 FY2023 up by almost 12 times. Consequently, our consolidated

EPS for Q2 stood at ₹2.4 per share as compared to ₹0.8 per share in Q2 of FY2023 and ₹1.66 per share in Q1. For H1 of 2024 EPS is Rs.3.70 as compared to Rs.0.31 of H1 in the previous year. On the forex front our average exchange realization for the US dollar during Q2 was 83.3 compared to 80.79 in the corresponding quarter last year. At the end of Q2 of FY'24 our net debt stood at ₹1,573 Crores, ₹425 Crores lower than ₹1998 Crores a year ago and ₹242 Crores lower than ₹1,815 Crores in Q1. It is slightly up by ₹40 Crores from March 31, 2023 due to slightly elevated working capital requirement. In first half of FY'24 we have spent ₹168 Crores towards capex majorly towards the setup of 30 megawatt solar power plant at our Anjar facility. We have a stated objective to be 100% renewable energy by the year 2030. In this direction we are pleased to share that the Board of Directors in their meeting held today has approved after due evaluation of various proposals presented an investment of ₹56.4 Crores in a special purpose vehicle for supply of 47 megawatt of renewable energy round-the-clock RERTC basis for Anjar operations which will make the company's Anjar unit about 80% renewable energy by 2026 and would be a significant step towards our journey to reach 100% RE by 2030. The company will hold about 27% equity share capital of SPV which will set up a 150 megawatt of solar plus wind plant to supply the said RERTC. This arrangement is at the most competitive rates to the company and is also appropriate from capital allocation point of view.

Coming to segmental results Q2 core business home textile revenue stood at ₹2,352 Crores versus ₹2,011 Crores in Q2 FY2023 up by 17% year-on-year and 15% quarter-on-quarter. For first half of 2024 revenue for core business was at ₹4,390 Crores up by 14% year-on-year. Q2 EBITDA home textile stood at ₹359 Crores at 15.3% as compared to 6.3% year-on-year and same as quarter-on-quarter. For H1 EBITDA for home textile stood at ₹672 Crores at 15.3% up by 756 basis points year-on-year. During Q2 of FY'24 revenue from flooring business was 243 Crores up by 52% year-on-year and 8% quarter-on-quarter, EBITDA is at ₹20 Crores that is 8.3%, which is the highest ever quarterly EBITDA for flooring as compared to 2.6% last year. For first half flooring revenue was 468 Crores which is also up 42% and EBITDA is at ₹38 which is also at 8.2 which is up 628 basis points year-on-year. With this I will leave the floor open for question and answer. Thank you.

Moderator : Thank you. We will now begin the question and answer session. The first question is from the line of Bhavin Chheda from Enam Holdings. Please go ahead.

Bhavin Chheda : Good afternoon Sir. Congrats on record results mainly on the topline front and very good performance on the flooring front, a few questions if I see the capacity utilization it has been increasing dramatically for the last two quarters and in September quarter bath linen has crossed 90, rugs and carpets 98 and bedsheets 81 so considering the current buoyancy in the US market should we expect second half to be at a similar level or what is the outlook?

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Page 6 of 15 Dipali Goenka : Thank you Bhavin for the question and the outlook we will say that we are cautiously optimistic and we are committed to the growth of around 10 to 12% on the topline and 15% EBITDA and the capacity utilization will be the same ; however , we might look at some kind of debottlenecking of a capacity so that is something we would be exploring as you go forward .

Bhavin Chheda: How much time this would take for debottle necking, you are mainly loo king on the bath linen side right ?

Dipali Goenka : So we would be exploring it , looking at the demand and there could be an opportunity for little investments that could be explored and that could be on the cards but

we are just exploring that

looking at th e prudence on ROC E and IRR.

Bhavin Chheda: Second on the flooring side you mentioned in the opening remark s there were some orders I think mostly from US or UK so were they one -off type of orders or they are going to continue going forward and we will see the sales momentum going up as well as margin sustaining, so the question was these were not short -term orders like only in the quarter the same run rate would continue going forward ?

Dipali Goenka : Yes, the run rate will continue in fact we are going to b e looking at kind of our capacities will be maintained at the same and it is al so on the back of the China +1 one strategy I think we are seeing an opportunity there , the whole traceability and being the most modern plant in this part of the world actually gives us that advantage and definitely that is something owing to that we will continue to see this kind of capacity utilization and orders and this is not one -off this will be consistent .

Bhavin Chheda: The last one on the balance sheet side , there were some receivables outstanding from government on the incentive part and the other how much has been received in the quarter and as on the closing balance sheet date how much receivables are pending now ?

Sanjay Gupta: So we have been consistently getting Bhavin the incentives due from the government and it is at the same level that we had in Q1 or Q4 of last year so there has not been any increase .

Bhavin Chheda: Thank you .

Moderator: Thank you . The next question is from the line of Tarang Agrawal from Old Bridge Asset Management . Please go ahead .

Tarang Agrawal : Good evening , couple of questions from my side one on the flooring and the second one on the domestic B2C textile business, so on the flooring business your unit realization seem ed to have fallen subs tantially what is driving this, is it a consci ous effort to gain market share, utilize the benefits of additional operating leverage so that is one and the second one on the domestic B2C business I am not sure but did I hear it correctly is this business b urning any cash on a quarterly basis that is number one and number two how are you managing the supply chain to sell your MBOs ?

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Page 7 of 15 Sanjay Gupta : So flooring business the UVR is a factor of many things so we have hard flooring , soft flooring and then within th at also there are various categories so it is a mixed change that we have been seen. There has been higher capacity utilization and higher sales, so of course there has been a mixed change and that might have impacted it slightly not to a large extent, so UVR is not an issue . On domestic B2C as Dipali mentioned we are into positive EBITDA so we are not burning cash, we are investing in marketing consistently each quarter about 9 % to 10% which we are continuing to do but we are not burning cash there .

Dipali Goenka : For the supply chain , for the MBOs, we have a distribution network that we have across the country and we have over 200 sales staffs that help the distributors to reach to the dealers, so that is the way we work with the M BO network. A long with t hat we have a technology support to reach out on the beat plan and the whole reach out plan as well, so from Kashmir to Kanyakumari from West to the East we have a complete n etwork plan and it is all supported by technology here Taran g.

Tarang Agrawal : Madam if I may you spoke about distributors what is the number of distributors right now which are helping M BOs?

Dipali Goenka : We have around 125 distributors here Tarang right now and they are growing stronger .

Tarang Agrawal : Just a follow up on the floori ng business , Sir you did mention that we have not seen a realization yet but if I look at the March 2023 quarter we were at about 1.5 million square meters which gave us about ■ 210 Crores

of revenue and if I look at September 2023 we are at about 2.8

million square meters and the revenues moved up from ■ 208 to ■ 240 Crores so that was the source of my question ?

Sanjay Gupta : So as I said mix has changed so in March 2 023 quarte r the mix was different and in this quarter the mix is different in terms of hard and soft tiles. We can give more details offline.

Tarang Agrawal : Sure I will do that. T hank you and all the best .

Moderator : Thank you. The next question is from the line of Biplab Debbarma from Antique Stock Broking . Please go ahead .

Biplab Debbarma : Good evening and congratulations on the excellent performance Madam. My first question is on FDA so how do you see the impact of UK FDA on home textile especially on Welspun India and typically what do you think from ratification of FDA to finally getting orders from UK typically how long will it take and do you see this UK FDA extending to EU FDA?

Dipali Goenka : I think UK FDA is a great opportunity and as you know UK contributes around 10% of the home textile demand and definitely this opportunity is going to be good for us in the terms of not only just towels but sheets and I think that is going to be a kind of a clear upside and when you talk about the orders kicking in it is a matter of when it kicks in and when the FDA is approved we will see a matter of 6 months when this starts coming in.

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Page 8 of 15 Biplab Debbarma : Do you see EU FDA following through or this two would be two different ball game altogether?

Dipali Goenka : It is not something that we see right now but I think UK is something that we are seeing and that is something is definitely kind of top on the cards and also it consumes the highest consumption after United States of America.

Biplab Debbarma : My second question is in the beginning you mentioned you maintain 11 -12% growth guidance now if I see the number operating revenues already ₹4,693 Crores and we are facing the second half we will do the same as first half then automatically the growth will be more than 15% if my calculation is correct, so are we seeing second half degrowth or if second half is better than first half then the growth should be operating revenue would be more than 15% am I missing something?

Dipali Goenka : No, I actually will still maintain the growth target that we are talking about 10 to 12% and the EBITDA of 15% let us looking at the kind of overall global scenarios here and you do not know with the kind of the Israel -Palestine conflicts and the other conflicts that are happening what comes on staring at our face but amidst all this kind of scenario that we are we are going to maintain what we have committed that is 10 % to 12% topline and 15% EBITDA.

Biplab Debbarma : The third thing is Madam if it does not have direct impact on Middle East war and if FDA comes through your capacity utilization is at elevated level and if we maintain the same kind of growth say 14 % - 15% let us be optimistic and say 14% -15% do you think we may have to put up incremental capex or what would be the key trigger when you will take that decision whether to increase capex and if it is to increase capex how will you increase capex your own or you use some subsidiaries or associates capex?

Dipali Goenka : There three things on this one is debottlenecking, second is also optimizing our ancillary network that we have near our factories, third is as we see the growth kicking in and the utilization kicking in over 95% we definitely feel that we are exploring capex but yes there is something that we are very, very clear about the prudence on IRR and the ROCE and if there are opportunities owing to the displacement of different countries across where India will hold a very good opportunity here so definitely that could be something on the cards we are definitely

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exploring that and we will look at the prudence of ROCE and IRR are here.

Biplab Debbarma : Thank you Madam .

Moderator : Thank you . The next question is from the line of Prathamesh Sawant from Axis Securities Limited . Please go ahead.

Prathamesh Sawant: Thank you . Congratulations on good set of numbers. My first question was with respect to the existing Australian FDA do we have any advantages from that and are we pursuing anything happening over there?

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Page 9 of 15 Dipali Goenka : Yes Australia has been a very interesting market , there two things that have worked for Australia

and India one is the FDA, the other is the relationship of Australia and China, so that actually has put India at an advantage and for Welspun of course we have seen an opportunity here not only in home textiles but in the retail segment but also in the hospitality segment and also in the flooring segment, so yes there is something which we see as an upside there .

Prathamesh Sawant: Do we have any demand traction or any leads over there working for us?

Dipali Goenka : Yes absolutely we have a retail relationship that we have, we have a hospitality relationships and the flooring relationships also that are there and Australia FDA will be an advantage and has been an opportunity for us and as well as India .

Prathamesh Sawant: Secondly Madam with the current flooring segment doing really well so just wanted to understand on the granularity of the US orders is it from like two or three big customers or it is more granular than that?

Dipali Goenka : It is a mix of all actually so the opportunities first of all the mix is hard flooring and soft flooring and it is a mix of the distributors and now also the retail channel that we are talking about and that is going to continue to evolve and also owing to the whole China opportunity we definitely see an upside here.

Prathamesh Sawant: My question was with respect to the current significant ramp up in the US export revenues especially in the flooring so was it particular to one or two big players or was it more granular ?

Dipali Goenka : Yes it is owing to not just one or two play players it is a mixed bag and it is more granular here, it is not just one or two who are contributing to this customer and also going forward there will be more newer customers adding to our kitty.

Prathamesh Sawant: Are we focusing B2C over there for flooring?

Dipali Goenka : No not yet. The B2C will not be something it will be purely B2B that we are going to be focusing and actually let us face it flooring is basically primarily a B2B kind of a segment.

Prathamesh Sawant: Lastly one last question from mind is your outlook on the cotton prices are we expecting any margins gross margins to remain stable over here?

Dipali Goenka : We are maintaining our margins that we have already spoken about and cotton prices that we are looking at where we are today we are going to be around 61, 62 000 and that is what we are looking at an outlook at the moment.

Prathamesh Sawant: Because there were talks meanwhile where the prices were climbing to 85000 so we are not experiencing that?

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Page 10 of 15 Dipali Goenka : No, not at all, not right now. We are seeing the weather has been a little incremental, there has been pink bollworms that we have seen but it is also the supply and the demand and we are looking at an outlook which is looking at around 61, 62000 .

Prathamesh Sawant: Thank you.

Sanjay Gupta: Also Prathamesh we have cotton in stock with us for next four months, we are keeping a close watch on the cotton prices , and we have systems in place to take steps necessary to ensure that we are not caught off guard on this so no worries on that front as of now.

Prathamesh Sawant: Sounds great Sir. Thank you

Moderator : Thank you . The next question is from the line of Iqbal Khan from Nuvama Wealth and Investment Limited . Please go ahead .

Iqbal Khan : Firstly congratulations for a very good set of results. Just one question I have on the export front I wanted to know how is your export mix between US and Europe obviously your large chunk of the export from these two countries just want to know the mix of it and also currently we are catering to Australia so Australia is also a part of the export mix so how would you divide your export mix in these three geographies?

Dipali Goenka : Let us face it here US still continues to be a bigger chunk and will be because USA consumes 34% of the global home textiles so for Welspun Living Limited it is around 70%. Now when we come to UK and Europe , we will say the next 20% will be from UK and Europe and UK consumes around 10% of the global consumption of home textiles . Australia, New Zealand and rest of the world will be say around 5 to 7%.

Iqbal Khan : Thank you very much.

Moderator : Thank you. The next question is from the line of Saket Kapoor from Kapoor and Company. Please go ahead.

Saket Kapoor : Thank you for this opportunity. May I ask what should be our net debt number for FY'24 what should be the closing number and currently what is our cost of fund?

Sanjay Gupta : We closed Q2 at ₹1,573 Crores, we have stated our objective to reach less than ₹1,000 Crores by FY'24 end and our cost of debt is currently in the range of 6.5%.

Saket Kapoor : In the cash flow we have found that ₹158 Crores is attributable towards government grant so how should this number shape up for the second half and what should be for the year as a whole what factors attribute to this number?

Sanjay Gupta : So it will remain in the same ballpark number that does not change much. For a year as a whole it will be closer to 300, 310 Crores.

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Page 11 of 15 Saket Kapoor : Is it the RoDTEP part Sir or any other category ?

Sanjay Gupta : It is RoDTEP and duty drawback.

Saket Kapoor : For the flooring segment we found that for the H1 our utilization levels have reached 63%..

Sanjay Gupta : Q2 is 63, H1 is about 54%, and overall year should be around 60%.

Saket Kapoor : What should be for the next financial year?

Sanjay Gupta : We will continue to grow our capacity utilization I can not give you a number at the moment but it will grow from here.

Saket Kapoor : One more point was mentioned for asset held for sale so if you could throw some more lights

what are those and when are we going to realize what should be the value?

Sanjay Gupta : We are moving more and more away from traditional energy and hence we are offloading those assets so we have sold our 12 megawatt power plant and we have sold our boiler for the plant so this will be done within this year because some approvals are required from the government whoever purchases it so those approvals are pending so once those approvals are in place we will effect the sales, so we have taken the Board approval.

Saket Kapoor : Madam in your opening remark and also to your reply to earlier participant you did mention about a cautious outlook but still maintaining the topline growth of 10% and with the EBITDA number that 15% so if you could just outline to us what are the factors that give you the confidence when we look at the US economy as a whole the inflationary trend, the yields at 5% the top of liquidity crunch so what are the key factors that are attributing to this growth and the continuity of the same if you could throw some more light?

Dipali Goenka : So here I think for us we have seen that the retail has been a little resilient here and also owing to a replenishment programs so for Welspun Living Limited our 70 to 75% businesses are replenishment businesses so that gives us the confidence

here and with the order portfolio that we have we will maintain a commitment that we have put across.

Saket Kapoor : So interest rate scenario remaining at say 5% or at higher level would not this lead to a dent in demand and going ahead that may lower the demand output for even for the replenishment segment, how this higher interest rate scenario going to affect the segment as a whole ?

Dipali Goenka : The challenges are there we have already seen the economy the way it is but I can just tell you for Welspun Living Limited the opportunities that we have seen is that we have worked very , very focused last year on getting the share of shells so whether it is in the terms of private label, in the terms of our licensed brand as well along with the kind of mix of the product whether it is towels , sheets, beddings and drugs so that is the opportunity that we have and also in the different channels of growth that we are talking about here, so whether it is a discounter so we see an Welspun Living Limited
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Page 12 of 15 opportunity here in that terms. To look at our topline growth of around 10 to 12% and EBITDA of 15%.

Saket Kapoor : Thank you Madam for the answer and it is really commendable on the set of numbers and the guidance which provided by the team and all the best and uh congratulations and Happy Diwali to the team .

Moderator : Thank you . The next question is from the line of Purna Jhunjhunwala from Elara Securities Private Limited . Please go ahead .

Purna Jhunjhunwala : Madam I wanted to understand the flooring business outlook with respect to markets especially in terms of exports and domestic and B2B domestic how things are shaping up and in the branded space how flooring business should shape up going forward, what is the kind of traction we are getting in this segment on the branded front as well?

Dipali Goenka : First of all when I look at the global landscape in the terms of private label and branded so America is going to be the private label one and when you talk about branded it is going to be the Middle East and India and it is primarily B2B. Now when I talk about USA the opportunity definitely is there and that again I will restate that looking at the opportunity that Welspun has it is one of the green facilities and one of the most modern plants this part of the world which actually is a great opportunity for us along with that the indigenization of the supply chain for Welspun will be a great criteria to get the businesses in America and the businesses will be a mix of soft and hard flooring and the whole traceability is something that Welspun has an advantage against the other countries which actually are challenged because of that . Now when I come to India, India is something that we are seeing a great opportunity in the terms of the B2B businesses that means more than the residential right now we are looking at the institutional and the hospitality segments that again is a great opportunity and we see that growth going forward as well and that is where it is at the moment.

Purna Jhunjhunwala : When do you think we have already reached a run rate of around 1000 Crores do we see this run rate reaching 1500 to 1600 Crores in the next two years?

Dipali Goenka : I will tell you one thing let us share this with you I think we have a great opportunity in this flooring business. Having said that the 1000 Crores is the first stop and then 1500 Crores and I think sky is the limit for this flooring business because I think India has a great opportunity towards growing this so yes definitely Purna we are exploring a very ambitious goal towards here which we will share when we need.

Purna Jhunjhunwala : In terms of festive season sales that we would have seen during e-commerce sale period and the Navaratri period any color that you are getting in domestic market , how home textile b

anded

demand is moving in India?

Dipali Goenka : I will tell you one thing here so till August and September the businesses they were running at a

very tepid space the charades were on and the interesting thing Perna a this time has happened the
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Page 13 of 15 Diwali is coming a month later usually we would say that the Q2 would actually have the sales because Diwali would have been in October right now this time the Diwali is 1 month later so now the sales have picked up and we are seeing the weekends now giving a growth of over 50% here so yes now the momentum has come in and the festive season has started kicking in. Earlier it was slow.

Perna Jhunjhunwala : This is helpful. Thank you. I will come back to the question queue.

Moderator : Thank you. The next question is from the line of Resham Jain from DSP Asset Managers. Please go ahead.

Resham Jain : I have just one question so if I look at the numbers historically it seems that the opex has been controlled quite well but if I look at the gross margin profile it used to be 50% plus minus, in good times it has gone above 50% as well, but now let us say last two quarters we are seeing your gross margin anywhere between 46, 47% which is 400 basis points lower than what you used to do before COVID, obviously it has improved compared to last year because last year had lot of challenges so how should one look at your gross margin profile going forward because 18, 20% used to be the gross margin profile earlier, there is a mix of kind of flooring also coming in but even if I adjust your gross margin or your overall EBITDA margin seems to be lower than what you used to do earlier?

Sanjay Gupta : You see more and more our emerging businesses are growing, so this is a blended margin of our home textile core business and the emerging business so as the emerging businesses will reach a certain size and profile the margin will of course increase, so currently they are giving lesser than the core home textile margin and hence the consolidated margin is coming lower, but as they start contributing more and more as we are seeing in flooring as well as in domestic this margin profile will go up.

Dipali Goenka : The home textile will maintain a number of around 17% 18%.

Resham Jain : Home textile business because it has a contribution from the domestic piece as well which I think it is in the building phase so probably margins must be lower there so if one looks at the export home textile business would the margin be similar to what you might be doing let us say three, four years back 18% to 20% range?

Sanjay Gupta : Almost in the same range so about 17% - 18% currently because as I said cotton is at an elevated level we had cotton at 40, 45 earlier now it is at 60, so of course if cotton at such an elevated level the margin on the denominator numerator basis it gets slightly affected but we are in the same ballpark.

Resham Jain : Understood. Thank you so much and all the best.

Moderator : Thank you. The next question is from the line of Nirav Savai from Abakus. Please go ahead.

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Page 14 of 15 Nirav Savai : Thanks for the opportunity. My question is regarding the flooring business so just wanted to understand what is the addressable market size which US has right now and when we look at the global supply chain how much China would be contributing in flooring part of it?

Sanjay Gupta : The total size of flooring in US is \$90 billion but our addressable market is about 10 billion out of that 10 billion China would have 50, 60% market share currently. We have just started so we are relatively smaller but we will continue to eat into the other shares and hence we are seeing that the market opportunity is very large.

Nirav Savai : Second question is when we look at cotton prices

the last 6 months they have come down so do

we see price cuts coming from customers negotiating lower prices for forward contracts?

Sanjay Gupta : No, the cotton price has remained now stable to some extent and prices with customers are also stable so on cotton basis there is no price change happening at the moment.

Nirav Savai : That is it from my side. Thank you very much.

Moderator : Thank you. The next question is from the line of Iqbal Khan from Nuvama Wealth and Investment Limited. Please go ahead.

Iqbal Khan : Thank you for allowing me for the second question. Just wanted to understand the sensitivity part current cotton price is around 61, 62000 so what is the fluctuation or what is the pricing where you take decision on the price cut or price hike and how does it impact your volume as well, so just wanted to understand sensitivity part of this?

Sanjay Gupta : Iqbal it is not a simple cut and dry so lot of discussion it keeps on happening with the customers and customers are also in the know of what is happening.

Dipali Goenka : Here I will tell you one thing Iqbal I think this is a very clear visibility the way we work with customers in collaboration and the cotton prices are absolutely visible to everybody here and that is what we work very closely with our customers so the cotton prices are around 61, 62000 and I think this is what we are seeing even going forward and there is a way that we work where we

constantly are in touch with our customers on a regular basis on anything in the commodities whatever it is.

Iqbal Khan : so with higher cotton prices the negotiation power of the customer increases and because of which there is some kind of price cuts that can take place and which can potentially impact your markets this is what I want to understand, what kind of negotiation takes place and to what extent the negotiation takes place?

Sanjay Gupta : We work in long-term basis with customers and customers also understand that what is the profitability, what is cost, what is cotton cost so we work as a partner and there is no undercutting by the customer so there is no chance of a margin loss because of this .

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Page 15 of 15 Iqbal Khan : Thank you so much.

Moderator : Thank you. This was the last question and I now hand the conference over to the management for closing comments .

Dipali Goeanka: Thank you everyone. It is heartening to see the fruits of our hard work reflected through the highest ever quarterly revenues and increased market shares in all our business verticals, home textile exports to US, flooring exports , domestic and advanced textiles. New and increased order flows from marquee retailers shows their trust and confidence in us which is further strengthened. Our global brands continue to give us an edge through innovative products and alliances. Flooring business has started pulling its rate slowly but steadily . Domestic business continues to scale newer peaks through cementing its leadership and reach, distribution and brand identity which augurs very well for opening of doors for high sustainable growth in market share . In ESG our commitment is unparalleled and a move towards achieving renewable energy targets by 2030 will further strengthen our leadership in this area. Along with substantial cost savings we continue to be cautiously optimistic on the back of the disturbed global economic sentiments that we are witnessing and are committed towards the revenue and profit guidance we have already provided for FY'24 . Welspun is also committed towards reaching a healthier sustainable ROCE to create substantial value for our stakeholders. Thank you for your continued interest in Welspun Living. For any other queries please feel free to connect with Salil and Sanjay .

Moderator: Thank you. On behalf of Elara Securities Private Limited

and that concludes the conference . Thank you for joining us. You may now disconnect your lines.

Note:

1. This is a transcription and may contain transcription errors. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy. Some minor editing may have been done for better readability.
2. Any of the statements made herein may be construed as opinions only and as of the date. We expressly disclaim any obligation or undertaking to release any update or revision to any of the views contained herein to reflect any changes in our expectations with regard to any change in events, conditions or circumstances on which any of these opinions might have been based upon

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(Formerly Known as Welspun India Limited)
“Q3 FY '24 Results Conference Call ”
January 31, 2024

MANAGEMENT : MS. DIPALI GOENKA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – WELSPUN LIVING
LIMITED

MR. SANJAY GUPTA – CHIEF FINANCIAL OFFICER –
WELSPUN LIVING LIMITED

MR. SALIL BAWA – HEAD, GROUP INVESTOR
RELATIONS – WELSPUN LIVING LIMITED

MODERATOR : MS. PRERNA JHUNJHUNWALA - ELARA SECURITIES .

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Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '24 Post -Results Conference Call of Welspun Living, hosted by Elara Securities. As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchstone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Perna Jhunjunwala from Elara Securities. Thank you, and over to you, ma'am.

Perna Jhunjunwala : Thank you, Michelle. Good evening, everyone. On behalf of Elara Securities, I would now like to welcome you all to Q3 and 9 -month FY '24 Post -Results Conference Call of Welspun Living Limited. Today, we have with us the senior management of the company, including Ms. Dipali Goenka, Managing Director and CEO; Mr. Sanjay Gupta, Chief Financial Officer; and Mr. Salil Bawa, Group Investor Relations Head.

I would now like to hand over the call to Mr. Salil Bawa for initial remarks, post which we can start the Q&A session. Thank you, and over to you, Salil.

Salil Bawa : Thank you, Perna. Good afternoon to all of you. On behalf of Welspun Living Limited, I welcome all of you to the company's Q3 and 9 -month FY '24 earnings call. As mentioned, along with me today, we have our Managing Director and CEO, Ms. Dipali Goenka; and Mr. Sanjay Gupta, the Chief Financial Officer.

We hope you have had a chance to review the investor presentation that we have filed with the exchanges today. It is also available on our website. During today's discussion, we may be making references to this presentation. Kindly take a moment to review the safe harbor statement in our presentation. As usual, we'll start the forum with opening remarks by our leadership team. And then we will open the floor for your questions. Once the call gets over, should you have any further queries that remain unanswered post the earnings call, please feel free to reach out to us. With that, I would now like to hand over the floor to Ms. Dipali Goenka, Managing Director and CEO. Over to you.

Dipali Goenka : Thank you, Salil. Good afternoon, everyone, and thank you for taking the time to join us today for our Q3 FY '24 analyst call. I would like to share some perspectives on the operating highlights of our performance during the quarter under review, after which Sanjay would share some highlights from our financial metrics.

We are pleased to share that the growth in revenues that we witnessed in the last 2 quarters continued in quarter 3 as well, and we clocked the highest-ever quarterly revenues of INR2,454 crores, growing by 29% year-on-year. The relatively better holiday season sales in U.S. have led to improved buying from major retailers. We continue to have sustained EBITDA achieving Welspun Living Limited
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INR382 crores, clocking 15.6% in Q3, growing at 67% Y-on-Y. Annualized ROCE has also improved substantially to 14.5% from 5.7% last year.

India continues to be the leading supplier of terry towels and bedsheets to USA and as per the OTEXA data, India strengthened its position and its market share in exports to U.S. for the April - November 2023 period, both in terry towels from 41% to 44%, and in bedsheets from 49% to 59%. In value terms, though the overall export to U.S. during this period saw a degrowth of 9% and 11% in terry towels and bedsheets. Welspun Living Limited, however, witnessed a growth of 14% and 30%, respectively, solidifying our leadership in U.S. exports further.

In geopolitical front, due to the Red Sea issues, we are seeing increased blank sailing of ships leading to enhanced turnaround time and hardening of container costs for U.S.

. East Coast and

Europe. We're keeping a close watch on this dynamic situation to ensure minimum disruption to the revenues and costs in Q4 and in the next financial year.

Consequently, we continue to be cautiously optimistic of the operating performance for Q4, we're committed towards meeting our directed revenue growth of 12 % for the year and 15% EBITDA and shall be top ping this guidance by achieving revenue growth around 15% in FY 2024.

I would like to shed some light on update for major business segments, starting with the export markets. U.S. GDP continue to strengthen in Q3 with a growth rate of 3.3%, much better than anticipated. Consumer inflation has fallen to 3.4% in December 2023 from a peak of 9.1% in June 2022, which was the highest inflation rate in U.S. since the early 19 80s.

Retail sales has also continued to show resilience in Q3, growing every month, witnessing a growth of 5.6% Y-on-Y in December '23. With a relatively good holiday season and consistent demand, we witnessed sustained inflow of orders during the quarter . Export revenues for Welspun saw a growth of 36% Y-on-Y. Despite global challenges, the Indian market remains resilient with an expected GDP growth rate of 7.3% and 5.6% inflation in Q3. However, the farm sector grew modestly at 1.2% and private spending close to 3.1%. This resulted in subdued retail sales remaining flat to slightly negative in Q3, especially in the discretionary categories due to inflation volatility, though the premium segments performed slightly better than expected during the festive season.

Despite the challenging market scenario, Welspun's Domestic Consumer business achieved its highest quarterly results in the festive Q3 of INR171 crores, up by 10% Y -o-Y and 20% Q -on-Q. Brand Welspun continues to strengthen its leadership position. And it's the most widely distributed home textile brand in the country with the presence in 600 -plus towns and 17,006 plus outlets up by 1,495 in Q3, a reach not hitherto achieved by any home textile player in India. Brand recall for Spaces & Welspun has jumped substantially to 80% from 72% and 50% from 40%, respectively for our target audience, thereby leading in Premium and Mass Home Textile category. Brand Welspun like -to-like productivity growth has witnessed a healthy 7% Y-on-Y growth in Q3, contributing to an overall growth of 16% Y-on-Y. Brand Spaces has outgrown the category in the modern trade channel, emerging as a leading brand within the category and Welspun Living Limited
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gaining market share. We have solidified our presence with 9 EBOs (FOFOs) added in Q3, leading to a total of 20 EBOs on a journey to 150 -plus EBOs by 2025.

The Home Textile Consumer business continued with its peak of positive EBITDA in Q3. We remain committed to continued investment in our brands for improving brand visibility and salience as well as our focus to build profitable business growth in the Domestic Consumer business.

Our emerging businesses of Domestic Consumer business, Global Brands, Advanced Textile and Flooring businesses grew 21% in Q3. Our licensed brands like Martha Stewart, Creative Col/lab and Disney continued its core journey and grew 29% Y-on-Y. Licensed brands have given us an edge in U.S. and European markets by opening up newer venues.

In Flooring businesses, we have witnessed big ticket orders from U.S.A., U.K. and Middle East. We have improved prominence through repeat orders in soft flooring with increasing demand

for printed wall -to-wall and carpet tiles in hospitality and commercial segments as well as value-added products in hard flooring.

On domestic market front, we continue to see growth in hospitality and residential segments in all our key markets. In order to capitalize on market opportunities, we are working on indigenization of a complete value chain. Overall, our flooring

plant reached a capacity

utilization of 60% during the quarter with highest ever quarterly revenues of INR246 crores growing by 46% Y-o-Y.

The Advanced Textile business witnessed a 39% growth Y-on-Y in Q3. We have increased the capacity utilization of our new Telangana facility to 65% during the quarter. We have seen the highest sales of spunlace during the quarter, while making inroads into the newer customers for needle punch. In wet wipes and sheet mask as well. We have developed new products for marquee customers.

In line with our growth strategy and getting into near complementing businesses, we are glad to inform that the company's Board has approved capital expenditure to set up additional jacquard towel facility in a brownfield investment of INR326 crores at the existing Anjar facility. It will increase our total towel capacity by 6,400 metric tons per annum to 96,400 metric tons per annum and will be operational by Q3 2024, 2025.

This augmentation in the capacity will help in expanding our range to fashion and beach towels and at the same time, benefiting from China Plus One opportunity. A full capacity utilization, it will have a revenue of INR400 crores per annum.

The Board has also approved an investment of US \$12.5 million, INR104 crores to set up a fully automated pillow manufacturing unit at Ohio, USA with a capacity of 6.7 million pillows and the same will be operational by Q2 2024, 2025. This shall help us in expanding our product basket and tapping into onshore opportunities nearer to our customers. It will give us an additional revenue of US \$50 million, INR415 crores at full capacity utilization. As per our

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prudent capital allocation policy, all these investments would give us an average ROCE in excess of 20%.

ESG is embedded in every aspect of operations at Welspun, keeping us ahead of our peers globally in sustainable practices. Welspun Living Limited, becoming a member of United Nations body, UNGC, United Nations Global Compact, promoting environment and socially conscious business practices is a step towards confirming the same. We also released our annual sustainability report, highlighting our performance in our focus areas for ESG fully audited and assured by one of the big 4.

We are glad to inform that the company has achieved the Best Managed Company Award 2023 from Deloitte, second year in a row. It's a testament to the strategic direction that the company has embarked upon for a sustained profitable growth and it reaffirms Welspun Living's continued focus on growth, innovation and business excellence with highest level of good governance practices.

With this, I would now like to hand over to Sanjay, who will take you through the financial highlights. Thank you.

Sanjay Gupta: Thank you, Dipali and greetings, everyone. I'll give a brief overview of the financial numbers for quarter 3 '24 before we open for Q&A.

During quarter 3, we reported revenues of INR2,454 crores, up 28.9% year-on-year. And for 9 months of financial year '24, revenues at INR7,208 crores, up by 19.7% year-on-year. EBITDA margin for quarter 3 stood at INR382 crores, that is 15.6%, up by 67% year-on-year, that is by 356 basis points. For 9 months of financial year '24, EBITDA at INR1,115 crores, that is a 15.5% margin, up by 101.3% year-on-year, that is 626 basis points.

The company has been able to maintain consistent profitability and it reflects the work that the company has done across all operating areas, be it higher orders leading to high capacity utilization or cost rationalisation or value engineering.

Profit after tax, after minorities for the quarter is at INR177 crores with only INR42 crores year-on-year, increasing by more than 4x. For 9 months of financial year '24, PAT is INR535 crores, which is INR73 crores last year, up by more than 7x. Cons

equently, our consolidated EPS for

quarter 3 stood at INR1.84 as compared to INR0.43 last year. For 9 months, it is INR5.54 as compared INR0.74 last year.

On the forex front, our average exchange realization for the US dollar during quarter 3 was INR83.80 as compared to INR79.80 in the corresponding quarter last year. At the end of quarter 3, net debt stood at INR1,542 crores, which is INR367 crores lower than INR1,909 crores a year

ago and lower by INR30 crores from last quarter. Slight inventory buildup in quarter 3 would be rationalized by quarter 4 and will bring down the net debt further by quarter 4 end.

Coming to segmental results. Quarter 3 core business Home Textile revenues stood INR2,251 crores versus INR1,758 crores in quarter 3 last year, up by 28.1% year-on-year. For 9 months financial year '24 revenue of core business stood at INR6,641 crores, up by 18.2% year-on-year.

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Quarter 3 EBITDA Home Textile stood at INR347 crores at 15.3% as compared to 11.7% last year. For 9 months, EBITDA from textile stood at INR1,019 crores at 15.3%, up by 635 basis points year-on-year.

During quarter 3 '24, revenues from Flooring business was INR246 crores, up by 46%, and EBITDA was at INR20 crores, which is 8.1% as compared to 1.8% last year. For 9 months, Flooring revenue is at INR714 crores, up by 44%. EBITDA was INR58 crores at a margin of 8.2%, up 628 basis points.

In 9 months financial year '24, we have spent INR230 crores towards capex, mainly towards a setup of 30-megawatt solar power plant at Anjar facility. As earlier mentioned by Dipali, the Board of Directors have in their meeting today, approved capex investment totalling to about INR430 crores to set up new towel capacity of 6,400 metric tons per annum at Anjar, and to set up a pillow manufacturing facility with a capacity of 6.7 million at Ohio, U.S.A. .

The projects should be financed 75% to term loans and 25% for internal approvals. Most of this capex would be incurred in financial year 2024-25. In line with our capital allocation policy, both this investment will give us average ROCE of more than 20%.

With this, I'll leave the floor open for question and answer. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. We'll take the first question from the line of Perna Jhunjhunwala from Elara Securities.

Perna Jhunjhunwala: Congratulations on a strong set of numbers. I just wanted to understand the demand scenario. How is it panning out in the US for the next 2 quarters, whether Red Sea attacks are having an impact on the order inflow or you're trying to pre-empt the orders for the company? So just wanted to understand how the customer's behavior in the current geopolitical situation?

Dipali Goenka: Thank you, Perna, and very interesting question. So first of all, I must tell you I have always maintained and we have at Welspun always maintained that USA is a resilient economy. And today, even if you look at it, quarter 4 is at 3.3% GDP growth. Inflation also remains about the same. Interest rates are steady at around 5.25%. You know the rates cuts are expected in 2024. So the markets in the holiday season have been up it grew by 3.8% Y-on-Y and the retailers are pretty confident about the other markets as we go forward as well.

However, the Red Sea definitely is an aberration, but I must say that there are opportunities and we are looking at the risk of mitigating the Red Sea. It might take the whole two to three weeks extra. So people are planning ahead and we are looking at innovative ways for mitigating the turnaround times as well now, Perna.

There are a lot of things that we are doing along with our customer partners as well. So overall and all, I must tell you about Red Sea that we'll be mitigating and make it minimal cost impact overall.

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Perna Jhunjhunwala: Okay. There is no rush from the retailers is what we are trying to understand too, because to mitigate this two-week delivery delay.

Dipali Goenka: So here, Perna, I must tell you, we are working very closely with our customers. We already know that we have our supply chain analysts who work in the geographies there. So we are looking at our warehouses where we can stock in USA as well and those are the opportunities we are looking at in pockets. So definitely, it will be a very need-based, curated according to the retailers' demand. But I just want to again maintain that the minimum impact of Red Sea will be there. So I just want to just put that forward to you.

Perna Jhunjhunwala: Okay. Understood, and ma'am, second question is on the domestic market. You mentioned that consumer discretionary demand has been weak and we witnessed this across product categories and other retail business as well. So does it change your target for near-term, mid-term, for growth in the domestic market?

Dipali Goenka: So Perna, let me give you a perspective of retail. First of all, we are not going to change any of

our targets because this is all kind of an interim blip. So the rural market has been very modestly grown at around 1.2% and our personal consumption is at around 3%. When you look at India's GDP, growth at around 7.3% that's come in with the kind of investments in energy sector, infrastructure that has actually contributed to that. But if I look at the consumer indexes, they have been a little low. However, the premium products have continued to be stronger here. But I can just tell you that this is all a blip and everybody will be looking at how the elections pan out and we will definitely see an upside. This could be absolutely a blip here and I can also maintain one thing here, Welspun's plan on the retail segment remains intact.

Perna Jhunjhunwala: Great, ma'am. Thank you for answering the questions. I'll come back to the question queue for any further questions.

Dipali Goenka: Thank you, Perna.

Moderator: Thank you. The next question is from the line of Monish Ghodke from HDFC AMC. Please go ahead.

Monish Ghodke: Hello. Thank you for the opportunity. So my first question is what would be our split between CIF and FOB contracts in Home Textiles?

Dipali Goenka: So yes, FOB is around 80% of our top line.

Monish Ghodke: Okay. So there won't be much impact of this Red Sea disruption in our freight costs, right?

Dipali Goenka: Absolutely, Monish. That's what I'm maintaining and the rest also we are looking at minimum mitigation and minimum impact on anything.

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Monish Ghodke: So the warehouses, which we have in the U.S., how does it work? Are those maintained for CIF orders? Or those are also FOB orders?

Dipali Goenka: So, they are maintained for the domestic orders, CIF, let me be very, very clear on that. So we have three warehouses and that helps to get our customers, service them better in any kind of aberrations as well.

Monish Ghodke: Okay. So what would be the typical freight cost in CIF contracts?

Sanjay Gupta: So it went down to about \$2,000, and it's currently, in open market, it's hovering at around \$5,000. But because of our contracts, we are not paying that much. So about \$2,000 to \$3,000 per container.

Monish Ghodke: Could you explain in percentage of sales terms?

Sanjay Gupta: It's about 1.5%.

Monish Ghodke: Okay. And sir, this inventory of 90 days, which we have in general, what is the breakup between RM and finished goods?

Sanjay Gupta: We don't give out that information, but it would be around any business, which has a breakup of RM and finished goods, we have the same breakup.

Monish Ghodke: Okay. And sir, this utilization ratio, so our

utilization for towel has improved, but the bedsheet

utilization appears weak. So is there any reason as to why bedsheets is yet to pick up?

Dipali Goenka: No, Monish, it is a reason for the market demand quarter-on-quarter. If I can say that this year, we'll end up as an 80% utilization for towels, 70% utilization for sheets and 60% for flooring.

So this is what we are looking at Monish.

Monish Ghodke: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Hemang from Anvil Research. Please go ahead.

Hemang Kotadia: Yes, ma'am. Earlier we were targeting to have a very low amount of capex for next one or two years, and we want to become debt free. So have we changed our stance or this investment in a one-off?

Dipali Goenka: Yes, sure. Over to you, Sanjay.

Sanjay Gupta: Yes, Hemang. Our target for being debt free in two years' time remains intact. These are strategic investments, which will help us in meeting our medium-term objectives that we have outlined for us for financial year '26. And hence, these are building up our product range and portfolio, which will help us in getting there.

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Dipali Goenka: So let me tell you, Hemang, we have one more thing here. Like this actually gives us an opportunity to improve our share of shelf with our fashion towels and our beach towels. And

along with that, this gives us a better UVR and also the China Plus One is an opportunity here too. So let me just say that.

With this, I must also share the prudence of ROCE has been maintained at 20% here. Now even whether that's for the pillow project that we have in America, that actually is closer to our customers' needs and it is a very big demand after towels and it's a great opportunity that we see.

Hemang Kotadia: Yes, that's great. And ma'am on the flooring side, are we on track, whatever the assumptions what we are having, we are delivering on that line?

Dipali Goenka: We continue to grow here. You must have seen our growth of flooring of, say, over 40% here, highest growth that you've seen in this quarter. So definitely, Hemang, that is on track and in fact, our EBITDA will be better from the next year onwards as we indigenize the supply chain and as we curate our businesses better and better going forward.

Hemang Kotadia: Okay. And flooring doesn't require any further capex?

Sanjay Gupta: General Capex may be required of INR50 crores to INR100 crores for balancing Equipment or maintenance, but no, nothing more than that.

Hemang Kotadia: And the last question, how much savings we will incur from the solar power plant what we had commenced in that 30 megawatt?

Sanjay Gupta: So 30-megawatt solar plant, solar power generally comes at a price of about INR4 to INR4.05 per unit against current price of INR8.5 for thermal plant. So about 50% savings.

Hemang Kotadia: Okay. That's great. All the best for the future.

Dipali Goenka: Thank you.

Moderator: Thank you. The next question is from the line of Biplab Debbarma from Antique Stock Broking. Please go ahead.

Biplab Debbarma: Good afternoon, ma'am. So my first question is on margins, decent set of margins. So if we assume the cotton price remains stable, like INR55,000 kind of price and the kind of price and assume that there is no escalation in freight cost, what kind of margin shall we see as capacity utilization goes up? I'm just trying to understand that can there be a headroom for margin to go upside from 15% to 20% in the next two, three years?

Sanjay Gupta: So we would maintain try to maintain our margin rate that we are currently doing, keeping in mind that cotton is remaining at the same level this year and next year. Other than that, we are not giving any guidance on a higher EBITDA or lower EBITDA. We'll try to maintain the EBITDA that we have currently.

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Dipali Goenka: You know that the global dynamics are still geopolitical scenarios continue to be there. So we want to maintain the numbers that we're committing here.

Biplab Debbarma: Second question is, because you have various subsegments in your business. You have advanced textile, domestic and export brand. So in terms of effectiveness, which kind of segments are you witnessing significant growth? Or you have a very optimistic outlook?

Dipali Goenka: Here, I can just tell you one thing, Biplab. Here, Welspun is working on getting the share of shelves around the globe. So if I can talk about licensed brands like Martha, the additional share of shelves, apart from towels and sheets get better. We're not only doing towels and sheets, we're doing bedding, utility bedding. We are doing flannel and when we talk about Disney in UK and Europe that gives us additional share of shelves with different retailers, so the opportunities are everywhere. For the domestic market, we already know that we are the highest distributed brand right now in the country and we know that the consumption and the amount of housing opportunities that we are seeing in this country are immense. So definitely, that again becomes a very big deal. When we are seeing our brand Christy, which makes the Wimbledon towels, which again is becoming a very important B2C play at a brand in UK and also now growing globally as well. So I can say that all of it is made according to the market needs.

Advanced Textile primarily is very commodity driven, but however, our brand is going to be launched in wet wipes in India as well and which will definitely be available for consumers as well.

Sanjay Gupta: So Biplab to continue with further, our all these emerging businesses, their share of total revenue is going up steadily, so we have reached about 32% - 33% and we are seeking to take them to 45% of our total revenue. So all these businesses will continue to grow in excess of 20% to 25% over the next 2 to 3 years.

Biplab Debbarma: My final question is on the capex that you announced. One is the brownfield and one in Ohio. From when you commence this capex?

Sanjay Gupta: So Ohio will be commenced by quarter 2 and Anjar by quarter 3.

Moderator: The next question is from the line of Sanika Khemani from Middleton Capital Advisors.

Sanika Khemani: Yes. If I'm not wrong, in the opening commentary, you have said that we are getting growth rate of 15% this year so you are targeting a growth rate of 15% ?

Sanjay Gupta: Correct.

Sanika Khemani: So that means you're going to see a degrowth on a quarter -on-quarter basis?

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Sanjay Gupta: No, no. So we have done about 19% until 9 months and we are giving a direction of minimum 15% growth by the end of the year. So there'll be no degrowth in the quarter.

Sanika Khemani: But we've grown 19% in 9 months, correct?

Sanjay Gupta: Yes. So we are not giving any direction for quarter 4, but we all say quarter 4 will not be a degrowth and for the year, will grow a minimum 15% plus.

Sanika Khemani: Okay and can we expect to continue this kind of momentum next year as well?

Sanjay Gupta: Next year, yes, we will continue this momentum, keeping all things constant.

Dipali Goenka: So we are looking at a commitment to be towards the INR15,000 crores in 2026, we maintain that number and we will continue to look at maintaining our commitments that we have given to the market.

Sanika Khemani: Okay and also just one last question. What kind of capacity utilization are we looking like for the Ohio and Anjar facilities in terms of new capacity which is coming pillow plant?

Sanjay Gupta: Yes. So any project, which ramps up. So it starts with about 50%, 60%, then we just say 70%, 80% then 90%. So similarly,

the ramp -up would happen in both these projects in a similar manner and we have given that at full capacity utilization, both these plants would give above INR400 crores turnover each.

Sanika Khemani: Yes and so I was actually trying to figure out when are we going to reach peak capacity utilization then?

Sanjay Gupta: I think it's the second year.

Dipali Goenka: Second year itself because these are all very thought through investments and they already are made with the commitments that we have around with our customer partners.

Sanika Khemani: Okay. So second year, basically, FY '26 or FY '27?

Sanjay Gupta: Yes, yes. FY '26.

Moderator: The next question is from the line of Iqbal Khan from Nuvama.

Iqbal Khan: So I just have one question, firstly congratulations for a very strong result. One question, you just mentioned that you're expecting a 15% Y-o-Y growth for the FY '24 and you mentioned that around INR15,000 crores is our target by 2026. So if I take this number in, it is translating into

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a CAGR of 27% over FY '24. So just wanted to understand what segment are you targeting to have so extended growth by FY '26?

Sanjay Gupta: So Iqbal, as I mentioned, so all our Emerging businesses of Flooring, Advanced Textile, Global Brands and Domestic business will continue to grow in excess of 25% over next 2 to 3 years and our Core business will continue to grow in double digit, if not higher. So all this will help us in reaching our target. We know and we acknowledge that it's a steep one, but we are setting up these projects that will help us in reaching there and we will make all the efforts to reach there.

Dipali Goenka: And these numbers like actually thought through, and we are maintaining this. There are opportunities for inorganic growth as well that will come our way in the terms of Brand, as a journey, from B2B to B2C is also already on. So yes, there are those opportunities that will also come and we'll continue to explore them as well.

Iqbal Khan: And just one more question. Can you please also provide your capex guidance for the next 2 to 3 years?

Sanjay Gupta: So for next year, we have already given the guidance. So INR430 crores plus another INR200 crores for maintenance and then from year after that INR200 crores each year.

Moderator: The next question is from the line of Prerna Jhunjunwala from Elara Securities.

Prerna Jhunjunwala: I wanted to understand this Ohio investment that you are planning with respect to the cost

structure against India and what kind of margin profile that facility would have?

Sanjay Gupta: So those are very detailed answers to this, so we can take it up offline. However, we have already mentioned that the ROCE for a project in excess of 20% and we will not get into any project which is not margin accretive. So you can take that it's a margin accretive as well as ROCE accretive.

Perna Jhunjhunwala: So it will be having better margin than normal Home Textile business.

Sanjay Gupta: Correct. Correct.

Perna Jhunjhunwala: Okay. Yes. Okay. And any cost advantage that India has against India?

Dipali Goenka: Perna, one thing I must tell you, this is a bulky product. So this gives us an opportunity to be near the market. Like here, we will be shipping air from here and those compressed pillow don't work in America. So this is something closer to and in just in time for our customers as well and that makes a huge advantage for us and as I said, the volumes are equivalent to towels.

Perna Jhunjhunwala: Okay. Okay.

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Sanjay Gupta: And it's a fully automated plant. So the number of people required to work is very less as compared to India.

Dipali Goenka: So it needs lesser people to work out these system is completely automated a

nd state-of-art plants

as well.

Perna Jhunjhunwala: This is helpful. The employee cost is not a concern and even logistic cost is beneficial. So it's mixed.

Dipali Goenka: Absolutely. Yes, that's kept in mind.

Perna Jhunjhunwala: Yes. Okay. And second question is on your cotton, how much of cotton inventory in terms of months you would have today?

Sanjay Gupta: So as per our policy of buying in the cotton season, we are continuing to do that and currently, we have in stock about six-plus months plus we have some forward position. So we are quite comfortable with that.

Moderator: The next question is from the line of Biplab Debbarma from Antique Stockbroking.

Biplab Debbarma: Sanjay sir, can you repeat the capex spend for FY25, FY26?

Sanjay Gupta: So next year, 2024-25 will be INR430 crores that we have just mentioned, plus about INR200 crores for maintenance, so about INR630 crores. Next year, after that will be INR200 crores to INR300 crores for maintenance.

Biplab Debbarma: Okay. This capex INR4.3 billion and INR2 billion plus INR2 billion in next year this capex would ensure your growth FY26 revenue of INR150 billion. Is that correct? Or you need to put more capex to achieve that revenue of INR150 billion by FY26?

Dipali Goenka: So Biplab, here, this is the opportunity for us to grow our brands. So while one aspect of your core business. We are looking at 2026, where our Emerging businesses will be around 45% of our portfolio. So you can imagine, and that's where the opportunity is going towards the consumer, So there is something, which could be complementing categories. So Biplab, we will keep that open. The number is intact and we are going to achieve it.

Biplab Debbarma: Okay. So FY26 number of INR150 billion that is what target? As of now, this is the capex spend and going forward, we will evaluate whether to do more capex or use ancillary facilities or other permutation and combination. Is my understanding correct?

Dipali Goenka: Absolutely.

Biplab Debbarma: Okay. Thank you, ma'am that's a strong growth guidance the re for the FY25...

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Dipali Goenka: Thank you.

Biplab Debbarma: All the best ma'am.

Dipali Goenka: Thank you.

Moderator: Thank you. We'll take the next question from the line of Perna Jhunjhunwala from Elara Securities. Please go ahead.

Perna Jhunjhunwala: Hi. Just one more question from my end. I saw some articles on launch of Christy in the US. Could you please highlight some of your plans related to Christy, where do you foresee the brand to reach and what all geographies you would like to cover, some insights would be helpful on

Christy.

Dipali Goenka: Thank you, Prerna. I must tell you that Christy has been growing quite positively even in these current markets and dynamics in UK It has been recognized as one of the great brands in U K as well. I must tell you that Middle East continues to grow by 25%. USA and Canada are the next stops that we're looking at, specifically first Canada, where we are looking at offline development, USA could be an online plan that we're looking at.

Then we are also looking at China, Japan and New Zealand and Australia and the opportunity that I see with Christy is also to be launching in India very soon because it also covers a luxury segment as we go forward next year.

Prerna Jhunjhunwala: That's fantastic. Thank you for this answer. This is helpful.

Dipali Goenka: Thank you. Thank you, Prerna.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I can now hand the conference over to Miss. Dipali Goenka, Managing Director and CEO, for her closing remarks.

Over to you, ma'am.

Dipali Goenka: Thank you, Michelle. So we are glad to see continued growth in all our businesses in quarter three, setting up new landmarks by reaching highest quarter three revenue

in home textiles and

highest ever revenues in Domestic and Flooring businesses leading to increased market shares in all areas of operations.

Our ability to provide solutions along with innovation and unmatched quality to our Marquee customers, reinstates our position of being the FMCG of textiles. We continue to have greater focus on the India markets with deeper penetration in retail segment through increased EBOs and MBOs and higher brand visibility of hence reinstating "Har Ghar Se Har Dil Tak Welspun." Domestic flooring is reaching new heights and overall Flooring business has continued its profitable growth during the quarter. Our robust strategy, sustainable growth and high levels of

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governance has resulted in us getting the best managed company award 2023, second in a row.

We also continue to set up higher standards in our ESG leadership with complete visibility of our practices through audited sustainability report.

Further, through our increase in a TT capacity and setting up a pillow plant in USA to enter into new product areas, we are also striving to reach our stated revenue objectives 2026 with consistent profitability to ensure a healthy ROCE to create substantial value for our stakeholders.

Thank you.

Moderator: Thank you, members of the management. On behalf of Elera Securities, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

Note:

1. This is a transcription and may contain transcription errors. The Company takes no responsibility of such errors, although an effort has

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"Q4 FY '24 Results Conference Call"
April 25, 2024

MANAGEMENT : MS. DIPALI GOENKA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – WELSPUN LIVING
LIMITED
MR. SANJAY GUPTA – CHIEF FINANCIAL OFFICER –
WELSPUN LIVING LIMITED
MR. SALIL BAWA – HEAD, GROUP IR – WELSPUN
LIVING LIMITED

MODERATOR : MR. BIPLAB DEBBARMA - ANTIQUE STOCK BROKING

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Moderator: Ladies and gentlemen, good day, and welcome to Welspun Living Q4 FY '24 Earnings Conference Call, hosted by Antique Stock Broking. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Biplob from Antique Stock Broking. Thank you, and over to you, sir.

Biplab Debbarma: Thank you, Steve. Good afternoon, everyone, and welcome to the Q4 FY '24 Earnings Call of Welspun Living Limited, hosted by Antique Stock Broking. Today, we have with us the management of the company represented by Ms. Dipali Goenka, Managing Director and CEO; Mr. Sanjay Gupta, CFO; and Mr. Salil Bawa, Head, Group IR. Without further ado, let me hand over the call to Ms. Goenka. Over to you, ma'am.

Dipali Goenka: Good afternoon, everyone, and it is indeed a pleasure having you joining us today for highlights for Q4 FY '24. I would like to share some highlights of our operating performance as well as some achievements during the quarter under review, after which Sanjay will share the highlights from our financial metrics.

At Welspun, we achieve excellence in every sphere of activities that we take on. In this direction, we are pleased to share that Welspun Living has been recognized and certified as a great place to work by GPTW Certification Agency and we have fared among the top 100 companies in India in all the parameters.

Welspun also saw one of the highest participation of employees among the corporates during the certification. We are also glad to inform that in Dow Jones Sustainability Index, DJSI rating done for 2023-24, WLL has secured a score of 66, which puts us among the top 3 percentile of the home textile companies globally. It reiterates the focus the company has in being a responsible and sustainable corporate in all sphere of its activities.

Exports of all our products globally as well as a reach in India has seen a definite uptick and tremendous growth due to our unwavering commitment in providing unparalleled quality, both in products as well as in services, which has helped us achieve our highest annual exports growing by 23% in FY '24. It is a great pleasure that I would like to inform you that the company has clocked its highest ever quarterly revenues of INR 2,617 crores in Q4 and its highest ever annual revenue of INR 9,825 crores, approximately \$1.2 billion, growing by 19% in Q4 and 20% in FY '24. All our businesses have contributed in this tremendous performance in global markets as well as in India, taking us closer to a vision of 'Har Ghar Se, Har Dil Tak Welspun'. We have continued to have sustained EBITDA, achieving INR400 crores, clocking 15.3% in Q4, growing at 25% year-on-year. ROCE has also improved substantially to 14.6% from 5.7% last year.

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Domestic. India continues to shine with an expected GDP growth of 8% in Q4 and inflation in March '24 is to ease to 4.8%, lowest in last 6 months. The retail sector demand, however, remained muted during Q4 through Jan to March 2024, mainly due to lower consumer spending, especially in discretionary categories. Our domestic retail business showed a lot of resilience despite subdued operation conditions in consumer markets in India, which continue to subsist in Q4 as well.

Our domestic business continued its upward trajectory with a 12% year-on-year growth in Q4, closing at its highest annual revenues of INR 571 crores, growing by 4% in FY '24 despite the challenging market conditions. Brand Welspun continues to strengthen its leadership position and

is a mostly widely distributed home textile brand in the country, with presence in 600-plus towns and 20,282-plus outlets, up by 3,276 in Q4 alone and plus 9,012 in FY '24, highest ever reach achieved by any home textile players in India.

Brand recall or Spaces in Welspun has jumped substantially to 80% from 72% and 50% from 40%, respectively, for our target audience, thereby leading in premium and mass home textile category. Brand Welspun growth has witnessed a healthy 15% Y-o-Y growth in Q4 and has grown to become a INR200 crores brand in FY '24. Brand Spaces has outgrown the category in modern trade channel, emerging as a leading brand within the category and gaining the market share. We have solidified a presence with 6 EBOs (FOFO's) added in Q4, leading to a total of 26 EBOs on a journey to reach 150-plus EBOs by FY '27. The Home Textile Consumer business continued investment in marketing to the tune of 10%. We remain committed to continued investments in our brands for improving brand visibility and salience as well as a focus to build profitable business growth in the domestic consumer business.

Core exports. U.S. retail sales continued the upward trend sequentially on a month-to-month basis in February '24 and March '24, growing by 0.9% and 0.7%, respectively, leading to strong buying by retailers. India continues to be the leading supplier of terry towels and bedsheets in United States of America and as for the OTEXA data, India strengthened its market share in exports to USA for the April 2023 to Feb 2024 period, both in TT from 42% to 43% and bed sheets from 50% to 59%. In value terms, though the overall export to US during this period saw a degrowth of 11% and 9% in TT and bed sheets due to input cost rationalization during FY '24, WLL, however, witnessed a growth of 11% and 40-plus percent, respectively, solidifying our leadership and US exports further.

Q4 also witnessed impacts on global trade and commerce due to the Red Sea issues, which has not only increased the voyage time to Europe and US East Coast from India but has also resulted in hardening of the container prices. With our major distribution presence in the US, we have been able to ensure minimum disruption in revenue. At the same time, our long-term relations with liners has seen us in good steps, leading us not to be too negatively impacted in costs as well. We continue to keep a close watch on this dynamic situation to ensure minimum disruption to the revenues and costs in the next financial year.

Emerging businesses. Our emerging business of domestic consumer business, Global Brand, Advanced Textiles and Flooring businesses, grew 26% in Q4 and 16% in FY '24 and continue Welspun Living Limited

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to contribute 33% of the total revenues of the company, up from 26% in 2022. Our license brands like Martha Stewart, Creative CO/Lab and Disney continue its growth journey and has given us an edge in US and European markets by not only opening up additional shelf space with our key retailers, but also in creating newer avenues. All our active licensed brands are growing at 40% in FY '24. Our own brands have also made good headway in global markets. Christy in UK, which has the reputation of being the inventor of terry towels, being the first towel for the Queen of England since 1857, with supplies the enviable Wimbledon towel has rechristened the brand look, feel and ethos, connecting more with its key target audience and increasing its footprint with more D2C initiatives across UK, US, Middle East and Asia Pac regions. Christy has grown by 21% in FY '24 and has a plan to grow at a CAGR of 29% in UK and other geographies to reach more than GBP 50 million by 2027 with a sustainable profit. Well Home, our own consumer brand in the United States of America, both in online and off-line, has taken up substantial

growth with a growth of more than 100% in FY '24. Overall, our Global Brands business has touched a revenue of \$140 million in FY '24, growing by 7% Y-on-Y and contributing 13% of total revenue.

Flooring. Flooring business continued to grow, reaching its highest ever annual revenue of INR 927 crores in FY '24, growing by 31% Y-on-Y. We are getting good traction in Australia, New Zealand and Middle East markets for both wall-to-wall and carpet tile. US continues to be upbeat

in wall-to-wall and carpet tile, and we look forward to a good start in Q1 FY '25 for soft flooring. High transit time and lack of vessels due to Red Sea situation created some roadblocks in Q4 in bringing in volume, especially in hard SPC. However, we have started getting good order projections for a regular SPC tiles as well as value-added products from large retailers and big-ticket distributors in USA as well as with a clear line of sight from Q1 FY '25. Quarterly revenues, hence, were slightly muted at INR 213 crores in Q4, growing by 2%. Flooring business, however, continues to be in high single-digit EBITDA reaching 8.6% in Q4 and 8.3% FY '24.

On domestic market front, we continue to see growth in hospitality and residential segments in all our key markets in India. Domestic flooring achieved its highest quarterly revenues growing 41% and yearly revenues growing 15%. In order to capitalize on market opportunities, we continue our work on making inputs an entire value chain more and more indigenized. Overall, our flooring plant reached a capacity utilization of 52% during the quarter and 56% during the year.

The Advanced Textile business witnessed a 31% growth Y-o-Y in Q4 and 23% in FY '24 to clock a revenue of INR521 crores despite the ongoing challenges due to Red Sea. Full year capacity utilization of the Telangana spun lace facility reached 53%. Our spunlace sales continue to be strong on all our key global markets in wet wipes. We have developed new products for marquee customers, including Welspun aloe vera wipes for institutional market and bagging new orders from a leading baby care brand.

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More and more focus globally is moving towards ESG practices of the corporate across the world and the companies are continually being evaluated on the basis of the sustainable and governance practices.

Welspun is at its forefront in the same, and we have become a beacon when it comes to doing businesses responsibly and sustainably. This was further corroborated by the latest rating from Dow Jones Sustainability Index at the score of 66, as already mentioned. We have invested a 30-megawatt solar plant in Anjar facility with a view of achieving available energy targets, and we are glad to share the same has become operational, which would meet about 15% of the power requirements at Anjar facility.

Overall, the global economic sentiment still seem to be muted, largely due to continuing skirmishes in Russia, Ukraine, Israel, Palestine and now Iran, with trade being impacted due to Red Sea issues. In USA, one of our key markets, although inflation rates have receded from the peak in June 2022, it has inched higher in March to 3.5% and prices remain significantly higher than pre-pandemic levels across various sectors. In view of the same, the expectation of the Fed rate cuts in 2024 might get pushed and a fewer rate cuts now expected.

Through stellar performance in all our businesses, core as well as emerging, we have been able to get a much higher than expected 20% growth in revenues in FY '24. We would continue to see growth. However, considering the current economic instability, we continue to be cautiously optimistic of the operating performances in FY '25.

With this, I would like to hand over to Sanjay, who will take over the financial highlights.

Sanjay Gupta: Thank you, Dipali, and greetings, everyone. I will give

a brief overview of the financial numbers

for quarter 4 before we open for question and answers.

We had informed that the Board had approved a team of amalgamation between various wholly owned subsidiaries with Welspun Living in its meeting held on July 23, 2023. The Hon'ble National Company Law Tribunal, NCLT Hyderabad Bench and NCLT Ahmedabad Bench have vide their orders dated March 12 and April 9, '24, respectively, have sanctioned a set scheme. The effect of the set scheme has been given in the account, with effect from appointed date, which was 1st of April 2023.

During quarter 4 of financial year '24, we reported revenues of INR 2,617 crores, up 19% year-on-year and for the financial year '24 revenues is at INR 9,825 crores, up by 20%. EBITDA margins for the quarter 4 stood at INR 400 crores, that is 15.3%, up 25% year-on-year, that is 71 basis points.

For financial year '24, EBITDA is at INR 1,515 crores at 15.4% margin, up by 73% year-on-year, that is 478 basis points. Profit after tax after minority interest for the quarter is at INR146 crores, vis-a-vis INR125 crores year-on-year, growing by 16% year-on-year. For financial year '24, PAT is at INR681 crores versus INR199 crores for financial year '23, up by more than 3.4x.

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Pursuant to the scheme of amalgamation and further reassessment of deferred cost assets of subsidiaries, the company has accounted for changes in current tax charges and deferred tax charges, thereby resulting into an effective tax rate of about 30% for financial year '24. Consolidated current tax charge in fact is 12.5% for financial year '25. This deferred tax charge is one-off adjustment and for FY 25, we estimate our consolidated effective tax to be around 26% to 27%.

Consequently, our consolidated EPS for quarter '4 stood at INR1.52 per share as compared to INR1.28 per share for quarter '4 of '23. For financial year '24, our EPS is at INR7.06 as compared to INR2.02 previous year. On the Forex front, our average exchange realization for the US dollar during quarter '4 was INR83.58 compared to INR80.48 in the corresponding quarter last year. For the full year financial year '24, it was INR83.28 compared to INR79.25 in financial year '23. Net debt stood slightly higher than our guidance at about INR1,354 crores, as at March '24, which is still lower by INR180 crores from INR1,534 crores reported a year ago due to increased working capital, including inventory of inputs including cotton and finished goods, at the end of financial '24, we saw our working capital slightly higher.

Coming to segmental results. Quarter '4 of financial year '24 core business of Home Textiles, revenue stood at INR 2,422 crores versus INR 2,017 crores in quarter '4, up by 20.1% year-on-year. For financial year '24, revenues of core business stood at INR 9,063 crores, up by 18.7% year-over-year. Quarter '4 EBITDA Home Textiles stood at INR 364 crores at 15% as compared to 14.5% last year.

For financial year '24, EBITDA for Home Textiles stood at INR1,383 crores at 15.3%, up by 480 basis points year-on-year. During quarter '4 of '24, revenue from Flooring business was INR 213 crores, up by 2.2% year-on-year. EBITDA was at INR 18 crores, that is 8.6% as compared to 4.2% year-on-year.

For financial year '24, Flooring revenue was at INR 927 crores, up by 31% and EBITDA was at INR 77 crores at a margin of 8.3%, up by 569 basis points.

In financial year '24, we spent INR275 crores towards capex, majorly towards set up of 30 - megawatt solar power plant at our Anjar facility, which has now been commissioned.

While the Board will be considering further distribution in subsequent meetings, the Board during its meeting held today on 25th April '24 has proposed a

10% dividend for financial year

'24, subject to approval in the Annual General Meeting.

Moving onto guidance for financial year '25. On the back of a strong performance of 20% growth in financial year '24 and our investment in new complementary products of fashion towels and pillows and proposed increased capacity utilization, the company is well set to achieve a further top line growth of 11% to 12% in financial year '25.

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Continuing from our sustainable EBITDA of 15.4% in financial year '24 with our continued drive towards cost optimization and improved efficiency, we believe we should be able to achieve annual EBITDA margin of 15% to 15.5% in financial year '25, growing by about 10% to 12%.

We had earlier informed on our capex investment of INR326 crores for a brownfield project in terry towel expansion in Anjar and INR104 crores for a new pillow facility at Ohio, USA and INR40 crores investment for transmission line for the new renewable energy facility being set up at Gujarat in our quarter three call.

In addition to above, we would be spending additional INR15 crores in terry towel project and an additional INR35 crores on transmission line during financial year '25. Apart from this, INR520 crores of capex in new facilities, the company is expected to spend an other INR 340 crores for balancing equipment, modernization of existing equipment and maintenance capex in order to get higher productivity and output from existing facilities in all its manufacturing locations, totalling to INR 860 crores of capex for financial year '25.

With the said capex plan and our stated objective of distributing at least 25% of that to our shareholders, we should be able to be within the net debt achievement same as financial year '24, that is INR1,350 crores to INR1,400 crores. We continue to remain focused on our strategic priorities and growth pillars which reflected on our long-term goal of sustainable growth and profitability while deleveraging our balance sheet.

With this, I will leave the floor open for question-and-answer. Thank you.

Moderator: Thank you very much. We will now begin with the question-and-answer session. The first question is from the line of Perna Jhunjhunwala from Elara Capital. Please go ahead. Perna,

Perna Jhunjhunwala: Congratulations on good set of numbers. Just wanted to understand the flooring growth rate of 2.2% this quarter, which is quite low as when compared to our expectations. So what happened

and how this will pan out over the next two quarters?

Dipali Goenka: Hi, Prerna. If you look at it, flooring business has actually clocked its highest revenue of around INR 927 crores this year. We have grown by 31%. But the thing here is that in the last quarter, because of the Red Sea issue, there were a little hiccups. Because see, in Home Textiles, around 80% of our businesses are FOB. Here, we are looking at CIS and that was the impact here. However, as we go forward in Q1, our numbers looked very intact and we are moving in the right manner in a committed way that we have committed on the top line and the numbers and a strategy that we are looking at, so this was a little hiccup that we saw in this quarter '4 because this was right at the peak of the Red Sea issue.

Prerna Jhunjunwala: Okay. So what kind of growth rate we can expect for the full year? I'm not getting into quarters because there can be some ups and down there as well.

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Sanjay Gupta: Hi, Prerna, so we have given a total overall growth of about 10% to 12% for the business. So whatever has been the breakup this year, you can consider the same kind of breakup for next year.

Prerna Jhunjunwala: Okay. Understood and in the domestic market, in the Flooring business, how is the traction going apart from the export market?

t? So what is happening in the domestic market in the Flooring business want to understand that itself.

Dipali Goenka: Yes. That's very, very important because that's going to be a growth forward. So domestic front, we continue to see growth in hospitality and residential segments in the key markets in India. So domestic flooring actually achieved its highest quarterly revenues growing 41% and yearly revenues growing 15% here. So I think I can tell you that India will be the key market, though it is a steady-state growth that we are going to be seeing here and this quarter, we actually, to your point, actually, clocked the highest revenue for the domestic market and it will be going bigger as we also capture the residential properties as well. We have reached around 2,500 AIDs as of now and that will, again, be growing 100% by the end of this year.

Prerna Jhunjunwala: Okay. The second question is on cotton inventory. What kind of cotton inventory are you holding at the end of the year? and do you think cotton prices can move back to INR55,000 or above INR65,000? Just trying to understand what should be the deduction in your opinion?

Dipali Goenka: So that's a valid point, Prerna. So first of all, we actually have covered until the beginning of the next cotton season, we are holding around six months of cotton until October '24 and as we look at cotton today, cotton prices look in the range of around INR59,000 to INR62,000 per candy. and as we are seeing the harvesting season being over, we will see a little hike coming in the end of June and July. But as the season comes in for cotton, it will mobilize. We feel that the cotton prices will remain around INR59,000 to INR60,000.

Prerna Jhunjunwala: Okay and our cost of cotton inventory should be lower than that or above that?

Dipali Goenka: Our costs will be around INR59,000.

Prerna Jhunjunwala: Okay. It will be around that only. Okay.

Dipali Goenka: Yes.

Prerna Jhunjunwala: Okay. Thank you, ma'am. All the best.

Dipali Goenka: Thank you. Thank you, Prerna.

Moderator: Thank you. The next question is from the line of Dhanan Bagrodia from ASK. Please go ahead.

Dhanan Bagrodia: Hi, ma'am. Just a quick question from my side. If the U.K. FDA would be signed, what would be the impact on our company in terms of numbers, quantifiable?

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Sanjay Gupta: So we are already present in U.K., as you are aware, with our own company and distribution capability, we are supplying in the top of the better and the best category, U.K. constitutes about 9% of the entire world share, and our business share is also about 9% to 10%.

Dipali Goenka: So I'll just say here something that, as Sanjay pointed out, we are in the better and the best already in these towels. The upside that we will see with the FDA comes in is with the bedding where Pakistan and Bangladesh dominates. So that definitely will be an interesting place to see because right now, we are playing in the better and the best even in the bedding as well and that is where I think we will be looking at a market share, because U.K. is definitely the second largest consumption economy after United States of America.

Dhanan Bagrodia: It would be tough to quantify such as if you have to quantify at the moment?

Dipali Goenka: Yes, we cannot quantify at the moment because it depends on the businesses opening up according to the demand. So it will be as in wait and watch when these things happen.

Dhanan Bagrodia: Okay, sure. Thank you.

Dipali Goenka: Thank you.

Moderator: Thank you. The next question is from the line of Vikas Jain from Equirus. Please go ahead.

Vikas Jain: Yes. Thank you for the opportunity and congrats for good set of numbers. First question is on the gross margin side, I believe the cotton prices have largely been on the stable side. So could you elaborate what will be the reason for the quarter-on-quarter dip in the gross margins?

Sanjay Gupta: Yes. Thanks, Vikas. So as you can see, the sales in every quarter, the mix changes and so this time, the mix has been such, that has impacted the overall gross margin by about 1%. But overall, our EBITDA margin has remained intact. So this mix changes keep on happening on quarter-to-quarter and but overall margin we maintain.

Vikas Jain: Okay. Secondly, I would want you reiterate the breakup of the capex that you mentioned for full year FY '25?

Sanjay Gupta: Yes. So our capex is for Anjar TT, It is at INR341 crores, For our pillow capacity at Ohio, it is INR104 crores. For our transmission line for RE is INR75 crores, and maintenance capex is INR340 crores, totalling to INR860 crores.

Vikas Jain: Okay. So while given the fact that and my rough estimate is that we'll be broadly generating an operating cash flow of similar amounts. So are we suggesting that the debt balance that we have at this point of time would relatively be on the same levels by the end of FY '25 as well?

Sanjay Gupta: In my opening remarks, I have alluded to this that we will remain at the same kind of net debt level, but the ROCE will be better because of the denominator effect, so we will be a higher yield ROCE percentage.

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Vikas Jain: Understood. Second, sir, for the flooring side, while our installed capacities that we just quoted versus the maximum capacity that we can reach that is around 27 million square meters. So any plans to improve from the current 18 to 27, given the fact that we are inching up on the utilization side?

Sanjay Gupta: So once we reach the nearer to 18 million square meter capacity utilization, we will then think about expanding it to that balance 27. We have on an average reached about 56% capacity utilization from that 18 million this year. Let's first reach about 80% - 85% which we'll do in the next 1.5 years to 2 years and then we will think about increasing the capacity.

Vikas Jain: Understood. Okay sir. Thank you so much I will join back the question queue.

Sanjay Gupta: Thank you Vikas.

Moderator: Thank you. The next question is from the line of Nilesh Jethani from Bank of India. Please go ahead.

Nilesh Jethani: Hi, good evening and thanks for the opportunity. My first question was on the advanced textiles. So when I see the Q-o-Q number there seems to be a small dip as far as the advanced textiles numbers are concerned. Just wanted to understand what would be the main reasons for it?

Sanjay Gupta: So, I don't see a dip. There has been a lower increase in the advanced textiles. Again, because the Red Sea issue and the buyers pushing that shipment slightly further, but we have seen an increasing trend in quarter 4 as well at about 1.2% and overall, we have increased by about 25% for the year and from quarter, it's looking great, good, so this should be it.

Dipali Goenka: Our demand will be robust here. It was just an aberration of the Red Sea that the people pushed it a little back.

Nilesh Jethani: So at the current capacity just wanted to understand what kind of potential revenue we can achieve in the advanced textiles piece?

Sanjay Gupta: So we have reached out 40% capacity utilization in Telangana. We are already at about 80% capacity utilization in Anjar. With the total capacity utilization 80% - 85% we should touch a revenue of about INR1,000 crores which should happen by in another 2 to 2.5 years' time.

Nilesh Jethani: My second question was largely on the global business, the innovation piece which you report on the PPT that has seen a sharp jump. Just wanted to understand overall export market perspective. One is, of course, the branded which is helping us drive higher growth, but in general what are we sensing on the ground level, the increased share

of space etc, which could be

one of the reason for driving growth, but how to look at the growth rate sustaining going forward, how to look at it?

Dipali Goenka: So, I'll just give you a little perspective here. So I think we are basically working on the quality of the share of shelf across. So it is not just a towel and a sheet that we sell in a private label, as you rightly pointed out our stake in the innovation grew by around over 67% this year. We

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actually are also looking at our licensed brands that grew, we have around USD140 million like Martha, and these business alone contributed around 13% to that top line. So when I talk about the share of shelf and the growth that you're talking about, if I look at the landscape across in America you have the mass retailers, you have the clubs, you have the discounters and the departmental stores and here, the discounters become a very key important aspect which are growing at the rate of around 10% to 15% at the moment in this kind of a steady state market as well. So with Welspun portfolio that we have about towel, sheet, bedding, rugs, carpets and now pillows. We are setting up our facility in America for pillows as well which actually has the same kind of a market of 2.6 billion in America as like the towel is so we actually are looking at that also growing very, very aggressively. So we feel very positive about the share of shelf and let's not forget the hospitality segment. That again is a very big market for us. Right now, we are at around USD80 million and we are taking it to the next USD100 million in the next 2 years.

Nilesh Jethani: Okay. Got it and on the B2B piece of home textiles, what's happening on that side, can you just give me some color on the growth rate. I believe last year a lot of growth products come via inventory filling also because during Christmas, etc, and that would have sustained, but how to look at this number, home Textile B2B piece going forward?

Dipali Goenka: So we actually have committed on a 10% to 12% growth next year as well actually and that is something that we will work towards and that's what we are very confident about. I mean this year has been the highest number in our quarter 4 number around INR 2,600 and we will take on the growth of annualized number of 10% here. So we are pretty confident on this and it will spread across all the categories. If I can say, towels we are the highest in the top line and also the rugs. So we have a lot of potential to grow in the bedding business which we are focusing on, not only sheet, but in fashion bedding, pillows and utility as well.

Nilesh Jethani: Got it. So the margins what we have reached in the home textile piece like give and take 15%, how should one look at the growth I believe towel and pillow are the two pieces of capex which we are coming in FY '25 and '26. But apart from that, how to look at the margin profile of the home textile business going forward?

Sanjay Gupta: So home textile business overall would give a margin of about 15% to 15.5% from the current year 15%. So we would, of course, be achieving slightly higher margin. If we break it up into only B2B business. So, B2B business is actually earning about 17% margin which will go up by another 0.5% to 17.5% and then there is the domestic business, the home textile includes the domestic business as well as other advanced textile business. So if overall 15% to 15.5%, exports B2B 17.5%.

Nilesh Jethani: Got it and the flooring business will see its own operating leverage playing out which will drive the growth over there?

Sanjay Gupta: Yes, which will be continuing to grow sequentially it will grow, yes.

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Nilesh Jethani: And one last question from my side. Sorry if I would have missed that, but you said the net debt

level would remain constant going forward also. I thought we had plans to reduce net debt. So can you please clarify it?

Sanjay Gupta: Yes. So this year, we couldn't achieve what we had advised for at about INR1,100 crores. So we touched about INR1,350 crores. That's because of increase in our investment in working capital.

Next year, because of higher capex, which will set the tone for higher growth in the near future, we are spending INR860 crores in capex. Despite that and despite the payouts that we are planning, we should be at the same net debt and we should touch a zero net debt by financial year '27.

Dipali Goenka: So I think I must just add on here, the opportunity for India is immense in the categories that China is displacing. So this is all also emerging to that and however, all said and done, our ROCE will maintain at the prudence of around 20% and in all these projects that we are setting up, that's the ROCE we are committing to.

Nilesh Jethani: Got it. It was helpful and thank you so much.

Moderator: Thank you. The next question is from the line of Bhavin Chheda from Enam Holdings.

Bhavin Chheda: Good Evening sir. Congrats on great numbers. Just on the guidance part, you're giving a 10% to 11% top line guidance, but if I'm trying to break this, flooring would be growing at much more, say, 20% - 25%. I think your Flooring business target for next year is INR1,300 - 1,400 crores or more than that. Then Home Textile is less growth rate becomes less than 8% and if I'm seeing this year's number, you had a very strong volume growth across towels, bedlinen, rugs. I think if you see the numbers, terry towel was 38% volume growth, bedlinen was 35% volume growth,

rugs was 45% volume growth. Even considering FY '23 last year was a decline and so the growth rate was much higher on a very lower base, but even if I try to compare on our FY '22 numbers, which were all -time high numbers on that number, your volume growth is still in double digits.

So what I failed to understand is in FY '25, we have capacity, but you are expecting a low single-digit volume growth, if I try to tally your guidance with the Home Textile volume growth.

Dipali Goenka: So we will maintain a growth of around 10% to 12%, and that will be overall on the bigger base that you see around INR9,800 crores that we closed this year and I must tell you that emerging businesses will continue to grow, they contributed around 34% to our top line, and that is the growth rate that we'll continue to see here. I think we are confident about this number, and we could better it and you know the business dynamics and the global dynamics that are prevailing. So we want to be cautiously optimistic and it's better to be cautiously optimistic and as you have seen this year as well, what we committed and what we've delivered. So we continue to delight you.

Bhavin Chheda: Yes, sure. So I understand you have given a conservative target, but the math itself says that, obviously, the growth numbers could be higher. Okay. Second question on the INR850 crores capex, what will be the maintenance capex number on that?

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Sanjay Gupta: About INR300 crores - 340 crores.

Bhavin Chheda: INR300 crores - 340 crores. Okay. And the third one in the balance sheet there were some receivables from the government and some subsidy receivable. What was that number as on 31st March, '24?

Sanjay Gupta: We don't give out those numbers separately. but it remains at the same level as last year.

Bhavin Chheda: Thank you.

Moderator: Thank you. The next question is from Siddharth Bhattacharya from Authum Investment & Infrastructure Limited. Please go ahead.

Siddharth Bhattacharya: So just a couple of questions on the Flooring business. So basically correct me if I'm wrong, but we are seeing operating leverage sort of pick up

now as more and more volumes get pushed

through, so just wanted to understand what could be the peak EBITDA margins in this? That is my first question and secondly, is there an additional margin that can be earned by ideal mix of products within the segment? And what is that?

Sanjay Gupta: So Siddharth, yes. The peak EBITDA margin, so we have told this earlier as well, so we should be at the company EBITDA range of 15% to 16% in Flooring at the best operating leverage and giving ideal mix, I mean, this is anybody's world. So I can't give you an ideal mix, but we are trying to reach the EBITDA level at the company level so that the overall EBITDA of the company goes up.

Siddharth Bhattacharya: Okay. So let me ask this differently, what is the highest margin product in your list of products for Flooring?

Sanjay Gupta: That is difficult to be given, Siddharth.

Siddharth Bhattacharya: Okay, got it. Thank you so much.

Moderator: That was the last question. As there are no further questions, I would now like to hand the conference over to Ms. Dipali Goenka for closing remarks. Thank you.

Dipali Goenka: The fabulous growth that we have been able to achieve in all our businesses in FY '24 is a result of a continued focus on excellence and becoming a benchmark for our customers in terms of unparalleled innovative and patented products, actionable insights and solutions we provide through our investments in technology and digitalization and a stellar services to a marquee customer. Our speed of innovation and that of meeting unmet needs of our consumers truly makes us an -- in FMCG of textiles. Added to that, our focus on B2C and D2C through our global brands like Christy, Wellhome, and Martha as well as domestic brands of Spaces and Welspun, has taken us much closer to a vision of 'Har Ghar Se, Har Dil Tak Welspun'. It's heartening to see our Flooring business flourishing with consistent growth and profitability. At Welspun Living Limited

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the same time, ESG is a way of life at Welspun and our focus on doing business sustainably and responsibly would continue unabated, be it in renewable energy, fresh zero water usage, reducing carbon footprint, diversity or an unparalleled governance practices. Our recent industry-leading score of 66 by DJSI reaffirms the leadership on ESG front. The certification by Great Place To Work, being among the top 100 corporates in all the key parameters is also a prestigious

achievement. We are committed towards our future growth targets for all our businesses and with sustained growth profitability, we would continue to achieve higher ROCE and ROE, thereby creating substantial value for our investors and stakeholders. Thank you for your continued interest in Welspun Living. For any further queries, please feel free to connect with Salil and Sanjaya.

Moderator: Thank you, ladies and gentlemen, on behalf of Antique Stockbroking, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Note:

1. This is a transcription and may contain transcription errors. The Company takes no responsibility of such errors, although an effort has

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"Welspun Living Limited Conference Call Q1 FY 2025
Earnings Conference Call "
July 25, 2024

MANAGEMENT : MS. DIPALI GOENKA – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER , WELSPUN LIVING LIMITED
MR. SANJAY GUPTA – CHIEF FINANCIAL OFFICER ,
WELSPUN LIVING LIMITED
MR. SALIL BAWA – HEAD (INVESTOR RELATIONS),
WELSPUN LIVING LIMITED
MODERATOR : MR. ASHUTOSH SOMANI – JM FINANCIAL

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Moderator: Ladies and gentlemen, good day and welcome to Welspun Living Limited Q1 FY '25 Earnings Conference Call, hosted by JM Financial.

As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal an operator by pressing the "*", then "0" on your touch tone phone. Please note that this conference is being recorded.

I will now hand the conference over to Mr. Ashutosh Somani. Thank you and over to you, sir.

Ashutosh Somani: Yes. Thanks, operator. And welcome everyone to the call. I will first thank Welspun Group for giving JM Financial the opportunity to host today's call. I will hand over the call now to Mr.

Salil Bawa, Head Investor Relations, Welspun Group, to introduce the management. Over to you, Salil.

Salil Bawa: Thank you very much, Ashutosh. Good morning to all of you. On behalf of Welspun Living Limited, I welcome all of you to the company's Q1 FY '25 earnings call.

Along with me we have with us today Ms. Dipali Goenka – Managing Director and CEO, I have Mr. Sanjay Gupta – Chief Financial Officer.

We hope you have had a chance to review the investor presentation that we filed with the exchanges yesterday. The same is also available on our website.

During today's discussion, we may be making references to this presentation. Kindly do take a moment to review the Safe Harbor statement in the Presentation.

As usual, we will start the forum with Opening Remarks by our Leadership Team. Post that we will open the floor for your questions. Once the call gets over, should you have any further queries that remain unanswered, please feel free to reach out to any one of us.

With that, I would now like to hand over the floor to Ms. Dipali Goenka – Managing Director and CEO. Over to you, ma'am.

Dipali Goenka: Thank you, Salil. Good morning, everyone. And thank you for taking the time to join us today for our Q1 FY '25 Analyst Call. I would like to share some highlights of Operating Performance as well as some achievements during the Quarter under review, after which Sanjay would share highlights from our Financial Metrics.

Operating Performance:

We are happy to share that the revenue growth we have witnessed during the last FY '24 continued in Q1 FY '25, with the revenues up by 17% Y -on-Y to reach Rs. 2,588 crores. All our businesses have contributed to this performance strongly, in global markets as well as in India. We continued to have sustained EBITDA achieving Rs. 393 crores, clocking 15.2% in Welspun Living Limited
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Q1, growing at 15% Y -on-Y. Hence, we are well on our way to achieve the top line and bottom - line guidance we had achieved for FY '25.

The growth that we have seen in Q1 revenues could have been more better if the challenges that the global economy is facing in the terms of ship liners and containers availability owing to the Red Sea issues were not there. Similar to the challenges we witnessed during FY '22-'23, we are seeing not only hardening of the container rates to 3x of last Financial Year, but also in space and timely availability of vessels.

With a major distribution presence in the US, we have been able to ensure minimum disruption in revenues, but delays in FOB shipments due to non-availability of containers, ships have affected revenues of our different businesses to some extent. At the same time, our long-term relations with liners have seen us in good stead, leading to minimal impact in cost in Q1. We continue to keep a close watch on this dynamic situation to ensure minimum disruption to the business.

Core exports :

US GDP continued to grow at a decent rate of 2.9% Y -on-Y, retail spending is up 2.5% Y -on-Y in April to June quarter

as customers take advantage of deals and begin to spend more as inflation cools for the third straight month of 3% Y -on-Y in June. Marking the lowest reading since June 2023, bolstering case for sooner than expected Fed rate cut. Consumer have retained the ability to spend and are driving the solid economics.

India continues to be the leading supplier of Terry Towels and Bed Sheets to USA. And as per the OTEXA data, India continued to enjoy dominant market share in exports to US for June 2023, May 2024 period, both as Terry Towels at 44% and in bed sheets at 61% in value terms. India has strengthened its share in Bed Sheets by 10% and stayed flat in Terry Towels as compared to last year in the same period.

Though the overall export to US in value terms during this period remained at the same level in Terry Towels and grew by 5% in bed sheets due to geopolitical issues during Quarter 1 FY '25. WLL, however, witnessed a growth of 10% and 40%, respectively, solidifying our leadership in US exports further. Our EU, UK and Rest of the World have also shown a double digit.

Exports of home textiles has seen a tremendous growth due to our unwavering commitment in providing unparalleled quality, both in products as well as in services, growing by 19% in Quarter 1 FY '25 and maintaining a healthy EBITDA of 17%. Innovation is the heart of everything that we do. Our innovation products continue to be the major contributor to the revenues of 30%, growing by 13%.

Emerging businesses :

Our emerging businesses of domestic consumer business, global brands, advanced textile and flooring businesses grew 7% Y -on-Y in Q1 FY '25 and contributed close to 30% of the total Welspun Living Limited

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revenue of the company. Our licensed global brands like Martha Stewart and Disney continued their growth journey and have given us an edge in US and European markets by opening up additional shelf space with the key retailers as well as in creating new avenues. Our own global brands Welhome and Christy have grown over 10% during the quarter.

Domestic Retail:

India continues to outshine with an expected GDP growth of 7.1% in Q1 vis -a-vis 7.8% in Q4, and inflation hovering around 5% during the quarter. The retail sector demand, however, continued to remain muted during Q1 through April to June 2024, mainly due to lower consumer spending, especially in discretionary categories, which is at the trough of the seasonal cycle. Nevertheless, we showed a lot of resilience despite subdued operating conditions and consumer markets, which continued to subsist in Q1 as well.

Our domestic business remained flat in line with the national retail sales growth, and clocked a revenue of Rs. 123 crores with a muted 3% growth despite the challenging retail market in the country. In order to navigate through challenging market conditions, we have expanded into new categories, channels and hopeful to witness increased tertiary offtakes once the demand opens up with the festive season, which is right underway.

Welspun Brand continued to be the most widely distributed home textile brand in the country,

with presence in 500 -plus towns and 21,154 -plus outlets, up by 972 in Quarter 1 , a reach not hitherto achieve by any home textile player in India. Brand recall for Spaces and Welspun has jumped substantially to 80% from 72% and 50% from 40%, respectively, for our target audience, thereby leading in premium and mass home textile category.

Brand Welspun growth has witnessed a healthy 12% Y -on-Y growth in Q1. Brand Spaces has outgrown category in the modern trade channel, emerging as a leading brand within the category and gaining the market share. The home textile consumer business continued investment in marketing to the tune of 10%. We remain committed to continued investment in our brands for improving the brand visibility and salience, as well as our focus to b

uild profitable business

growth in the domestic consumer business.

Flooring :

Our flooring business continued to perform well, recording a revenue of Rs. 228 crores, flat Y -on-Y, with dispatches in Q1 impacted to some extent due to Red Sea issues. With increase in capacity utilization to 64%, EBITDA margin of the business has improved to 9%. We have added a big-ticket customer in USA for wall-to-wall carpets and carpet tiles, and have strengthened our position in Middle East and ANZ. Similarly, we are getting great traction from large retailers and big-ticket distributors in US and UK in hard flooring, and thus look forward to a good start in flooring in Q1 FY '25.

On domestic market front :

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We continued to see growth in hospitality and commercial segments in all our key markets in India. Domestic flooring revenue grew by 15% Y -on-Y. In order to capitalize on the market opportunities, we continue our work on making inputs an entire value chain more and more indigenized.

The advanced textile business witnessed a 26% growth Y -on-Y in Q1 FY '25 with a revenue of Rs. 132 crores, capacity utilization of new Telangana 's Spunlace facility has reached 63% as Spunlace sales have continued to be strong in all our key global markets forging new partnerships in US, Europe and India, with the innovative and sustainable non -woven.

ESG is embedded in every aspect of operations at Welspun, keeping us ahead of our peers globally in sustainable practices. We are well on our journey towards achieving 100% RE by 2030. And in this regard, the Board has approved setting up of 18 MW solar plant at Vapi which could meet about 30% of the power requirements at Vapi. We are also happy to announce that Welspun is now part of the World Economic Forum LEED alliance of CEO Climate Leaders India, which is a high-level platform for business leaders to support concrete plans and ideas to step up India 's climate action and green transition efforts. In addition to that, Welspun also joined the Reuters Vision 2045 campaign to drive sustainable change by making India the sustainable loom for the world.

While the global economy exhibits mixed sentiments, the positive signs of cooling inflation and expected rate cuts in the US are encouraging, acknowledging the potential volatility from geopolitical issues, the Red Sea situation and elections in various regions. We stay alert and proactive. Our strategy focuses on navigating these challenges and seizing opportunities effectively.

With this, I would now like to hand over to Sanjay, who will take you through the financial highlights.

Sanjay Gupta: Thank you, Dipali, and greetings everyone. I will give a brief Overview of the Financial Numbers for Quarter 1 Financial Year '25, before we open for question and answers.

During Quarter 1 Financial Year '25, we reported revenue of Rs. 2,588 crores, up 17% year -on-year and which remains in the same level as quarter -on-quarter. EBITDA margin for the Quarter 1 stood at Rs. 393 crores, that is 15. 2%, growing by 15% year -on-year.

Profit after tax after minority interest for the quarter is at Rs. 186 crores vis -a-vis Rs. 162 crores year-on-year, growing by 15% year -on-year and 27% quarter -on-quarter. Consequently, our consolidated EPS per Quarter 1 '25 stood at Rs. 1.93 per share as compared to Rs. 1.66 per share in Quarter 1 of Financial Year '24.

On the FOREX front, our average exchange realization for US dollar during Quarter 1 was Rs. 84.05 compared to Rs. 82.16 in the corresponding quarter last year.

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Net debt stood at Rs. 1,562 crores versus Rs. 1,815 crores as on June '23, which is lower by Rs. 253 crores. And versus Rs. 1,354 crores as of March '24, increased by Rs. 208 crores due to CAPEX spending and increased investment in working capital during Quart

er 1 .

The interest cost hence is also due to the higher borrowing for working capital. And because RBI's repo rate has remained unchanged in last three four quarter, it has slightly gone up Rs.43 crores from Rs. 26 crores year -on-year. However, with reduction in working capital in ensuing quarter, this cost is expected to come.

Coming to segmental results :

Quarter 1 of Financial Year '25 core business home textile revenue stood at Rs. 2,387 crores versus Rs. 2,028 crores in Quarter 1 '24, up by 17% year -on-year. Quarter 1 EBITDA of home textile stood at Rs. 348 crores at 14.6% as compared to 15.3% year -on-year.

During Quarter 1 '25, revenue from flooring business was Rs. 228 crore, up by 1%. EBITDA is at Rs. 21 crores, which is 9.2% as compared to 8.1% year -on-year.

In Quarter 1 '25, we spent Rs. 206 crores towards CAPEX , majorly towards towel project at Anjar and pillow project in US.

The Board of Directors have, in its meeting held yesterday, approved buyback of equity shares of the company for an amount of up to Rs. 278 crore at a price of Rs. 220 per share. The promoters will be tendering 100% of their eligibility under the buyback. Apart from this, the Board had also approved dividend of 10% in Financial Year '24 in quarter 4 meeting. The company's outflow for the buyback and dividend hence would be totaling to Rs. 353 crores, which includes the tax outflow in this.

Over the last four years hence, the company has distributed 40% of its free cash flow on an average to the shareholder, with cumulative Rs. 880 crores distribution out of free cash flow generation of Rs. 2,200 odd crores during the same period.

Financial Year '24 total distribution also works out to 81% of our free cash flow. During the same period, we have continued the reduction in the net debt from Rs. 2,333 crores in Financial Year '21 to Rs. 1,354 crores by the end of Financial Year '24.

With this, I will now leave the floor open for question -and-answers. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Rajvee from JM Financial. Please go ahead.

Rajvee: Dipali, if you could give some color on the order book, demand detailed growth in the US markets. How is our second half of '25 shaping out to be? Do we see your sharp recovery in the second -half demand? And what sort of revenue growth is possible in FY '25 given your current assessment?

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Dipali Goenka: So, I think for us the demand remains good as it is right now as you have seen in Quarter 1 . We see a good visibility because you know that United States gets ready for the holiday season, and that's been the trend. So, we definitely see that demand being at a steady state here, Rajvee. And when we talk about our growth, we have given a commitment of around 12% growth. And we have remained cautiously optimistic about it, and we will top it up as we go forward, as we have done in the Quarter 1 as well.

Moderator : Thank you. The next question is from the line of Biplab Debbarma from Antique Stockbroking.

Biplab Debbarma: Sir my first question is on the growth, 15% - 16% year -on-year growth. So, ma'am, which segments contributed to this 15% growth? And is it a high because of volume or price growth, or what is the contribution of volume growth in this? Thank you.

Dipali Goenka: Hi, Biplab. It has primarily been the sales, and it has also been an impact of the exports, primarily. As you have seen that the emerging markets have been a little subdued competitively as well. So, while we see the exports growing at a rate of 17% and that 's what has actually contributed to it, our emerging businesses actually were little subdued. Also, because if you look at flooring, with the kind of 64% at the factory, it is running at capacity, our you know we could have done better if

the resi issues would have been a little not that challenging. So, it has been a mix here. When you talk about the margins, I think I would say that the exports have contributed to the margins as well, primarily.

Sanjay Gupta: So, the growth has nearly come from volumes, as you had asked. The price, there has not been any major change. So, the growth is basically volume growth.

Biplab Debbarma: The second question is, I missed that funding part, sir, how you are funding the distribution of that cash outflow for distribution of dividend and buyback?

Sanjay Gupta: So, this will be from the internal resources. So, we have earned free cash flows earlier and which is available with the company, and it will be paid out of that.

Biplab Debbarma: Sir, since you have that on, it has also this quarter I think has grown a bit. So, I am just wondering, could we not have used the money of that payment or this is how the capital structure you want to be?

Sanjay Gupta: So, our capital allocation demands that we pay off to our shareholders as well, some percentage of our profit and hence which we have been doing for year -on-year, so that we have done.

Despite that as I was telling you in my speech that we have been reducing our net debt from Rs.

2,300 odd crores to Rs. 1,300 odd crores. And this year, despite all these payments, we would be in the same ballpark range for financially '24 net debt. So, net debt is not an issue.
Biplab Debbarma: And my final question, with Quarter 1 seeing strong growth and outlook on exports looking positive, shall we maintain the same guidance on the top line in that or you would like to change our like?

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Sanjay Gupta: So, as Dipali mentioned, we are cautiously optimistic because we are seeing the Red Sea issues and other economic issues which is gripping the world. However, as we have maintained, we will top the 12% growth that we have already guided to us. And we will meet our bottom line guidance of EBITDA at 15% to 15.5% as we have guided.

Moderator: Thank you. The next question is from the line of Anushka Chitnis from Arihant Capital. Please go ahead.

Anushka Chitnis: My question is related to the buyback. I wanted to know if the promoter entity would be participating in this.

Sanjay Gupta: Yes. As we mentioned in our speech, yes, promoter entity will be participating 100% in this.

Moderator: Thank you. The next question is line is from the line of Perna Jhunjunwala from Elara Capital. Please go ahead.

Perna Jhunjunwala: Congratulations on a strong set of numbers. Ma'am, I wanted to understand more on flooring, why Red Sea is impacting that segment more than other categories, which are also export driven?

Dipali Goenka: So, it's a little different here, Perna. And when we talk about home textiles, it's mainly primarily FOB. Here you have CIF, and you also have the DDP shipments, and hence the challenges were there where we actually got challenged to get the containers for the flooring, Perna.

Perna Jhunjunwala: And ma'am, how would be the volume versus price growth in this segment in this 1% growth? Because utilization levels have improved, so just wanted to understand whether there is some price correction or is it inventory lying in the system?

Sanjay Gupta: Hi, Perna. So, as I mentioned, more or less this is volume growth. However, there have been some mix change as compared to hard and soft breakup. So, hence that small impact might have come. But mainly it is volume growth, and volume though we have manufactured during the quarter at 64% utilization, we have not been able to ship it because of the issues that we are facing for blank sailing and containers not being available. You will see those impact in the current quarter when we will ship it. Hence there is no price erosion.

Perna Jhunjunwala: So, what kind of growth can we expect in flooring business in this year given the visibility on demand that we have today?

Sanjay Gupta: We had given our guidance of about 20% to 25% growth in flooring for this year and which we will achieve.

Dipali Goenka: Perna, we will achieve that. And in fact, if you have seen the domestic flooring also, it has grown 15% year-on-year, and we definitely are on that trajectory.

Perna Jhunjunwala: So, the demand scenario remains decent, I mean, there's no challenge over there?

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Dipali Goenka: No, not at all.

Perna Jhunjunwala: Ma'am, in HT, the e-commerce segment has seen a significant degrowth. What would be the reason behind it and what is not included? I mean, I am just trying to understand HT ecommerce and HT brands, how do you bifurcate also between the two?

Dipali Goenka: So, I think they are very different. One thing is that when you talk about global one, it is primarily we talk about omni-channel. And omni-channel, it sometimes gets seasonal, but I think we basically are on track because the retailers buy it and then they sell it. And while we do that, I think I must tell Perna, you must go on Spaces.in and see, because that's our brand.com, christy.co.uk to see our brand.com sites. And you should see because if you look at Christy, they are growing at a rate of around 20%, Spaces is also on that path, and do give us a feedback. Omni-channel is something is the behavior of the customers. And it is a little seasonal, as you know it is summertime, people are far more outside rather than buying online more. And it's more sort of discretionary needs and experience, so people are basically buying offline and that has been the kind of a thing.

Sanjay Gupta: Perna, the difference that you see in Quarter 1 of last year and Quarter 1 of this year is mainly, as Dipali said, is our sales to the omni-channels. And omni-channels, they buy more in some quarter, they buy less in some quarter. But overall, our growth will be there in this sector. But this quarter we have seen a dip because in the last year same quarter some high purchase was

done by the omni -channels together, which will now spread to maybe Quarter 2 or quarter three.

Perna Jhunjhunwala: So, it is because of the base effect and nothing to worry about it.

Sanjay Gupta: Nothing.

Dipali Goenka: No, nothing at all.

Perna Jhunjhunwala: Because you saw Amazon sales, I mean, they are increasing, so I thought what is leading to this ecommerce.

Sanjay Gupta: Sale from those omni -channels are happening as it is happening, so there is no. It's the stock buildup which happens, so there was a smaller stock build up, some stock we could not send because of the Red Sea issues. All these issues in stocking are right now taking place. So, you shouldn't read so much into it. You should give some time for more quarters to see the real growth coming.

Perna Jhunjhunwala: Perfect, sir. No problem. And my last question is on margins, given the correction in raw material price and challenges on maybe freight front, what is the guidance that you are giving for home textiles and flooring separately?

Sanjay Gupta: So, Perna, as we said, we are keeping a close watch in this situation. We have contracts with the liners, so we will not allow our cost to go overboard in this. The only challenge could be timely sending the delivery of the goods. So, we do not see any impact on the cost side coming in a major way because of this. Might be 0.2, 0.3 here or there, but not much.

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Perna Jhunjhunwala: That's not major at all.

Sanjay Gupta: Yes.

Perna Jhunjhunwala: And last on expansion status, is it on schedule or?

Sanjay Gupta: Yes, we had said that we will start both the plants in quarter 3 sometime, end of Quarter 2, end of quarter 3 we will do that.

Moderator: T

Thank you. The next question is from the line of Biplab Debbarma from Antique Stock Broking.

Please go ahead.

Biplab Debbarma: I have just one question on the margin side. Sir, we are seeing volume growth contributing to our growth, and assuming that there is no further disruption in supply chain, what kind of EBITDA margin do we expect in FY '25?

Sanjay Gupta: So, Biplab, we had guided toward a 15% to 15.5% EBITDA during this year for the consolidated business. So, we will stick to that.

Biplab Debbarma: So, that means since Quarter 1 is around 14.5%, so we will see margin expansion if everything remains the same, right?

Sanjay Gupta: 14.5% is without the other income. So, I am talking about with the other income the total EBITDA for the company should be in the range of 15% to 15.5%.

Moderator: Thank you. The next question is from the line of Bhavin Chheda from Enam Holdings. Please go ahead.

Bhavin Chheda: Congrats on excellent growth across both the businesses. If I see your presentation, your bath linen utilization almost has reached 94%. So, what would be the optimum utilization or debottlenecking from the existing 90,000 tons? And secondly, I think you all also announced 6,400 tons of Jacquard towel expansion, so how much time that would take to ramp it up to 100% since the demand looks very strong in US market in this category?

Dipali Goenka: I think I just will add up here is that our optimum levels are where we are today. But going forward, having said that, with Jacquard facility coming in, which is right underway by August end and September, we will be up and running on that. That actually will help us to leverage the mix that we have. And it is also very seasonal as well. So, the mixes keep on changing here. So, definitely we will see a mix and we are absolutely on track on that. With Jacquard, it will help us to leverage our capacity. And also, as we go forward, debottlenecking is something that we definitely look at. And our ancillaries are also there which contribute to substitute when the demand comes in.

Bhavin Chheda: Sure. Second on flooring business is ramping up well, both on top line across markets and margins are improving. So, what kind of optimum margins at what capacity utilization you are

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looking at? You have already reached 9%, I believe at optimum level it would be 15%, 16% odd. So, when can we see that kind of operating margin in flooring business?

Sanjay Gupta: So, we have a plan of growth of flooring at about 20% plus CAGR over next three, four years, which would take us to a capacity utilization in excess of 80% by Financial Year '27. Once we reach 80% plus capacity utilization, we should hope to reach an EBITDA of about 15% to 16%,

Bhavin Chheda: At 80% utilization?

Sanjay Gupta: Yes, at 80% utilization.

Bhavin Chheda: Sure. And on Slide 12 when we are saying annual capacity installed and annual capacity effective, you are calculating utilization on effective capacity, what that means?

Sanjay Gupta: So, we have built the plant for uh total capacity of 27 million square meter. While we have fitted the plant with machinery for 18 million square meter, we will need to spend some balancing CAPEX to make it from 18 million square meter to 27 million square meter when required. Unless we reach a capacity utilization of 18 million square meter, we will not spend in putting additional capacity.

Bhavin Chheda: And last one I missed out on, what what's the CAPEX outgo in FY '25 and possibly FY '26 if some projects are going in into '26?

Sanjay Gupta: So, we have given a guidance for 2025 for Rs. 860 crores of CAPEX which includes Anjar towel, then pillow in US and then Rs. 75 crores for our transmission line for the renewable energy, plus balance some maintenance CAPEX. For '26, we have not yet given the guidance, but we can expect to see Rs. 300 crores to Rs. 400 crores of CAPEX in next year as well.

Moderator: Thank you. The next question is from the line of Resham Jain from DSP Asset Managers. Please go ahead.

Resham Jain: So, just on the demand front, when we look at some of the commentary of the retailers in US, the outlook is quite mixed. And in general, we have not seen any material kind of improvement in terms of the retail demand in US. So, from your perspective, how are you looking at US?

What will be your strategy, let's say, in the current situation? If you can just give your thoughts around it, that would be very helpful.

Dipali Goenka: Hi, Resham. I will just give you a perspective here. Walmart, if you look at their commentary, they are giving a positive outlook there. And even Target, they have actually changed their perspective on it. The Clubs continue to do well if you look at their results as well. And departmental stores were the challenges that we saw. But if you look at a few, they are turning around as well. The discounters continue to be strong, so I can just say that while we have been hearing about mixed perspective. But I think with America we are very, very positive about the growth that we see coming in, because I think America prepares for the holiday season by quarter three. So, we are good right now as we see the demand.

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Resham Jain: And the second question is with respect to all the three verticals within the home textile. Can you share your outlook, not numbers, but which segment between bed sheet, towels, and carpets and rugs will grow faster than the other one? If you can just give your thoughts.

Dipali Goenka: So, I think it's a mixed bag. Right now, if you saw like the Terry Towels, the growth was 10%, sheets was around 40% this quarter. And the rugs also continued to grow at a steady state. And it's a mix actually, Resham. So, we will not be able to tell you where it is, but I think we will have a steady mix of whatever we have committed as a top line and the growth.

Resham Jain: Understood. And last question is from the Indian manufacturers' perspective, how do you see the competitive landscape emerging again over the last three, four years? There has been a lot of shifts which has, not shift but the dynamics have a little bit changed and hence if I look at your, let's say, three years back guidance, it used to be 20% to 22% kind of range used to be the normalized margin. Which has come down obviously now in the current dynamics. But generally, from the manufacturing landscape perspective within India, how do you see the situation?

Sanjay Gupta: So, we have discussed about it in earlier forums. When we are talking about 20% to 22% margin, we are also talking about cotton rates which were at Rs. 40,000 to Rs. 45,000. Now, since cotton rate has now come to a new normal of Rs. 60,000 to Rs. 65,000, you cannot have the same level of margin because end consumer doesn't want to pay price above a certain limit. And hence the normal average margins have come down to 15% - 16% level. But still in export business as we had mentioned, we are getting a 17% to 18% margin which is healthy margin for us. As our emerging businesses of flooring, advanced textile, domestic business starts to gain momentum, not only in sales but also in profits, we should see a range of 16% to 18% EBITDA for the company as a whole in the next couple of years.

Moderator: Thank you. The next question is from the line of Shraddha from Asian Market Securities. Please go ahead.

Shraddha: Congrats on a good quarter. A couple of questions. First is, why did the utilization of the bed linen come down from 79% to 69%? Sorry, I logged in late to the call, so I am not sure if you have answered this.

Dipali Goenka: Yes, it is actually a matter of just operations. But as we saw that the sheets are around 40%, and when we talk about

t it's a mix of fashion bedding and the others. So, you would have seen this.

But as we go forward, I mean, I think we will be at around 84%.

Shraddha: And on the Jacquard and Terry towel, so how should the realization differ for both these product mixes? So, what should the realization be for Jacquard towels, just a broad ballpark range?

Sanjay Gupta: Generally it would be slightly higher, because Jacquard towels, the cost is higher in making it, so 10% to 15% difference is there in the Jacquard towels would be better than the normal towels.

Shraddha: An asset turn would be how much in this capacity?

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Sanjay Gupta: 1:1.

Shraddha: And sir, secondly, how should we look at the power cost given the kind of initiatives we are taking on the new incremental green energy side? So, how should the power cost come down as a percentage of revenue?

Sanjay Gupta: Yes. So, slowly and slowly as we build up our renewable energy capacity, we should get towards the power cost coming to half of what we have.

Dipali Goenka: Yes. It will be the most competitive power cost that we will have because of this.

Sanjay Gupta: So, we should see it coming from the year '26, '27 fully.

Shraddha: So, that itself should give us good leeway on the margins front, so we can look at the margin improvement of 200 bps plus over the next two years?

Sanjay Gupta: As I said, yes we can look at that.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today's conference call. I now hand the conference over to the management for the closing comments.

Dipali Goenka: So, a stellar performance in all our businesses, core as well as e merging. We have been able to grow at 17% Y-on-Y in Q1, and confidence to achieve our guidance for FY '25, as shared earlier. The exceptional growth we have achieved across our businesses and FY '24 is a testament to unwavering commitment to provide to our customers unparalleled innovative and patented products, actionable insights and solutions driven by investments in technology and digitization, which truly positions us as the FMCG of textiles.

We continue to have greater focus on the India market, which is shining star in the current global economic scenario with deeper penetration and retail segment through increased EBOs, MBOs, and higher brand visibility, and hence reinstating Har Ghar se Har Dil Tak Welspun.

Domestic flooring is reaching newer heights. And overall flooring businesses have continued its profitable growth during the quarter. Simultaneously, ESG remains a cornerstone at Welspun and a commitment to sustainable and responsible business practices continues unabated through increasing investments in green energy initiatives.

We are committed towards our future growth targets for all our businesses, and with sustained growth profitability we would continue to achieve higher ROCE and ROE, thereby creating substantial value for investors and stakeholders.

Thank you for your continued interest in Welspun Living. For any further queries, please feel free to connect with Salil and Sanjay.

Shraddha: On behalf of JM Financial, that concludes this conference. Thank you for joining us. And you may now disconnect your lines. Thank you.

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Note:

1. This is a transcription and may contain transcription errors. The Company takes no responsibility of

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"Welspun Living Limited Q2 FY '25 Earnings
Conference Call"
October 28, 2024

MANAGEMENT : MS. DIPALI GOENKA – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER, WELSPUN LIVING LIMITED
MR. SANJAY GUPTA – CHIEF FINANCIAL OFFICER,
WELSPUN LIVING LIMITED
MR. SALIL BAWA – HEAD INVESTOR RELATIONS ,
WELSPUN GROUP
MODERATOR : MR. ASHUTOSH – JM FINANCIAL INSTITUTIONAL
SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the Welspun Living Limited Q2 FY '25 Earnings Conference Call, hosted by JM Financial.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the Conference Call, please signal an operator by pressing "*", and then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashutosh from JM Financial. Thank you, and over to you, sir.

Ashutosh Somani: Yes. Thanks operator, and welcome, everyone to the call. I will first thank Welspun Living Limited for giving JM Financial Institutional Securities the opportunity to host today's call.

Without much ado, I will hand over the call to Mr. Salil Bawa – Head Investor Relations, Welspun Group, to introduce the Management. Over to you, Salil.

Salil Bawa: Thank you, Ashutosh, and good afternoon to all of you. Happy Diwali before we start.

And on behalf of Welspun Living Limited, I welcome all of you to the Company's Q2 and H1 FY '25 Earnings Call. Along with me, I have today Ms. Dipali Goenka – Managing Director and CEO; and Mr. Sanjay Gupta – Chief Financial Officer for Welspun Living Limited.

We hope you have had a chance to review the "Investor Presentation" and the "Deck" that we filed with the exchanges today. It is also available on our website. During the discussion today, we may be making references to this Presentation. I would request you to take a moment to review the Safe Harbor statement in the presentation.

As usual, we will start the forum with "Opening Remarks" by our Leadership Team. And post that, we will open the floor for any questions. Once the call gets over, should you have any further queries that remain unanswered, please feel free to reach out to us.

With that, I would now like to hand over the floor to Ms. Dipali Goenka. Over to you, ma'am.

Dipali Goenka: Thank you, Salil. Good afternoon, everyone. And thank you for taking the time to join us today for our Q2 FY '25 Analyst Call.

I would like to share some highlights of our operating performance, as well as some achievements during the quarter under review, after which Sanjay would share highlights from our financial metrics.

We are pleased to share that we have seen our revenues jump to an ever quarterly highest of Rs. 2,936 crores, growing by 16% Y-on-Y and 13% quarter-on-quarter. The upcoming holiday season in the U.S. has seen increased buying from all major retailers. Consequently, we witnessed higher

rugs units. We continue to have sustained EBITDA, achieving Rs. 421 crores, growing by 7.5% Y-on-Y and 7% quarter-on-quarter.

Quarter 2 revenues, and more specifically, the profitability could have been better if not for the challenges we witnessed in terms of Red Sea issues. As mentioned in Q1 discussions, we kept a vigil on this front to ensure that we do not get affected adversely. However, we were faced with multi-faceted challenges in terms of not only rising container rates, but also non-availability of containers and ships. This resulted in some buildup of inventory and higher costs of warehousing and transportation.

In addition, we had to incur higher unavoidable ocean freight at about 2x of last year as a force majeure due to increased voyage time and decreased container supplies, despite our long-term relationships with these liners. With a major distribution presence in U.S., we were able to ensure minimum disruption in revenues, but delays in FOB shipments due to non-availability of containers, ships have affected revenues of our different businesses to some extent. We w

ould

continue to keep a close watch on this dynamic situation to ensure minimum disruption to the business.

Despite persistent concerns surrounding the durability of growth and interest rate policy, the U.S. economy continued to show resilience in the current year, with a Q3 growth of 3.4% and 2024 GDP growth expected at 2.8%, helped by recent 50 basis points cut in Fed rates and further expected rate cuts. In the short term, a faster pace of interest rate cuts by the Fed should allow households to take on more debts and support continued growth in consumer spending. Consumers have retained the ability to spend and are driving the solid economics in USA. Driven by continuing strong orders from retailers and distributors across the product segment, our overall exports grew by 18% in Q2 and 19% in half-one Y-on-Y.

India continues to be the leading supplier of terry towels, bed sheets to USA. And as per the OTEXA data, India continued to enjoy a dominant market share in exports to USA for TTM August 2024 period, both in terry towels at 43% and in bed sheets at 60% in value terms. India has strengthened its share in bed sheets by 10% and stayed flat in terry towels as compared to last year in the same period. Though the overall export to the USA in value terms during this period remained at the same level in terry towels and grew by 5% in bed sheets due to geopolitical issues during Q2 FY '25, Welspun Living Limited, however, witnessed a growth of 7% and 39% respectively, solidifying a relationship in USA exports further. Innovation is a key USP in all our endeavors. Our innovation products continued to be the major contributor to our revenues at 23%, growing by 13% Y-on-Y.

Domestic Retail:

India continues to outshine with an expected GDP growth rate of 6.8% in Q2, vis-a-vis 6.7% in Q1, and inflation hovering around 5% during the quarter. The retail sector demand, however, continued to remain sluggish in Q2 as well, and growth of 5% in September and 2% in July and August 2024 as per the RIA report. With the festive demand coming up, we have seen some green

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shoots of growth in September 2024, and despite subdued retail market conditions, we have seen a growth of 10% in our domestic retail business, clocking a revenue of Rs. 159 crores. We have been expanding our reach continuously into newer territories and channels and are hopeful to witness increased off-takes in this festive season.

Welspun Brand witnessed a healthy growth of 20% Y-on-Y and continued to be the most widely distributed home textile brand in the country. Brand Spaces has outgrown the category in modern trade channels, emerging as a leading brand within the category of gaining market share, though the modern trade segment degrew Y-on-Y. We have continued our investment in domestic markets with marketing spend to the tune of 10% for improving brand visibility and salience, as well as our focus to build profitable business growth.

Emerging businesses:

Our emerging businesses of domestic consumer business, global brands, advanced textiles and flooring businesses grew 22% year-on-year in Quarter 2 FY '25 and contributed to close to 33% of the total revenue of the Company. Our global brands, owned as well as licensed, have continued to give us an edge in all our markets and grew by staggering 58% during the quarter. With all our licensed brands, be it Martha or Coco Cozy or Disney in Europe, opening up additional shelf space

with the key retailers and creating newer avenues for us.

Flooring:

The challenges we witnessed due to Red Sea issues impacted our flooring deliveries to some extent and the business grew by a modest 3% Y-on-Y and 10% quarter-on-quarter, recording revenues of Rs. 250 crores. We continue to focus on the home improvement business and have added new big-ticket customers across all geographies. We have also diversified by tapping opportunities w

ith

OMs in U.S. and making strategic tie-ups to strengthen our positions in Australia and New Zealand. Similarly, we are gaining good traction from large retailers and big ticket distributors in U.S. and Middle East for soft flooring and in the U.K. and U.A.E. For hard flooring. On domestic market front, we continue to see strong growth in hospitality and commercial segments in all our key markets in India. Domestic flooring grew by 28% Y-on-Y.

The advanced textile business witnessed an 18% growth Y-on-Y in Quarter 2 FY '25 with a revenue of Rs. 148 crore. Capacity utilization of our new Telangana spunlace facility has reached 55%. Our spunlace sales continue to be strong in all our key global markets, forging new partnerships in U.S., Europe and India, with our innovative and sustainable non-wovens. Spunlace and needle punch segments experienced strong Quarter 2 sales growth driven by new orders and strategic partnerships, while wet wipes expanded globally with existing brands and new customers. ESG is embedded in every aspect of operations at Welspun, keeping us ahead of our peers globally in sustainable practices. We are well on a journey towards achieving 100% RE by 2030. And in this regard, the Board has, in Quarter 2, approved JV for setting up an additional 4.6-megawatt solar plant at Telangana for flooring and advanced textile plants. This, along with the 2-megawatt Welspun Living Limited

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JV already operational since last quarter together, would meet about 20% of the power requirements at Telangana facility.

We are also happy to announce that Welspun has scored 66, up from 44 last year, in EcoVadis ESG rating with a Silver Award, placing us in the top 15% in the industry globally, and reiterating our focus and commitment towards sustainability.

We are committed towards a strategic objective of future growth in all our businesses and also continue to achieve larger share in the global home textile market, keeping in view China plus One strategy of global retailers and more specifically achieving a future plan of growing about 5x in the domestic market over the next five years. Hence, the Board has reviewed the need for further investment to set up additional capacity for over the next two years to meet this demand growth with a total CAPEX investment of Rs. 1,050 crores, including Rs. 341 crores informed earlier.

We continue to be cautiously optimistic of the operating performance for FY 25. While the positive signs of cooling inflation and Fed rate cuts in the U.S. are encouraging, the concern around potential instability due to current geopolitical issues might result in volumes picking up only gradually at a relatively muted pace in H2 FY '25. Plus, if the Red Sea situation persists, it would add further to these challenges. We, however, are focused, as always, on steering through these challenging times, and are committed towards a guided revenue and profitability target for the year.

With this, I would now like to hand over to Sanjay, who will take you through the financial highlights. Thank you, Sanjay.

Sanjay Gupta: Thank you, Dipali. And Season's Greetings to everyone. I will give a brief "Overview" of the "Financial Numbers" for Quarter 2 before we open for Q&A.

During Quarter 2, we reported the highest ever quarterly revenue of Rs. 2,936 crores, up 15.5% year-on-year and 13% Q-on-Q. For H1 Financial Year '25, revenues are at Rs. 5,524 crores, up 16.2% year-on-year. EBITDA margin for Quarter 2 stood at Rs. 421 crores, that is 14.3%, growing by 7.5% year-on-year and 7% Q-on-Q. H1 '25 EBITDA stood at Rs. 814 crores, that is 14.7%, 11% higher than last year.

As already informed by Dipali, we witnessed a challenging quarter due to the Red Sea issues and the resultant impact it had on the availability of containers and ships, leading to some volume impact in our businesses, as well as in the cost of carrying the inventory. In

addition, ocean freight

doubling had a further financial impact during the quarter. Despite these challenges, Company has been able to achieve highest ever quarterly revenue. We had impacts in our profitability of about 1% due to the various related costs we incurred owing to the Red Sea issue, and some higher investment in terms of marketing cost for India and global brands, which have grown in excess of 50% during the quarter. However, we still have been able to see a year-on-year increase in EBITDA value by 7.5%.

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Profit after tax after minority interest for the quarter is at Rs. 201 crores vis-a-vis Rs. 197 crores year-on-year, growing by 2.2% versus last year, and by 8.3% versus last quarter. H1 PAT stood at Rs. 387 crores vis-a-vis Rs. 358 crores year-on-year, an increase of 8%. Consequently, our consolidated EPS for Quarter 2 stood at Rs. 2.1 per share as compared to Rs. 2.04 per share last year same quarter, up 3% and Rs. 1.93 per share last quarter, which is up 9%. For H1, EPS stood at Rs. 4.03 per share as compared to Rs. 3.7 last year, which is up 9%.

On the FOREX front, our average exchange realization for the U.S. dollar during Quarter 2 was Rs. 84.29 compared to Rs. 83.35 in the corresponding quarter last year. For H1, it stood at Rs. 84.18 compared to Rs. 82.85 in the corresponding period last year.

Net debt stood at Rs. 1,832 crores versus Rs. 1,562 crores in June '24, higher by about Rs. 270 crores. This increase is a timing difference due to the payment for buyback of shares of Rs. 343 crores we have done during this quarter. The interest costs due to the borrowings for increased working capital requirement owing also to the Red Sea challenges and the RBI repo rate remaining unchanged, have gone up to Rs. 55 crores from Rs. 34 crores last year. With reduction in working capital planned in ensuing quarters, we will save on these costs.

Segmental Results for Quarter 2:

Core business home textiles revenue stood at Rs. 2,713 crores versus Rs. 2,352 crores in Quarter 2 last year, up by 15.3% year-on-year. For H1 '25, core revenue stood at Rs. 5,100 crores versus Rs. 4,390 crores in H1 of '24, up by 16.2%. Quarter 2 EBITDA of home textiles stood at Rs. 374 crores at 13.8% as compared to Rs. 359 crores year-on-year, an increase of 4%. H1 HT EBITDA was at Rs. 723 crores at 14.2% as compared to Rs. 672 crores year-on-year, up 7.6%.

During Quarter 2 '25, revenues from flooring business was Rs. 250 crores, up by 3% year-on-year. EBITDA is at Rs. 22 crores, that is 8.8% as compared to 8.3% last year. H1 revenues for flooring was Rs. 478 crores, up 2% year-on-year. And EBITDA at Rs. 43 crores, that is 9% as compared to 8.2% last year. In terms of CAPEX, for Quarter 2 Financial Year '25, we spent Rs. 286 crores towards CAPEX, majorly towards the new towel project at Anjar and the pillow project in U.S. For H1, the total CAPEX stood at Rs. 492 crores.

The Board had earlier approved for an additional towel capacity of 6,400 metric tons for being set up at an outlay of Rs. 341 crores, which is nearing its completion in quarter three. The Board has now approved Phase 2 for; one, setting-up of facilities for additional 1 lakh meters per day bed linen processing capacity; second, setting up of coarse count spinning of 40 metric tons per day for more backward integration of towel facilities; and third, increasing towel looms to produce 3,600 metric tons per annum. This will be at a total outlay of Rs. 709 crores to be incurred over next two years through its wholly owned subsidiary, Welspun Home Solutions Limited, with total investment now including the Rs. 341 crores of Rs. 1,050 crores in Anjar.

The additional CAPEX would be equally spread over two years in Financial Year '26 and '27.

This would increase our bed linen processing capacity to 4 lakh meters per day, that is 144 million meters per annum, and towel capacity

to 1 lakh metric tons per annum. This will make Anjar

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facility having the largest home textile capacity globally. The internal capacity expansion would decrease the variabilities in the cost of outsourcing, ensuring better customer service and profitability. The new project in full capacity would result in an additional revenue of Rs. 750 crores in addition to about Rs. 400 crores in the TT project, as we had informed earlier.

With this, I will now leave the floor open for Q&A. Thank you.

Moderator: Thank you, sir. We will now begin the question-and-answer session. We have the first question from the line of Vaibhav Jain, an investor. Please go ahead.

Vaibhav Jain: I have just one question from my side. I just wanted to know, after all our CAPEX, what will be the debt after we have sort of done with on the CAPEX?

Sanjay Gupta: So, we had guided towards a debt of about Rs. 1,400 crores to Rs. 1,500 crores by the end of this year, which is Financial Year '25, which will continue. And with this investment and other maintenance CAPEX, we should be in the range of zero to Rs. 200 crores net debt by Financial Year '28.

Vaibhav Jain: Net debt, so this is including the repayment that we are going to do on the --

Sanjay Gupta: Yes, so net debt, I am talking about. Net debt should be zero to Rs. 200 crores.

Moderator: Thank you. We have the next question from line of Biplab from Antique Stock Broking. Please go ahead.

Biplab Debbarma: Okay. Good afternoon, everyone, and advance Diwali wishes to you all. I have a couple of

questions. First is on the breakdown of CAPEX, I just missed it. And what is the total CAPEX, and what is the breakdown of that CAPEX, and how much CAPEX we have done till date?

Sanjay Gupta: So, CAPEX for this year, we have done about Rs. 492 crores till H1. And this CAPEX is mainly in the towel project at Anjar and the pillow project at Ohio.

Biplab Debbarma: And including the additional capacity announced today, how much more we have to incur?

Sanjay Gupta: So, this year we will continue to be at our Rs. 800 crores to Rs. 850 crores that we had guided towards. But the additional CAPEX that we have announced today of Rs. 709 crores for the bed sheet and towel additional capacities, that will be incurred over two financial year of Financial Year '26 and '27.

Biplab Debbarma: And what would be the capacity of these two, towel and bed sheet, sir?

Sanjay Gupta: So, towel capacity will increase to 1 lakh metric ton per annum, and bed sheet capacity will increase to 144 million meters per annum with this addition.

Biplab Debbarma: And the existing CAPEX and the additional CAPEX, that is Rs. 709 crores and the existing CAPEX of Rs. 800 crores, that will lead to how much of top line, sir?

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Sanjay Gupta: So, we are guiding towards a top line of Rs. 15,000 crores by Financial Year '27 and we are adhering to that.

Biplab Debbarma: So, this would be the CAPEX, that's all? After that there is no CAPEX needed to reach to that?

Sanjay Gupta: There will be some additional maintenance CAPEX of Rs. 150 crores, Rs. 200 crores. But yes, I have guided towards zero net debt by Financial Year '28 with all these investments.

Biplab Debbarma: Second question is, what is the contribution of emerging business to your revenue and EBITDA in the first half of this FY '25? And by FY '27, where do you see this emerging business growing to in terms of revenue and EBITDA? Thank you.

Dipali Goenka: Yes, I will take this up, Biplab. Our emerging actually businesses that include the domestic consumer business, global brands, advanced textiles and flooring businesses, they grew 22% year-on-year and they contributed around 33% of the total revenue of the Company. And we are looking at it growing to the extent of around 45% as we go forward by '27, '28.

Biplab Debbarma: And what would

be the EBITDA contribution of this business by FY '27?

Dipali Goenka: It will be the same. Actually, because this is also owing to our brands in India, and our licensed brands and our flooring, so it will remain the same contribution based play.

Sanjay Gupta: So, overall EBITDA margin will be same in both the businesses.

Biplab Debbarma: Okay. Thank you, and Diwali wishes to you all.

Sanjay Gupta: Same to you, Biplab.

Moderator: Thank you. We have the next question from the line of Bhavin Chheda from Enam Holdings.

Please go ahead.

Bhavin Chheda: Congratulations to the entire team for the record turnover and decent profits. Two, three questions, first on the margin side. As you mentioned that the container freight continues to hit margins, so can you give us more granular data on what kind of sales are happening on FOB, and what kind of sales are happening where we have to take into account freight, and what has been the trend for last 12 months? And when does this normalize?

Dipali Goenka: Our FOB is actually now 80%, that contributes to our turnover. But I must tell you that owing to quarter three of ours vis-a-vis the quarter four of our retailers, this is the time there is a holiday season. So, while having said that, we had to tide over the Red Sea issues because we had to look at the challenges of containers and ships which actually led to the volume impact because we had to take on warehouses to store the increased inventories, planning the allocation with containers, because you know that since 15th of August China had sucked in the entire freight inventory from here. So, we were very time bound for the holiday season. So, Red Sea and along with the whole availability of the inventory of the container led to the impact on what you see.

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Sanjay Gupta: So, overall, we have given about 1%, out of which 0.7% was because of higher freight and other inventory-related costs, and 0.3% we incurred more on marketing, because we are growing our brands massively across the world. So, that's the breakup of 1% that we had to incur higher. However, going forward, we hope that this is arrested as we have seen some betterment happening from October. So, we would be keeping our fingers crossed for this quarter as well to ensure that we do not get hit more by this in this quarter.

Bhavin Chheda: Second question is on advanced textile and domestic retail. How are this shaping up, both in terms of growth and in terms of margin profile vis-a-vis our other businesses?

Dipali Goenka: So, advanced textile actually has grown by 18% year-on-year, and with a revenue of around Rs. 148 crores. So, let me tell you that spunlace and needle punch, actually, we have been able to experience strong Quarter 2 sales growth. And in the future, also for the global markets, we see an upside in this because of our strategic partnerships, innovative and sustainable non-woven actually. And for India, as the Indian market, as you have seen right now, while we are looking at India, we are looking at a growth, the holiday season, as Diwali is just right around the corner. We have seen some green shoots in September, and our Welspun brand has witnessed a healthy growth of around 20% year-on-year, and it's the most widely distributed home textile brand. So, we feel very, very optimistic about the Indian market. While there has been that little sluggishness in the Quarter 2. But as the quarter three comes in where there is marriage season, there is Diwali there, we definitely will see that upside coming up.

Bhavin Chheda: And in terms of margins, domestic retail, are they above breakeven and are they still burning cash?

Sanjay Gupta: So, domestic retail, it is still at near the breakeven low-single-digit EBITDA. And as the business will pick up this year, we would start seeing more EBITDA percentage coming from here. And advanced textile, we are at the similar

margin of the entire home textile.

Dipali Goenka: And let me just tell you, for retail growth we continue to invest around 10% into our marketing as well for the brand reach across the country.

Bhavin Chheda: So, the single-digit EBITDA is after accounting for marketing in that division?

Dipali Goenka: Yes.

Sanjay Gupta: Yes, correct.

Moderator: Thank you. We have the next question on the line of Kaustubh Pawaskar from Sharekhan. Please go ahead.

Kaustubh Pawaskar: Sir, Red Sea has been a risk to our profitability for a while and it has been impacting our profitability, though we are achieving good numbers at the revenue level. So, are we looking at any alternatives or alternative route option? Or is it something which is feasible for us so that we can have better numbers and the profitability level? Or something on that front have we given a thought on it or some other alternative which will help us to see margins inching up for us?

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Sanjay Gupta: Yes, of course. So, we are definitely continuing to try in this regard, try hard in this regard. So, we did not actually get hit in the last quarter of last year and the first quarter of this year when the Red Sea issues continued to persist. However, Quarter 2, it actually reached to a three-year high of 3x of container rates and the availability also got impacted, as Dipali stated, due to China sucking out the entire capacity in August. Hence, it became unavoidable for us despite our good relationship with the liners and keeping on top of this, but still you got impacted. But we are maintaining it, and with our major distribution presence in U.S. we ensure minimal disruption in our revenues. So, we are keeping a tab on this and we should tide over it. However, we are cautiously optimistic in this regard.

Dipali Goenka: So, I just wanted to just add on here, it also got augmented with the splitting of the INDAMEX and the U.S. port strike actually. That also gave that freight kind of an impact. But we have our warehouses in America. We plan quite effectively. But however, this time, it was really unavoidable with a lot of disruptions, actually.

Kaustubh Pawaskar: And ma'am, my second question to you, in your initial comments you mentioned and you gave some optimism about the improving demand environment in the U.S. market. So, can you just give us a broader perspective on the same? Whether this will continue or it is something which is just at this level? And still, it is kind of a wait and watch scenario, you do not have exact indication whether this will have better prospects for us in the near term and the long term.

Dipali Goenka: So, there are a couple of things I want to just put actually in perspective. One thing, when I look at the big box retailers, and what they are talking about, so they are exhibiting a neutral to positive outlook in general merchandise category today. And they started stocking up for the new festive season. The holiday season, they are looking at around 3.5% of growth right now.

The other important thing, let me just put forward very, very straightforwardly to you, that India is in a sweet spot. India is now continuing to become an integral part of the supply chain for all the global retailers. Because being the most stable democracy, even with the neighbors that we see, and along with the China plus One strategy, I think India stands to gain as well. So, it is the displacement plus the mildly kind of a cautious optimism that we see in the American market, both.

Kaustubh Pawaskar: And any thought process on whether exploring any new opportunities into newer geographies? As you said that supply chain, we have a bigger opportunity going ahead, so any thought process on expanding reach into other geographies where we already have a presence?

Dipali Goenka: We already are actually growing very strongly in U.K., Europe, where we this quarter actually

have seen a double-digit growth, Australia, New Zealand, Japan, all of those areas. And it's not just in retail, but also in the hospitality segment, in the flooring segment, and in the advanced textile segment, and also with the licenses like Disney in the U.K. and Europe as well. So, let me tell you that while we talk about USA right now, but we have also seen double-digit growth in U.K. and Europe.

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Kaustubh Pawaskar: And do you expect this mix of U.S. and other geographies to come down over the period of time? Or do you expect U.S. to be a key market for us while others will be growing along with the U.S. project?

Dipali Goenka: So, I will tell you one thing, while when I talk about the mix, U.S. actually contributes around 30% of the consumption of the home textile market globally. While that basket will continue to grow as we take the share of shares there, but U.K and Europe also contributing to the goal. Let's also be very, very clear on that the last quarter the inflation was hitting these countries very, very hard. We saw that cooling out as the Fed rate cut there as well, we saw the Fed rate cut happening there as well. So, we are going to see some kind of a cool down there and some kind of a hike in sales there. So, definitely it will be the mix. It will also have a domestic retail, which actually will today contribute around 6% of the top line. We are looking at that contributing around 10% of the top line. And the other businesses will continue to grow as we move towards the journey of Rs. 15,000 crores.

Kaustubh Pawaskar: Right ma'am. Thanks for understanding. All the best for your quarters ahead. And Diwali greetings to you and your team. Thank you.

Dipali Goenka: Thank you. Thank you so much.

Moderator: Thank you. We have the next question from the line of Tejal Nagmoti from Elara Capital. Please go ahead.

Tejal Nagmoti: So, I just wanted to understand regarding the CAPEX announcement that when are you planning as per the internal estimates for the facility to be fully utilized and achieve the Rs. 1,150 crores of target on full utilization?

Sanjay Gupta: So, Tejal, as we informed, so we will be spending this CAPEX over the next two years. So, we will be ready somewhere by quarter three, quarter four of Financial Year '27 in phases. So, the entire capacity utilization will come only by Financial Year '28.

Tejal Nagmoti: So, we can build the capacity utilization by FY '28?

Sanjay Gupta: Yes. Full will be by Financial Year '28. It will come in phases in Financial Year '26, '27, and then '28 will be full.

Tejal Nagmoti: Okay. And my second question was regarding the flooring business. Just wanted to understand that the growth still remains muted. When is it expected to rebound for the flooring business?

Dipali Goenka: So, actually, let me just give you a perspective here. Our flooring business actually saw a revenue of around Rs. 250 crores and it grew by a muted 3%, yes. It actually got impacted the biggest also by the Red Sea because most of them are CIF and DDP shipments. That's the reason. While we are continuing to focus on the Home Improvement business, we have added a few new big ticket customers across the geography. Like, we have also diversified by tapping opportunities in OMs in the U.S. and making strategic tie-ups to strengthen our positions in Australia and New Zealand.

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And we are gaining good traction from large retailers and big ticket distributors in the U.S. and the Middle East for soft flooring.

Now let me come to the domestic market. We must say that we continue to see strong growth here in Hospitality and Commercial segment where the domestic Flooring actually grew by 28% year-on-year. So, I think, I will tell you that while we are seeing this kind of a little upheaval, but we are on the path of growth that we are talking

about in Flooring.

Tejal Nagmoti: And any guidance for the full year?

Sanjay Gupta: For the entire business, we continue to stand on the guidance that we had given earlier, with 10% to 12% growth of the total business, with 15% to 15.5% EBITDA.

Tejal Nagmoti: Thank you, everyone, and wish you a very happy Diwali.

Sanjay Gupta: Same to you.

Moderator: Thank you. We have the next question from the line of Harshit Nagpal from Yes Securities. Please go ahead.

Harshit Nagpal: Yes. So, yes, I just have a question, which is if you can explain the Flooring business. This 10% to 12% growth is for the whole year, right?

Sanjay Gupta: Yes, 10% to 12% is for that entire business.

Harshit Nagpal: So, my question was related to flooring. Will the revenue growth between 2% to 3% that we are seeing for the past few quarters, or would it be greater going forward?

Sanjay Gupta: So, within the entire business, flooring will grow in double-digits this year.

Moderator: Thank you. We have the next question from the line of Biplab from Antique Stockbroking. Please go ahead.

Biplab Debbarma: Sir, do we see margin improving in the second half? Or do we see the margin deteriorating further? Because there's no certainty on the Red Sea.

Sanjay Gupta: So, yes, while we see the uncertainties of Red Sea, which is now settling down to some extent, but we are guiding towards an overall EBITDA of 15% to 15.5% for the year, and we are standing by it.

Biplab Debbarma: Okay. So, that means that it is expected to improve, right, sir? Because the first half EBITDA --

Sanjay Gupta: We are standing by that we will be achieving that for the year.

Biplab Debbarma: And the second question is on the new CAPEX. Earlier you said that full capacity utilization would be visible in FY '28 only. So, would we see any challenges in achieving our Rs. 15,000 crores of top line by FY '27? Because the benefit of the new capacity would accrue only in FY '28.

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Sanjay Gupta: So, from internal production, this sales would start coming in fully from Financial Year '28.

However, we will start building the sales. So, sales will not stop. So, we will have to get it manufactured through our ancillaries or through outsourcing, whatever. But we will continue doing so, we are not missing our target.

Biplab Debbarma: So, this additional CAPEX, once they are onboard fully operational, they would be replacing those ancillaries. Is my understanding correct?

Sanjay Gupta: Correct.

Moderator: Thank you. That was the last question. I would now hand it over to the management for closing comments.

Dipali Goenka: So, Quarter 2 has been a challenging quarter with the difficult operating conditions owing to Red Sea issues and the resultant financial impact we had to endure. Despite the challenges, we have once again been able to show an outstanding revenue performance in all our businesses, leading to our highest ever turnover. It is heartening to see our global brands continuing on a stellar growth path, strengthening our focus towards B2C and being truly an FMCG of textile.

India continues to shine with around 6.8% GDP growth, its conducive policies for India for the world, leading to greater share of Indian businesses in the global market, as well as providing opportunities internally with growing consumption rates. Domestic business, both home textiles and flooring, continue to grow with higher reach and visibility, cementing our leadership and thereby reinstating Har Ghar se Har Dil Tak Welspun.

We are committed towards the guidance we have provided for FY '25 and our long-term objectives of sustainable and profitable growth. ESG remains a way of life at Welspun and our commitment towards being environmentally responsible and sustainable in operations continues unabated. With our focus on achieving our ESG target for 2030, LEED Green energy, zero-water usage, zero landfill or using 100% sus

tainable cotton and raw materials.

Thank you for your continued interest in Welspun Living. For any further queries, please feel free to connect with Salil and Sanjay. Thank you.

Sanjay Gupta: Thank you very much.

Moderator: Thank you. On behalf of JM Financial, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

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Q3 FY '25 Earnings Conference Call "
January 30, 2025

MANAGEMENT : MS. DIPALI GOENKA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER - WELSPUN LIVING
LIMITED

MR. SANJAY GUPTA – CHIEF FINANCIAL OFFICER . –
WELSPUN LIVING LIMITED

MR. SALIL BAWA – HEAD INVESTOR RELATIONS –
WELSPUN GROUP

MODERATOR MR. ASHUTOSH SOMANI – JM FINANCIAL

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Moderator: Ladies and gentlemen, good day, and welcome to Welspun Living Limited Q3 FY '25 Earnings Conference Call hosted by JM Financial. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashutosh Somani from JM Financial. Thank you, and over to you, sir.

Ashutosh Somani: Yes. Thanks, Steve, and welcome, everyone, to the call. I will first thank Welspun Living for giving JM Financial the opportunity to host today's call. Without much ado, I'll hand over the call to Mr. Salil Bawa , Head, Investor Relations, Welspun Group, to introduce the management. Over to you, Salil.

Salil Bawa: Thank you very much, Ashutosh. Good afternoon to all of you. On behalf of Welspun Living Limited, I welcome all of you to the company's Q3 and 9 -month FY '25 results earnings call. I understand there is some issue and some of the investors are still not able to log in. We are trying to resolve that.

Along with me, we have with us today Ms. Dipali Goenka, Managing Director. We have Mr. Sanjay Gupta , Chief Financial Officer. We hope you have had a chance to review the investor presentation that we filed with the exchanges. It is also available on the company's website. During the discussion, we may be making references to the presentation. Please do take a moment to review the Safe Harbor statement in our presentation. As usual, we'll start the forum with opening remarks by our leadership team, and post that, we will open the floor for any questions. Once the call gets over, should you have any further queries that remain unanswered post the earnings call, please feel free to reach out to us.

With that, I would now like to hand over the floor to Dipali ma'am. Over to you, ma'am.

Dipali Goenka: Good day, everyone, and thank you for taking the time to join us today for our Q3 FY '25 analyst call. I would like to share some highlights of our operating performance as well as some achievements during the quarter under review, after which Sanjay would share highlights on our financial performance.

We are pleased to share that the company has achieved consolidated revenues of INR2,528 crores during Q3, growing by 3% year -on-year. The company achieved an EBITDA of INR319

crores at a margin of 12.6%. Looking back at our revenue growth guidance for the year, which was at 10% to 12%, we've already achieved 11.7% growth YTD and are well on track to meet our top line this year.

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We are on course to achieve our FY '27 vision of reaching INR15,000 crores by maintaining market leadership and profitability in our core business while scaling up our emerging businesses. YTD company revenues are at INR8,049 crores, with our emerging business comprising of Domestic Consumer business, Global Brands, Advanced Textile and Flooring witnessing double-digit growth of 10% YTD FY'25 and contributing about 30% of the total revenues.

Brands are at the heart of our future growth ambition, with Christy going global as a luxury brand and clocking record high sales during Black Friday, Welspun brand showing strong 12% YTD growth as the most distributed HT brand in India, and Spaces on the path to offer a complete home experience to the mass-premium Indian consumer.

Domestic Flooring showed strong double-digit, 17% growth YTD, and we continue to revitalize our international flooring strategy, focusing on home improvement chains, hospitality segment and indigenization. Advanced Textile business grew 11% YTD as we continue to build strategic

partnerships to diversify value-added product application and diversifying into new categories in home care, personal care, medical and high-performance filtration.

Our home textile exports witnessed steady growth of 6% in Q3 and 14% YTD. We continue to gain market share in U.S. in both bed and bath, with higher dispatch growth as compared to the market. Our pillow factory in U.S. helps us to tap into the utility bedding segment and complements the "Make in America" ambition of the new U.S. administration. Let me give you an overview of our branded portfolio, starting with Global Brands. Our global brands witnessed robust growth of 10% in Q3 and 23% YTD. Christy has shown global potential beyond U.K., with extended presence in Middle East, U.S.A. and Africa and plan to soon launch in India. Christy has made significant strides in its premiumization journey, with a higher gross margin in Q3 and YTD this year as compared to last year. Our licensed brands, Martha Stewart, COCOCOZY and Disney Europe witnessed over 40% growth YTD, opening up additional shelf space with the key retailers.

Next, moving on to our domestic retail business performance. Urban consumption was subdued, and inflation hovering around 5% to 6% during the quarter. As per a survey by RAI, the festive demand in the retail sector improved during October-November about 7%, though lower than the anticipated growth of 10%. Amidst higher food inflation and softened urban spending, we witnessed a modest growth of 2% in our domestic retail business, clocking a revenue of INR177 crores in Q3 and over 6% growth YTD '25. Welspun brand witnessed a healthy growth of 8% in Q3 and 12% YTD, and continued to be the most widely distributed home textile brand in the country.

Brand Spaces has outgrown the category in modern trade channel, emerging as a leading brand within the category and gaining market share. Quick commerce segment has been significant traction with 8x growth between Q1 and Q3 FY '25. We have continued our investment in domestic markets with marketing spend to the tune of 10% for improving brand visibility and salience as well as a focus to build profitable business growth.

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India is expected to bounce back stronger in the next few quarters with expected consumption recovery, green shoots of which is already seen in rural consumption. Our focus on India market is unwavering, with a strong off-line and online strategy and a brand for every consumer.

On the domestic flooring front, while we continue to see growth in hospitality and commercial segments, residential segment showed strong performance in Q3. India's specific product development in hard times has further driven up the sales. Domestic flooring revenues grew by 6% Y-o-Y and 17% YTD.

Our home textile exports witnessed strong performances across regions. U.S. economy continued to show resilience in the current year, with the Q3 growth at 3% Q-on-Q and 2024 GDP growth expected at 2.8%, aided by consumer spending growing at 3.3% annualized rate in the fourth quarter after accelerating at 3.7% pace in July-September quarter. India continues to be the leading supplier of terry towels and bed sheets to U.S.A., and as per the OTEXA data, India continued to enjoy dominant market share in exports to U.S. for trailing

12 months November 2024 period, both in TT at 43% and bedsheets at 60% in value terms. Welspun expanded its market share in both bed sheets and terry towels, with bed sheets at 18% dispatch growth vis-a-vis overall U.S. export market, growth of 5% in bed sheets and flat growth vis-a-vis 2% market decline in TT.

Our fully automated pillow factory in Ohio U.S.A. started commercial production in September 2024, overall achieving capacity utilization of average 24% in Q3. Every month, we would see increasing utilization of the plant,

thereby increasing our footprint in the largest market and

helping us better serve our customers with differentiated products such as a patented Gx pillow to promote better, most restful sleep.

In Q3, we saw strong traction in EU, driven by large programs in bath category. In Q3, our dispatches to rest of the world also witnessed robust growth, led by offtakes in Japan, Middle East, GCC and ANZ.

Moving on to flooring. The challenges we witnessed due to Red Sea continue to impact the transit times and invoicing, with the business recording a revenue of INR216 crores, degrowing by 12% Y-o-Y. We are hopeful of recouping the growth in the business in Q4 and next year, with lower expected freight rates due to the Israel -Palestine truce and distributors starting to restock.

We continue to focus on the home improvement business and have added new big ticket customers across all geographies. We have also diversified by tapping opportunities with OEMs in the U.S. and strategic tie-ups to strengthen our position in ANZ.

The Advanced Textile business witnessed a revenue of INR132 crores, degrowing 5% Y-on-Y, but growing 11% YTD. While transit time issues impacted sales during the quarter, we had strong spunlace order book across U.S., U.K., Europe and Middle East for Q4 and new partnerships across globe with our innovative and sustainable non-wovens.

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ESG is embedded in every aspect of operations at Welspun, keeping us ahead of our peers globally in sustainable practices. We published our sustainability report third time in a row with data assurance as per GRI framework. We are well on our journey towards achieving 100% ROE and our ESG targets for 2030.

We stand by our guidance of 10% to 12% revenue growth at '25. Considering some one-time costs that have hit us during Q2 as well as Q3, majorly due to external factors, we would like to revise our full year EBITDA guidance to about 14%, with our strategic efforts moving in the right direction.

With this, I would now like to hand over to Sanjay, who will take you through the financial highlights.

Sanjay Gupta: Thank you, Dipali, and greetings, everyone. I'll give you a brief overview of the financial numbers for the quarter 3 before we open for question and answer. During quarter 3, we reported consolidated quarterly revenues of INR2,528 crores, up 3% year-on-year. Our YTD revenues are at INR8,049 crores, up by 11.7% versus last year. EBITDA margins of quarter 3 stood at INR319 crores, that is 12.6%, which down by 16.6% Y-o-Y. YTD EBITDA stood at INR1,133 crores, that is 14.1%, up by 1.6%.

Our contribution margin was impacted to the extent of about 1% due to a change in product mix in the quarter from a one-time promotional program, which led to higher input costs. Further, as mentioned in earlier 2 quarters discussions, we kept a vigil on the Red Sea front to ensure that we do not get affected adversely. Even with some normalization of capacities and freight rates, we had to incur relatively higher ocean freight at about 40% more than last year, resulting into an impact of about 0.4% to the profits.

With the situation further normalizing with Israel -Palestine truce, we are hopeful of freight rate rationalizing in the upcoming quarters. Further, the sudden depreciation of the rupee against the dollar in December also impacted our profit by another 0.6% due to mark-to-market adjustment for restating our net current assets at quarter end despite higher realizations for the month of December.

We have a Board-mandated policy of covering our 60% to 65% of net exposure for 1 year rolling forward. Our average exchange realization for the U.S. dollar during quarter 3 of '25 was INR84.62 compared to INR83.80 in the corresponding quarter last year. YTD, it stood at INR84.3 compared to INR83.17 in the corresponding period last year.

We still have the same coverage situation in quarter 4 and the correction in mark-to-market would take a couple of quarters. Overall, these one-off costs impacting our EBITDA is expected to be set right from quarter 4 onwards.

Profit after tax after minority interest for the quarter is at INR121 crores vis-a-vis INR177 crores,

down by 32% year -on-year. YTD PAT stood at INR507 crores vis -a-vis INR535 crores Y -o-Y, a decrease of 5.2%. Consequently, our consolidated EPS for quarter 3 stood at INR1.27 per share as compared to INR1.84 per share, down b y 31% year -on-year, and YTD EPS stood at INR5.30 per share as compared to INR5.54 per share, down by 4% year -on-year.

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Net debt stood at INR1,658 crores versus INR1,832 crores last quarter, which is lower by INR174 crores and versus INR1,542 crores last ye ar, which is higher by about INR117 crores. This increase as compared to last year has been due to investment in capex and higher working capital. The interest cost due to borrowings for increased capex , which was around INR595 crores year -to-date, and wor king capital requirement have gone up to INR62 crores from INR42 crores last year. With reduction in working capital planned in ensuing quarters, we will see savings on account of this cost.

Coming to segmental results. Q 3FY25 Core business Home Textile revenue stood at INR2,282 crores versus INR2,251 crores in Q3FY24 , up by 1.3% year -on-year. YTD financial year '24 Core revenue stood at INR7,382 crores versus INR6,641 crores last year, up by 11.2% year-on-year. Quarter 2 EBITDA of Home Textile stood at INR286 crores at 12.5% as compared to INR347 crores at 15.4% last year. YTD Home Textile EBITDA was at INR1,009 crores at 13.7% as compared to INR1,019 crores at 15.3% last year.

During quarter 3, r evenue from Flooring business was INR216 crores, down by 12%. EBITDA was at INR17 crores, that is 7.8% as compared to 8.1% last year. YTD revenues for Flooring is at INR693 crores, down by 2.9% year -on-year, and EBITDA is at INR60 crores, that is 8.6% as compared to 8.2% last year. In Q3FY25 , we have spent INR103 crores towards capex , majorly towards our new towel project at Anjar. Year -to-date total capex stood at INR595 crores versus our guidance of total year's capex at INR860 crores.

With this, I'll leave the floor open for question and answer. Thank you.

Moderator: The first question is from the line of Perna Jhunjunwala from Elara Capital.

Perna Jhunjunwala: Just wanted to understand the demand scenario in the U.S. f or home textiles, largely as consumer sentiment there continues to remain a little weak post December sales. So please give some color on how home textiles and other market went? And what is the figure that you're getting for next 1 year's demand scenario?

Dipali Goenka: So I think I can just tell you about the global scenario. Global scenario - it's a mixed bag. There are certain times when there are seasons where you have the annual events or seasonal offsites, they will have -- there will be a peak. But having said that, United States still remains at a bright spot. It will come back. It is definitely going to come back. Middle East has its great opportunity as well.

So I think overall, and I think I must tell you that having sa id that what the markets are, but I think India stands a great chance and opportunity to be a centerfold of supply chain globally for all the countries. And you have seen even the OTEXA data and even seen in the Welspun numbers that we've seen that despite the market, India, not only India, but Welspun has grown in the terms of exports from India.

So just to sum it up, Perna, while the markets can look the way it is, the consumption will continue in the United States being the largest economy of consumpti on for home textiles. U.K., Europe are subdued, but the Middle East and res

t of the world are going to take that share in the

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terms of consumption, and India will be the centerfold of the exports and the supply chain for the world.

Perna Jhunjunwala: Okay. Understood, ma'am. My second question is, how should we look at gross margins in current scenario of declining cotton prices. Cotton prices continue to remain weak, so how is it likely to impact your profitability going forward?

Sanjay Gupta: As you kno w, cotton prices have been slightly coming down from INR56 to INR52 to INR53.

So we have been continuously buying. We have about 5 to 6 months of stock with us. And hence, on a consolidated basis, we should be looking at about INR54,000 to a cotton. So we should see 1% to 2% benefit from this coming in the ensuing quarters.

Perna Jhunjunwala: Yes, you can continue then I'll ask again one last question.

Sanjay Gupta: Yes. So 1% to 2% margin gains, we can see in t he ensuing quarters due to cotton based on the current prices of cotton.

Dipali Goenka: And overarching, if I look at the numbers, I think you're asking about the EBITDA and the

subdued EBITDA, right, Prerna? That was your question.

Prerna Jhunjhunwala: No, I asked for gross margins only for how cotton can improve or what will be the impact of lower cotton prices on our gross margin. Last question is on -- you mentioned about there was a mix impact in our numbers this quarter. Is it going to continue going forward or it was a one-off?

Dipali Goenka: It was a matter of one program that we did in this quarter actually, Prerna. So that mix impact has gone. However, there were these macro impacts that have been playing, the Red Sea and the others, and hence, that has also impacted our EBITDA. So having said that, our path towards our commitment towards a 10% growth on the top line remains. And a little deviation on the bottom line is there, but it's just a small deviation.

Moderator: The next question is from the line of Yash Darak from RSPN Ventures Private Limited.

Yash Darak: So yes, I do appreciate the fact that we are closer to meeting our yearly guidance of 10% to 12% revenue. If you could still shed some light on what led to a dip in the revenue in the December quarter?

Sanjay Gupta: So as we said in our opening remarks, so while export continued to grow, it grew at about 6%, maybe slightly 1% or 2% lower than what we had anticipated. However, the other businesses of Flooring and Advanced Textile were impacted due to the Red Sea issue, which led to increased rate of freight due to which the buying dispatch decisions were postponed by many buyers. And hence, we saw that reduction or we saw some dip in those businesses. However, as we go along, we have seen that the Red Sea issue is setting itself right and also the cost, the freight costs have come down, which will ensure that we will do these dispatches in quarter 4 and the ensuing quarters.

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Yash Darak: Okay. And as far as the interest rates are concerned, I think the interest cost has increased despite the gross debt going down. If you could just give some color.

Sanjay Gupta: Yes. So during the quarter, we had to keep some stocks because of the delays in dispatches, which we were seeing due to Red Sea issues and the freight rates. And hence, during the quarter, we had to hold stocks, which we were able to sell to a large extent by the CN, but that led to a slightly higher interest cost during the quarter. However, the working capital is coming down, and you will see remission in that as well from quarter 4.

Yash Darak: Okay. And there was a INR341 crores CapEx which was supposed to be completed by Q3. Has it been completed? Or when do we see it being completed?

Sanjay Gupta: It is on the verge of completion, so we should see that happening by this quarter.

Yash Darak: Just a few questions more. Could you guide on the effective tax rate for the year? And do we see any benefit accruing to us due to tariffs being implemented on China by the U.S., if you could comment on that?

Sanjay Gupta: The first question on tax, our average tax rate is about 25% to 26%, effective tax rate.

Yash Darak: For the year?

Sanjay Gupta: Yes, for the year.

Dipali Goenka: And for the tariffs to your question, let me say that I think India has anyway become a part of the supply chain globally, so that's the opportunity India continues to enjoy and will, in the future, also continue to do so from the terms of traceability of the cotton and also the stable democracy and the integrated supply chains that we have in India. So that will continue here. I think that's what we will maintain as of now.

Moderator: The next question is from the line of Bhavin Chheda from Enam Holdings.

Bhavin Chheda: Sir, I missed on the margin guidance, what you gave of FY '25, you're maintaining sales guidance. What is the revised EBITDA guidance for fiscal '25?

Sanjay Gupta: So we gave in our opening remarks that due to some onetime costs that we had to incur in quarter 2, quarter 3, we are revising it to about 14% for the entire year.

Bhavin Chheda: Okay. And yes, I heard that you said that there was contribution margin impact of 1%, ocean freight of 40 bps and rupee depreciation of 30 bps. So that -- you also said that this will last for 1 or 2 quarters more only?

Sanjay Gupta: Only for U.S. dollar impact, because we have covered 60% to 65% dollar for next 1 year. And because we are out of the money at the current U.S. dollar rate, so it's just an accounting impact. There is no cash impact. So because of the hedge accounting.

Bhavin Chheda: Of your sales, how much percentage is covered?

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Sanjay Gupta: About 60% to 65%. So we are covered about 60% right now.

Bhavin Chheda: You're covered for 60% of the 12-month rolling sales for next year. And at what rate, sir?

Sanjay Gupta: So I mean -- yes, we cover it at various points of time. So that rate, we cannot disclose, but we are currently out of the money.

Bhavin Chheda: Okay. So -- and that is accounted before the EBITDA line?

Sanjay Gupta: Yes, that's accounted before the EBITDA line. And that's only an accounting entry, not cash. If in the next quarter, we realize better, then that loss goes away. But setting itself right, it will take about 1 quarter or 4, 5 months.

Bhavin Chheda: You said 2 quarters, basically. Then obviously, the forward rates will keep continuing higher.

So that is -- that depreciation impact was 30 bps in the EBITDA margin, which possibly may continue for next 2 quarters. The other 2, you're saying ocean freight has largely reversed now, so that impact would start getting diluted from next quarter onwards, right?

Sanjay Gupta: Correct. So in quarter 2, we saw about 1% impact because of this. In quarter 3, we saw 0.4% for freight. Now we don't foresee anything -- any impact on freight. Dollar, 0.6%, we saw, but the impact of it will taper down and will become close to 0 in about 4 to 5 months. And the 1% impact for the COGS because of mix will also not be there.

Bhavin Chheda: On the operational side, if I see even bath linen sales on a Y-o-Y basis declined in volume terms by almost 6% to 7%, whereas your bed linen actually showed a very good growth. So was there any base effect issue or a specific client issue where -- actually the U.S. bed linen has picked up in quarter, but the bath linen has not picked up. So anything specific here? Or was it just a general inventory or a program-related issue, which had such diverse figures in 2 product segments of home textile?

Dipali Goenka: I think in America, if I look at the bath, the bath has actually degrown in America according to the OTEXA

data, but we have seen a growth of 2%

Sanjay Gupta: In just stocking, yes.

Dipali Goenka: So it is just a stocking issue, and which will actually be corrected in this quarter. It has already picked up.

Sanjay Gupta: So our production was slightly lower. We had stocks already there, so we sold. So we saw growth both in towel and bed sheet. Of course, towel was slightly lower, bed sheet was slightly lower, but we saw growth both in that in the sales.

Dipali Goenka: Bed sheet has actually grown for us in 15%. Towel has been flattish, but that is a matter of a quarter.

Bhavin Chheda: Because in the presentation slide number 12, you give the production numbers, right? So you're saying that sales volume number was -- decline is not so high, what is reflected in the production volume number, which you give in Slide number 12?

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Sanjay Gupta: Correct.

Dipali Goenka: Yes. Because it's a matter of goods in transit and also the matter of warehouse inventory also. So there's a whole lot of mix there.

Bhavin Chheda: And bed linen growth was much, much higher than the bath linen growth.

Dipali Goenka: Yes. Yes. Absolutely.

Bhavin Chheda: Okay. And post December, you think this has normalized now and both will move in tandem going forward? So this was a stock-related client-related issue, but this would now largely -- if that is sorted out by December or a calendar year-end in U.S., this will normalize from next quarter?

Sanjay Gupta: Correct. So quarter 4 -- so we -- whatever stock we had, many of which we sold off, hence, you are seeing also a reduction in our total stock as compared to September and December. So more or less, it's in order. However, if we sell more out of stock, then probably we also see again more sales.

Bhavin Chheda: Last question on the Flooring business run rate, which declined after many quarters. So you mentioned Red Sea issues in that. So is that largely sorted out and this will go -- move back to INR250 crores, INR260 crores type of a quarterly run rate with improved margins? Or this should also take time to normalize?

Because we have -- because obviously, we are also maintaining a INR15,000 crore top line run rate for reaching by FY '27, and Flooring has to play a very big role there, almost like if I'm saying I figure like incremental INR1,000 crores to INR1,200 crores. So what confidence are you getting on the Floorings to get back to normalized run rate and in fact, a double-digit growth rate in the Floorings business?

Dipali Goenka: So I think Red Sea actually has played a very big role in the terms of being a deterrent in the terms of our Flooring business globally. However, I must tell you that the carpet tiles grew by double digit. It is basically the hard flooring which actually degrew. And we are going to actually

-- it will get mobilized by, I think, quarter 4 end, and next year looks as a steady run rate.

Sanjay Gupta: We continue to grow at 20% to 25% next year onwards, so we should see closer to our number of financial year '27.

Moderator: The next question is from the line of Pratik Tholiya from Systematix .

Pratik Tholiya : Just wanted to understand the reason for the sharp increase in your finance cost in this quarter.

Sanjay Gupta: So Pratik, as I was mentioning earlier, so we had to hold larger stock during the quarter. If you see our quarter 2 end stock was quite high, and we are building for the festive business, so some of which trickled into quarter 3, and quarter 3, we will continue to face the Red Sea challenge and higher freight rate.

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So the dispatches are getting pushed, so we had to hold larger stock and hence, investment in working capital. So we saw a slightly higher interest cost. If you also see from last year to this year, our interest cos

t per se has also gone up by about 1% because of the increase in interest costs. So these are the main reasons why interest cost. But as we have pared down our working capital, you should see a reduction in this cost as well from quarter 4 and more so from quarter 1 on.

Pratik Tholiya: So what is the average cost of debt?

Sanjay Gupta: It's about 7%.

Pratik Tholiya: Which you were saying earlier was 6%.

Sanjay Gupta: Earlier was 6%, correct.

Pratik Tholiya: And sir, you are expecting your 9 -month balance sheet also, your gross debt to be around INR2,800 crores. So how do you see this number by the end of this financial year?

Sanjay Gupta: So we have guided towards a 10% to 12% growth for the whole year, and so we are standing on that behind that. So we should reach that number.

Pratik Tholiya: No, I'm asking the gross debt number.

Sanjay Gupta: Okay. Gross debt. So gross debt -- so we talk about net debt, net debt, we are at INR1,650 crores.

Yes, so gross debt is about INR2,800 crores. So while for quarter 4 end, we should reach a net debt of about INR1,400 crores to INR1,500 crores. That means a reduction of about INR200 crores in financial year '25. Financial year '26, we should be at INR1,000 crores; financial year '27, about INR400 crores, INR500 crores; financial year '28, 0.

Moderator: The next question is from the line of Perna Jhunjhunwala: from Elara Capital.

Perna Jhunjhunwala: Just wanted to understand the volume growth number for the quarter and how average realizations have moved for this quarter and 9 months?

Sanjay Gupta: So we actually don't give out those numbers. So overall growth is 3%. And we have -- in some quarters, we have volume growth, some quarters, we have price growth. But...

Dipali Goenka: But -- and we maintain our numbers here, Perna. Our numbers growth that we have discussed, I mean, the 10% growth annually, we are on that track, Perna.

Moderator: The next question is from the line of Monish Ghodke from HDFC Mutual Funds.

Monish Ghodke: Just wanted to ask about pillow business. So what was the revenue from this business in Q3, if you can share?

Dipali Goenka: So Monish, we are looking at this year -end to be having a top line of around \$20 million from our pillow business. And next year, we will double this number. So this is what it is, and we feel this is a huge opportunity for us because it is as good as a volume as towels.

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Monish Ghodke: Okay. And when you say the effective capacity, I mean, it's 4.7 million pieces and install is 13.5 million. So how much time will be required to ramp up this from 4.7 million to 13.5 million?

Sanjay Gupta: It will take about 2 years. So this is based on the machine capacity and then 1 shift, 2 shifts, so it will take about 2 years to reach the full capacity.

Monish Ghodke: And do we have to do any capex to increase this capacity?

Sanjay Gupta: No, no, no. Just people.

Dipali Goenka: It is a matter of kind of productivity because it is automated.

Monish Ghodke: And could you just give a broad idea as to what would be the realization per piece in case of pillow?

Sanjay Gupta: As of now, we will not be giving out that. But...

Dipali Goenka: But there's one thing, Manish. We will play in better and best category here. We want to -- we are not going to go into the deep down dirty good, like a cheap category, but we are going to talk about better and best. That's what we are working on.

Moderator: The next question is from the line of Resham Jain from DSP Asset Managers.

Resham Jain: Resham Jain here. So I have just one question on the cotton. Since this year is a unique year where a lot of cotton has been bought by CCI, and typically, we have seen that in the past, CCI has resorted to selling cotton even below the price and incurred huge losses. And you are currently havin

g a good amount of cotton with you, as you mentioned in your remarks. So what are -- how are you thinking about the overall cotton dynamics playing out this year given the kind of unique situation of cotton being bought by CCI?

Dipali Goenka: So there are around 18 lakh bales in the market, and they have taken on -- around 185 lakh bales that are there in the total arrival, they have taken around 85 lakhs. And today, if I look at it, the average cost is around INR53,000, INR54,000 per bale.

And I think the opportunity right now, which I see as India and the others, is that globally, the Brazil and the other countries are the countries from where our peers are outsourcing their cotton. We have an import duty from outside into India. So hence, I think we'll be consuming our cotton internally. So overarchingly, our cotton cost will be around INR55,000.

Sanjay Gupta: So to carry it forward, you talked about MSP in CCI. So yes, CCI is buying, MSP is much more than INR53,000, INR54,000. So when MSI sells it, depending on the seed prices, we may see cotton going up to maybe INR56,000 as well. However, everything depends on at what seed prices are. If seed prices are higher, the cotton cost will be lower, if seed is lower, then yes. So it could be -- but we are seeing only a INR2,000 to INR3,000.

Resham Jain: Okay. And for you, do you have an option to import cotton without duty, given you have a large export, so you might have kind of export license against which you can import as well? So is that option available to you? Because globally, it is cheaper. So...

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Sanjay Gupta: No. So we have to pay duty. In some cases, we may get a remission if we export out of it, but that's a long drawn affair. And we don't get into it because getting the remission takes time, a lot of time.

Resham Jain: So you don't use advanced licensing for importing cotton.

Sanjay Gupta: No.

Resham Jain: Okay. Understood. And the second question is generally on the demand. How do you see the overall demand shaping up in U.S., given that the festive was not as great as expected? And I presume that there will be some inventory left with some of the retailers, given some of the retailers have already -- were out with numbers. So overall, what is your sense, what kind of order book you are seeing both in bath linen and towels?

Dipali Goenka: So our top line, we are going to maintain what our steady -state top line we're talking about, around 10% growth. And I think that's what it is going to be. One thing is that right now, the inflation impact in America is high, which I think with the new administration coming in, is something that they're going to be working on. And that is going to be something to be seen regarding the housing market and the inflation.

Resham Jain: Okay. So for you, the order book is normal. There is no change. Okay. Understood. Can I ask one more?

Sanjay Gupta: Sure. Sure.

Resham Jain: So the last one is on the branded piece in India, and because it is still in the buildup stage where you are doing a lot of activities, so I presume that the margin in that business will be low. So how is the profitability going to shape up in that business? Because that must be pulling down your overall margins as well.

Dipali Goenka: So I think India is big market that we are definitely investing in. And so it is going to take time, and with if I look at all the global economies, India has got the highest potential of growth. And as we look at it, we are actually focusing on both our brands, Spaces and Welspun, at a steady -state growth of CAGR of around 25% to 30% and at a breakeven. And that is something is going to be a very important aspect that you will see this year in 2025 as well.

Moderator: The next question is from the line of Biplob Debbarma from Antique Stock Broking.

Biplob Debbarma I have just

one question regarding the new regime. I mean, Trump has become President again.

So do you see any uncertainty regarding tariff in Home Textile? So do you see any uncertainty? Because we have been hearing some news that left, right and center is putting some tariff on some products. I'm not an expert in those. But on Home Textile, do you see any uncertainty, any challenges going forward?

Dipali Goenka: So there are 2 things. Actually, this regime is talking about balance of trade across the globe. That is the first thing. Secondly, the focus towards inflation in control is going to be a very important focus.

Now Biplab, when you talk about India, I think India being having the most important robust supply chain in the terms of cotton, traceability, stable democracy, the vertical integrated plants, we, I think here are stand to gain. And the relationship of India is strong. So we will wait and watch there, Biplab.

Moderator: As there are no further questions from the participants, I now hand the conference over to Ms. Dipali Goenka for closing comments.

Dipali Goenka: So thank you for your time today. The mid - to long -term attractiveness of the business continues to be high as we work with unwavering focus to achieve our current and future objectives of sustainable and profitable growth.

Home Textile export business continues to grow in excess of 14%, with positive momentum across U.S., Europe and rest of the world and steady start of our U.S. pillow facility. We'll continue to focus on our branded sales with Christy leading our global presence, and Spaces and Welspun in India reinstating our Har Ghar Se, Har Dil Tak Welspun.

Our sustainable and responsible practices have made us leading ESG corporates, not only in India, but globally, and we are well on our way towards achieving our targeted matrices by 2030.

Thank you for your continued interest in Welspun Living. For any further queries, please feel free to connect with Salil and Sanjay.

Sanjay Gupta: Thank you, everyone.

Moderator: On behalf of JM Financial, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

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"Welspun Living Limited
Q4 FY25 Earnings Conference Call "
May 29 , 202 5

MANAGEMENT : MS. DIPALI GOENKA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – WELSPUN LIVING
LIMITED
MR. SANJAY GUPTA – CHIEF FINANCIAL OFFICER –
WELSPUN LIVING LIMITED
MS. BHARTI AGARWAL– HEAD INVESTOR RELATIONS
- WELSPUN LIVING LIMITED
MR. SALIL BAWA – HEAD INVESTOR RELATIONS –
WELSPUN GROUP

MODERATOR MR. ASHUTOSH SOMANI – JM FINANCIAL LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Welspun Living Limited Q4 FY '25 Earnings Conference Call hosted by JM Financial Institutional Securities Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I would now like to hand the call over to Mr. Ashutosh Somani from JM Financial Institutional Securities Limited for opening remarks. Thank you, and over to you.

Ashutosh Somani: Thanks, operator and welcome everyone to the call. I will first thank Welspun Living for giving JM Financial the opportunity to host today's call. Without much ado, I'll hand over the call to Mr. Salil Bawa, Head, Investor Relations, Welspun Group to introduce the management. Over to you, Salil.

Salil Bawa: Thank you, Ashutosh, and good evening to all of you. On behalf of Welspun Living Limited, I welcome all of you to the company's Q4 and FY '25 earnings call. Along with me, we have with us today Ms. Dipali Goenka, Managing Director and CEO; Mr. Sanjay Gupta, Chief Financial Officer; and my colleague, Bharti, who has joined as Head of Investor Relations for Welspun Living.

We hope you have had a chance to review the investor presentation that we filed with the exchanges today. Apologies, it got a little late in getting uploaded because of some technical issue. It is also uploaded on our website. During today's discussion, we may be making references to the presentation. Hence, we'd request you to kindly review the safe harbor statement in our presentation.

As usual, we will start the forum with the comments from senior leadership team and then we'll open the floor for questions. Once the call gets over, should you have any further queries that remain unanswered, please feel free to reach out to any one of us.

With that, I would now like to hand over the floor to Ms. Dipali Goenka, Managing Director and CEO. Over to you, ma'am.

Dipali Goenka: Thank you, Salil. Good evening, and thank you for joining us for the Q4 FY '25 earnings call. We continue to operate in a BANI world, one that is brittle, anxious, nonlinear and incomprehensible, marked by shifting global trade dynamics, tariff uncertainties and fast - evolving consumer sentiment s across key markets. In this complex and fragile environment, staying resilient and adaptable is no longer optional. It's essential.

At Welspun Living, we stayed true to our core strength, resilience, agility and forward-looking innovation. The recent developments around reciprocal tariffs, especially from the U.S., have introduced short-term unpredictability into trade flows. While the 90-day pause offers some relief, the U.S.-India bilateral trade agreement remains in progress. We remain cautious and expect near-term volatility to persist. We continue to prioritize agility, cost efficiency and deeper customer engagement to strengthen our position in key markets. We have weathered disruption before. This time is not different. Our supply chain resilience, serviceability and product innovation are levers to not just manage risk but also unlock new opportunities. The announcement of the India U.K. free-trade agreement is a pivotal moment for home textile industry in India. While the full contours and the time lines of the agreement are awaited, we are optimistic about its potential to provide a strong impetus to India's textile trade. For the first time, India stands on equal footing with Pakistan and Bangladesh in the U.K. textile market. This levels the playing field and India with its scale competitiveness and political stability is well positioned to lead.

At Welspun Living, we see this as a catalytic opportunity with resilient supply chains, strong distributor and customer partnerships and a focused licensed brand strategy, we are well positioned to unlock value in this next wave of global trade realignment. This moment reinforces both India's rising global relevance and Welspun Living's leadership as a trusted future-ready partner in home textiles worldwide.

Highlights of the year gone by. I'm proud to share that we surpassed a significant milestone this year by crossing the INR10,000 crores revenue mark, delivering consolidated revenue of INR10,697 crores, 8.9% year-on-year growth. Importantly, emerging businesses contribute approximately 30% to our total revenue, reinforcing the strength of our diversified portfolio. Welspun Living remains committed to redefining home solutions sustainably by establishing itself as the FMCG of textiles through strong product and brand play across global and Indian markets and a 360-degree customer-centric approach.

At a strategic level, we have achieved a remarkable milestone in sustainability, securing a total ESG score of 83 in 2024, S&P Global Corporate Sustainability Assessment, CSA. This recognition solidifies WLL's ongoing leadership as the highest ranked textile manufacturing company from India in the textile, apparel and luxury goods category. The score also places WLL as a fourth position globally in the aforesaid category. We are equally proud to have been certified a Great Place to Work for the second consecutive year with a 96% participation rate, underscoring the trust and engagement of our people.

Now coming to our performance. Our consolidated revenue stood at INR10,697 crores for the full year with EBITDA margin at 13.6%. As per the FY '25 guidance laid out earlier, we have slightly departed from our revenue and margin targets due to the cautious order pattern from customers in Q4 ahead of tariff implementation, which impacted core as well as emerging businesses. However, we remain committed to maintaining market leadership and profitability in our core business by scaling up our emerging businesses.

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Our Home Textile exports grew 10.8% in FY '25, marking yet another steady year. As global trade realigns, India stands to gain and with our integrated portfolio, play and scalable manufacturing, we are optimistic about growth in emerging categories by reinforcing our core leadership. The pillow, utility and fashion bedding remain high potential segments. Our pillow plant in Ohio is ramping up well with 31% utilization in Q4. Our pillow business achieved revenue of about \$15 million this year, which we expect to nearly double in the coming year. We continue to invest in these emerging categories to remain the preferred partner of choice in the sleep ecosystem. Our global brands continue to be robust with 12% share of total revenues in FY '25. Christy has been synonymous with luxury and excellence, earning a distinguished reputation worldwide. We have a focused approach to drive profitable growth in U.K., U.S. and Middle East with premium positioning, product differentiation, pricing, architecture and increased collaboration to drive brand visibility.

Furthermore, we are actively working on diversifying into the digital realm to cater to the millennial demographic and expand accessibility. Our licensed brands, Coco Cozy, Disney

(Europe), Charisma and Martha Stewart continue to witness robust growth momentum, growing by 38%, helping us expand shelf space with the key retailers.

Next, moving on to our domestic retail business performance. Amidst subdued urban spending, higher food inflation and overall economic pressure we have witnessed

in the last more than a

year in retail segment, our domestic retail business clocked a modest growth of over 5% in FY '25 to reach INR605 crores for this year.

India's retail inflation slipped to more than 5 -year low of 3.34% in March as food prices continue to moderate and hence, consumption is expected to bounce back stronger in next quarters. Our focus on the India market is unwavering. Our domestic brands continue to gain growth ground and strengthen leadership position in the Indian home solutions space. Our global expertise has helped us build differentiated product offerings, especially curated for the consumer in our domestic markets to provide a superior brand experience.

Welspun brand continued to witness strong growth momentum with 10% growth in FY '25 with presence across 500 -plus districts and 22,000 outlets. Welspun brand continued to be the most distributed home textile brand in India. E-commerce segment has seen significant traction, grew 100% in FY '25, backed by solid performance in quick commerce, which has scaled 16x.

Welspun brand is riding the quick commerce wave and ranks top 2 in towels and top 5 in sheets. Spaces continues strong in its path to offer a complete elevated home experience with leading market share in specialty modern trade.

On the domestic flooring front, we witnessed 12% growth in FY '25, reaching INR162 crores on the back of all -round growth across hospitality, residential and commercial segments and focused engagements with AIDs. As the housing sector scales up, driven by rising GDP, urbanization and a shift towards premiumization, demand for high -quality design -led flooring solutions is only set to grow.

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We remain focused on deepening extraction from existing markets through a wider product portfolio and a focused approach on brand building. We are expanding our product portfolio for domestic markets through acquisitions of Drape Story, a company operating in product home furnishings like curtains, clothing or sofa, chairs, et cetera.

We are acquiring 84.3% equity in this company at an investment of INR14.57 crores. Current ARR of the company is INR20 crores, and it is expected to reach a revenue of INR100-plus crores in 3 years' time. This is again a substantial step by the company in strengthening its lead in home solutions space in India.

Moving on to Flooring. The challenges in the business continue to persist with the business recording a revenue of INR727 crores, degrowing by 7% in FY '25. Red Sea challenges till Q3 and lately, the uncertainty due to the U.S. tariffs and an overhang on the business throughout the year, despite these challenges, we remain focused on deepening our presence in U.S. home improvements and OEM channels, forging strategic partnerships across Middle East, Australia and New Zealand and leveraging the U.K. FTA to drive regional diversification and long -term growth.

The Advanced Textiles business clocked a revenue of INR562 crores, growing by 7.8% in FY '25. Spunlace and Needle Punch witnessed a strong growth momentum and good progress in business development activities. We remain optimistic on long -term prospects, leveraging our partnership with focus on offering value -added products for global markets in wet and dry wipes segments. Our ESG journey continues to be a strategic differentiator with focused goals on 100% renewable energy and 100% sustainable cotton by 2030. We continue embedding sustainability into every link of our value chain with industry -leading ESG practices.

We have made significant progress towards our ESG goals, and we are well on track to achieve our targets by FY '30. We are closely tracking tariff developments and strengthening our agility to navigate change. With integrated operations, strong retail partnerships and a diversified global presence, we are well equipped to manage short -ter

m volatility and scale up as the clarity returns.

With this, I would now like to hand over to Sanjay, who will take you through the financial highlights.

Sanjay Gupta: Thank you, Dipali, and greetings, everyone. Let me take you through the financial performance for the fourth quarter and the full year of financial year '25. During quarter 4 '25, we reported consolidated quarterly revenue of INR2,648 crores, up by 1.2% year -on-year. Our full year '25 revenue are at INR10,697 crores, up by 8.9% versus last year. EBITDA margin for quarter 4 stood at INR318 crores, that is 12%, which is down 20.5% year -on-year. Financial year '25 EBITDA stood at INR1,451 crores, that is 13.6%. The margin compression in quarter 4 is

primarily due to overall lower offtake than expected.

Profit after tax after minority interest for the quarter is at INR132 crores vis -a-vis INR146 crores year-on-year. Financial year '25 PAT stood at INR639 crores vis -a-vis INR681 crores year-on-year. Consequently, our consolidated EPS for quarter 4 stood at INR1.40 per share as compared to INR1.52 per share, down 7.9% year-on-year. Financial year '25 EPS stood at INR6.70 per share as compared to INR7.06 per share, down by 5.1%.

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On the forex front, our average exchange realization for the U.S. dollar during quarter 4 was INR85.21 compared to INR83.58 in the corresponding quarter last year. For the full year financial year '25, it was INR84.5 compared to INR83.28 in financial year '24.

Net debt stood at INR1,603 crores versus INR1,658 crores last quarter, down by INR56 crores and versus INR1,354 crores last year, higher by INR248 crores. This increase as compared to last year has been largely due to investment in capex, which has already been informed. Coming to segmental results.

Quarter 4 '25 core business Home Textile revenue stood at INR2,206 crores, up by 1.7% year-on-year. Financial year '25 core revenues stood at INR8,804 crores, up by 10.8% year-on-year.

Quarter 4 EBITDA of Home Textile stood at INR278 crores at 12.6% as compared to INR362 crores at 16.7% last year. Financial year '25 Home Textile EBITDA was at INR1,297 crores at 14.7% as compared to INR1,346 crores at 16.9% last year.

Financial year '25 revenues for Flooring was at INR889 crores, down by 4.1% year-on-year and EBITDA of INR74 crores, that is 8.3%. In quarter 4 of financial '25, we spent INR106 crores towards capex majorly towards Towel project at Anjar. For the full year financial year '25, capex stood at INR701 crores versus our guidance for total year capex, which was INR860 crores.

As per our Board approved distribution policy, we continue to distribute minimum 25% of our profits to our shareholders. The Board during this meeting held today on 29th May has proposed 170% dividend distribution for financial year '25 amounting to a distribution of INR163 crores being 25% of PAT for financial year '25, subject to the approval in the Annual General Meeting.

As had been informed earlier, the Board had, in financial year '24 and in financial year '25, approved a total capital outlay of INR1050 crores in Anjar in 2 phases for various expansions through its wholly owned subsidiary, Welspun Home Solutions Limited, to be spent over financial year '25 to financial year '27. The project for additional terry towels capacity of 6,400 metric ton at an outlay of INR341 crores is already nearing its completion in Anjar.

The Board noted a further spend of INR200 crores planned for financial year '26 out of the total outlay already approved in inter alia increasing terry towel loom capacity to produce additional 3,600 metric tons per annum and the consequent increase in Cut & Sew capacity and creating additional storing capacity for bed sheets.

This would increase our terry towel capacity to 1 lakh metric ton per annum. The internal capacity expansion would decrease the variability and in the cost of outsourcing, ensuring better

customer service and profitability. In addition, a maintenance capex of about INR100 crores would be spent in debottlenecking, modernizing and for balancing equipment during the year financial year '26, hence, taking the total expected capex at INR300 crores. In view of the prevailing situation, as outlined by Dipali earlier, we are unable to provide a firm guidance for

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the current financial year at the moment. As the situation settles down to some extent, we would come back in the ensuing quarters.

With this, I leave the floor open for question and answer. Thank you.

Moderator: First question comes from the line of Vishal Mehta from IIFL Securities.

Vishal Mehta: Yes, so firstly, on the branded segment on Home Textile, we've seen a sharp degrowth this quarter and resultantly also on a full year basis, probably our revenues are near flat. So what happened here this quarter specifically and especially that this is a growth segment for the company, how do you look at the growth for this segment?

Dipali Goenka: So in the branded in India, I can say that we have actually grown annually by 3% because of the challenges that we saw in the economy and the demand. In the quarter 4, we actually saw a 16% growth in the B2C. So that was very, very encouraging. And we are poised towards our 30% growth this year in our domestic market. So that I'm very confident about.

And Welspun, as you know, is our affordable brand that actually we are going to all the towns and cities and Spaces is our aspirational brand. So that is where we are. We are poised towards

a journey of a brand going to around INR1,200 crores in the next 2 years.

However, I must also add here that our branded segment totally, which includes our global brands like Christy and our licensed brands and including the Spaces, have grown to INR1,700 crores this year. So that has been very heartening.

Sanjay Gupta: So overall, branded business, has remained at the same level because we had certain brand orders last year, which came into the quarter 4 and which has in this year moved to quarter 1. And our entire global branded segment has moved to about INR1,200 crores.

Vishal Mehta: Yes, so I was actually specifically asking on the global branded piece that is showing a sharp degrowth in Q4.

Sanjay Gupta: So overall, global branded is, as I said, it is at a breakeven level, I mean, same. So we did about INR1,158 crores this year similar to last year. This year, of course, we have done higher, but impact of it will come in quarter 1 because last year, quarter 4, we had some higher orders. And so otherwise, the branded business is continuing to grow.

Dipali Goenka: So we are poised towards the growth here. Let me just put it very, very categorically. It is just a matter of orders moving from one quarter to the other in terms of licensed brands, but Christy continues to grow.

Vishal Mehta: And on Flooring, that continues to struggle despite probably our supply chain situation easing considerably compared to previous quarter, this quarter. So any color there?

Dipali Goenka: Yes. So flooring actually gets the impact very, very fast compared to the others because earlier, it was the Red Sea challenges that we saw in the quarter 3. And now with the whole challenges

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of these tariffs, actually in quarter 4, nobody picked up our goods. They actually held it on until there was some clarity on the tariff situation.

However, let me tell you that in our soft flooring, we saw an upside, and we continue to also see an upside in the hard flooring at the moment because of the China Plus One opportunity that we are seeing here.

So one more thing I must say that we are partnering with the home improvement national chains and the

OEMs & Hospitality. So that will actually see some upside here. So yes, Flooring has been a little muted, but we are confident in the future that we'll be able to strive towards this. And domestic flooring actually has grown by 12% this year.

Vishal Mehta: Last question on B2B exports. They have grown well this quarter, but they seem to have been coming at lower margins. What has been a major driver of growth firstly for this kind of a growth this quarter? And given the tariff situation, how do you see the growth in margins to play out in this segment?

Dipali Goenka: So first of all, let me tell you why Home Textile exports grew by 2% in quarter 4. But if I look at the entire FY '25, it was at 11%. And that actually in these times is quite encouraging. And while the margins actually are sort of -- it's a matter of one quarter or the other. But this quarter, actually, because the offtake was a little slow, and hence, that got impacted on our Home Textile margins.

So that's where we are. Otherwise, we are poised towards taking on the market leadership in America and also the same in U.K. So that's the opportunity that we see now post the United Kingdom's FTA, that's again a great opportunity for us.

Vishal Mehta: Okay. I think your Home Textile exports actually have grown well this quarter, right? You have said that they grew only 2%, but I think the Slide 10 and 11 of your presentation probably shows a very good growth on your global B2B and Home Textile B2B. So...

Dipali Goenka: Look, in Home Textile, actually, quarter 4 grew by 2% only. I think there might be a confusion. Annually, 11% growth we've had. And we are very bullish about this segment, which will continue to grow and at a single upper-digit number.

Moderator: The next question comes from the line of Prerna Jhunjunwala from Elara Capital.

Prerna Jhunjunwala: Ma'am, just wanted to understand the reason for margin pressure that is coming in this quarter. And how is U.S. tariff going to impact our performance in the first half of this year versus the full year?

Dipali Goenka: So the margins actually, as I spoke about it earlier as well, we just grew by 2%. And we couldn't ship some inventory because it was held up due to the tariff uncertainty in the Home Textile.

And that's where we could have that challenge. Now when we talk about the tariff, Prerna, and we all know that there's an uncertainty here.

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Yes. So while the government -- the U.S. government has put a pause for 90 days, that has been a little relief on this. But we are working very closely with our customers. And I think, Perna, can I be very candid here. There have been challenges of COVID and there will be challenges earlier as well.

And this is another challenge of tariff. But the relationships that we have with our customers over 2 decades, they remain absolutely stable. There's opportunity here where we are working very closely with their supply chain teams. So that has actually helped us to tide over this. And that's where we feel very confident.

One more thing is that we are working with one of the Big Four firms to guide us on the effective measures to minimize the overall tariff impacts and risks. So again, the challenges are there of tariffs. Welspun is not built for today or tomorrow. It's built for 100 years and over a legacy that we're going to create. So let me be very clear on that as well and our relationships with the retailers are very strong.

Perna Jhunjhunwala: Undoubtedly that you -- we are not really bothered on the continuity of the business. What we're just trying to understand the impact that tariffs could bring in given your higher exposure to the U.S. in the near term. And we should be -- I mean, we should not be caught off the hand if there is a sharp dip or a sharp improvement in any of the years or quarters.

Dipali Goenka:

Yes, I'm sorry, I'm happy to say few years back we usually were 80% America. Now we can say that it has now diversified to 60% to 65% United States. And the rest is the rest of the world. And that has become a great opportunity. And as we spoke earlier, now 10% to 12% also is becoming a brand share of our top line. So this is something pretty healthy as we say, as we go forward.

Perna Jhunjhunwala: And the second question on FTA. You have a decent exposure in U.K. as well. How are you progressing on that geography and connecting with clients to increase exposure over there? That would be helpful.

Dipali Goenka: So U.K., actually, let me tell you, every 1 in 4 towels in U.K. till today I can say positively that has been Welspun despite we had a disadvantage earlier. But now with the U.K. FTA, this has become a very big potential to expand our footprint, not only in towels, but in sheets. And we are already seeing good healthy conversations happening with a lot of retailers. So this has been very positive, Perna.

Perna Jhunjhunwala: And any opportunity for Flooring over there?

Dipali Goenka: Yes, yes. Soft flooring, hard flooring, advanced textiles, both in U.K. and Europe. And as you already know that Europe also, there are a lot of conversations happening on the FTA. And by July, we'll see a visibility there as well. I hope that's also positive. But yes, there are opportunities in textiles, soft flooring, hard flooring and advanced textiles as well.

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Perna Jhunjhunwala: Okay. And the last question is on guidance. I missed your initial part. If you have mentioned the guidance for revenue growth this year and margin guidance, if you have given any -- if you're giving anything for this...

Dipali Goenka: Perna, this is very, very -- I mean, I'll say the headwinds, our global headwinds, we can clearly see. And we are in these dynamic times. I don't think so we'll be able to give any kind of a guidance. And we will see how the BTA comes along. However, I will reinstate that our relationships with our customers hold strong in United States.

And we will definitely be well positioned to have a decent kind of position, let me tell you. And U.K. and Europe and rest of the world will also see some upside here. So I just want to tell you that too.

Moderator: The next question comes from the line of Tanishk Khinvasra from Antique Stockbroking Limited.

Tanishk Khinvasra : So do we continue to maintain our guidance of INR15,000 crores by FY '27 or there will be any deviation due to the current uncertainty?

Dipali Goenka: So I'll tell you our North Star is INR15,000 crores, maybe a little aberration of 6 months here and another year, that side. And with a 15% to 16% EBITDA, that we hold strong. It is just an aberration of this timing that might happen because of these kind of global dynamics, but we hold absolutely on to that number.

Moderator: The next question comes from the line of Nitin Shakhder from Green Capital Single Family Office.

Nitin Shakhder: This is Nitin Shakhder from the Green Capital Single Family Office. So obviously, my question is not on margins as a typical analyst would ask, I'm asking a question more from an investor's point of view. So Dipali and the management team at Welspun, I mean, obviously, we all know that U.S. revenue is 63%, 65% U.K., EU, 16%, 17% and India is about 13% and rest of the world is about 7%, 8%.

So can I specifically just ask about some risk hedging strategies that the management is doing to increase the revenue mix from U.K. or EU or India on new markets like Scandinavia, Japan, Switzerland, obviously, because U.K. and Switzerland have signed the FTA. I understand that they have strong relationships with U.S. customers and doesn't the opportunity seem larger in these other geographies and just some risk hedging strategies what the management has a

s part
of their strategy?

Dipali Goenka: So as I actually -- I spoke about it earlier, I mean, 5 years ago, we were talking about 80% of the revenue came from United States of America. Now it has been diversified, and it stands at around 60% to 65%. And we are derisking our businesses.

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And we see our growth coming in U.K., EU, GCC, ANZ and Japan. They are our focus markets. And actually, this quarter also, while U.S. slowed down for us, but we saw a growth in Europe and rest of the world over around 30%. So definitely, the derisking is going on.

And when we talk about the brand portfolio, which is our global brands, whether it is Christy, our Creative CO/Lab and like Martha Stewart and others, along with our domestic brands like Spaces and Welspun they are around 18% of our top line now. So literally, I mean, we are working towards hedging our risks across our typical portfolio here. Along with this, when we talk about Home Textile, we have other categories to talk about, the soft flooring, hard flooring and advanced textiles as well. So yes, that's where we are.

Nitin Shakhder: And just a follow-up to that is, obviously, as we all run businesses and I do understand that it takes time to create a revenue mix change from geographies and it's a process. But are you seeing higher value and more margins in the, so to say, economically richer countries like U.K. or Switzerland or Scandinavia or Japan and any products which you think will be better there for the clients there?

Dipali Goenka: So one thing, let me tell you, U.S. is our big market for sure, which has those kind of richer margins. But now when I talk about U.K. and the kind of retailers like John Lewis and the others, the margins tend to get better comparatively. Japan, again, is another economy where you see better margins.

And Scandinavia, again, gives you good volumes. And we have a license for Disney in U.K. and Europe. That actually has opened more doors towards East European countries where there are a lot of retailers who have a footprint of more than 2,000 stores. So that again has given us a huge opportunity towards that penetration that side as well.

So I think it's going to be a mix of everything, whether it's going to be a mix of volume, it's going to be a mix of margins, it's going to be a mix of categories. And the advantage that Welspun has is that it has a complete Home Textile portfolio, whether it's towels, bath rugs, bedding, sheets, utility bedding across extra as well, yes.

Nitin Shakhder: Okay, great. Thanks a lot, Deepali, and to the management at Welspun. I always like to think that these are opportunities and shifts will always increase more revenue for us. All the best.

Moderator: The next question comes from the line of Jai Balan from ValueQuest.

Jai Balan: Just had a question. Are there any plans to increase capacity to cater to this new demand?

Sanjay Gupta: So as we had informed earlier and also today that we are putting up towel capacity of 6,400 metric tons, which is going to start very soon and an additional 3,600 metric tons. So we are increasing our towel capacity by 10% internally. So that we will utilize it for the growth that we are expecting from all our markets, including the U.K.

Jai Balan: Okay. And how long does this expansion take in terms of how many months?

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Sanjay Gupta: Expansion?

Jai Balan: Yes, like to set up a new plant.

Sanjay Gupta: As I said, 6,400 metric tons in the next month or hardly 2 months. And the balance would come by third quarter to fourth quarter.

Moderator: The next question comes from the line of Raj S. Vyas from TM Investment Technologies Private Limited.

Raj S. Vyas: I just wanted to understand, like you have mentioned that the demand scenario was not that great in Q4 because of the

tariff implications, right? But we have also seen that we have got a 90-day pause that itself speaks that 90 days reflect 1 quarter. So how are things panning right now at the

moment? Is the demand improving or it's a little bit the same that you have discussed that it's not as per the mark?

Dipali Goenka: So in quarter 1, we are seeing some decline in orders due to the cautious order patterns from customers because everybody is wary about what's going to happen next. But we have also adopted a kind of a proper approach and planned shipments only basis the confirmed orders and written confirmations from customers to avoid any inventory risk.

So there are ongoing discussions that are happening and the clarity is emerging on the approach to different customers and everything is very, very different. So every customer is reacting different and specifically. So that's where it is. However, let me just tell you, these are interim blips that come in and they'll also pass off like COVID did.

Raj S. Vyas: And if in case as many -- as we are expecting that in the coming few days, we will see India U.S. free trade deal also happening, right? So if it happens, then where do we see like the numbers going ahead? Because you have already mentioned, I guess, INR15,000 crores in the north and 15% to 16% of EBITDA, right? So this was like for which period that you spoke about?

Dipali Goenka: So this is for a period of '27, '28, that's what we spoke about. And I clearly said that this could have kind of a little blip because of the aberrations that are there in the global environment. So that's what it is. But we hold this as a North Star, and we are working towards that only. So the challenges will be there, but our focus and our strategy is working towards this.

Raj S. Vyas: Okay. But any ballpark number that you have set internally for this year, this financial year?

Dipali Goenka: No, we did not set any -- see, I'll tell you one thing, even if I give you any number today, it will not hold tomorrow because these are such dynamic times, and I think we all understand that because today, there's something on social media and you will understand there's something tomorrow. So we are waiting to see how this pans out, and we'll take a call. But quarter 1, as I said, is going to be a little slow because everybody is very cautious about how are they going to take off goods, right?

Moderator: The next question comes from the line of Monish Ghodke from HDFC Mutual Fund.

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Monish Ghodke: So as U.S. has put 10% baseline tariff on all imports, are customers asking us to bear some part of it? Are renegotiations happening in terms of pricing?

Dipali Goenka: So this is a conversation that we all are having closely with our customers. And somewhere there are opportunities here where we are working with one of the Big Fours to see how we can mitigate these tariffs as well. So that is something that we're doing.

Certain retailers, we are looking at different things, different opportunities. So yes, every retailer has a very different way of looking at this. But let me just tell you that Welspun has a very strong relationship with all the key retailers. It is a strategic relationship running over 2 decades. And so it's a very -- it's kind of a partnership conversation that is going on right now.

Monish Ghodke: Okay. And second question, you said that U.S. share is 65% and non-U.S. is 35%. So could you give a granular breakup as to which regions or countries this 35% constitute?

Dipali Goenka: They are U.K., Europe, GCC, Japan, Australia, New Zealand, these are the countries. And also, I want to say in this, we also have our global brands that are like Christy, Creative CO/Lab and our licensed brands that contribute around 10% to 12% of our top line.

Monish Ghodke: Okay. So how much growth has happened in non-U.S.

exports? And what kind of growth are

you expecting in this over, let's say, next maybe 2, 3 years?

Dipali Goenka: So in this quarter, I think I'll give you a perspective of this quarter. Quarter 4 itself, we had a growth of around 30%, 35% in the non-U.S. And that's what we have seen that very encouraging.

And now with the FTA is happening, with the U.K.

FTA that has just happened, that again will become a great opportunity for opening more doors and more competitive with Pakistan and Bangladesh. And secondly, also with Europe. So I think I actually see it as a very positive way forward for Welspun and for India towards taking on the market share in rest of the world.

Moderator: The next question comes from the line of Viren Deshpande from Alphapeak Investment.

Viren Deshpande: Regarding the margins, we have been facing pressure, but what is the raw material cost scenario that is cotton in raw material?

Dipali Goenka: So the raw material cost till yesterday was around INR55,000 to INR56,000. And now with the MSP that the government has imposed, I mean, it is looking like around 7% to 8% increase on cotton, which will actually go to around INR62,000 per candy. So that's where we see the raw material cost right now. But we have a coverage till September. So we actually always take on a forward cover on this. So that's where we are.

Viren Deshpande: In this quarter, what was the average cost for us?

Sanjay Gupta: About INR55,000 to INR56,000.

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Viren Deshpande: So we hope to maintain the price at the same -- the cost at the similar level for the first half?

Sanjay Gupta: Correct.

Viren Deshpande: In the second half, the prices may go up?

Dipali Goenka: Yes, that is for us to see how we -- how that pans out.

Viren Deshpande: It will depend on the crop and monsoon and everything.

Dipali Goenka: Yes, yes. And as we said, we are covered until September already.

Viren Deshpande: And overall, the tariff scenario, et cetera, has a lot of uncertainties prevail. But this export-linked incentives, which we used to get, what is the current status of those incentives?

Sanjay Gupta: So all the incentives we have like RoSCTL, there's is no change in that.

Viren Deshpande: No change in that. And PLI benefits, are we eligible?

Sanjay Gupta: No, we didn't go for PLI benefit. PLI basically more towards small-scale manufacturers. So we didn't go.

Viren Deshpande: Currently, what is our exports to U.K. because the treaty which has been signed, maybe after 1 year, the benefits of that could come. So currently, out of the rest of the world about 35%, how much is the export to U.K.?

Sanjay Gupta: 9%. So out of 35%, 9% is our U.K. business. And so as Dipali said earlier, so U.K. FTA if gets effective will definitely benefit the business because we are already present there through our own subsidiary. We are selling to all the big retailers there in the better and best category. So we will take more market share.

Moderator: The next question comes from the line of Jayesh Gandhi from Harshad H. Gandhi Securities Private Limited.

Jayesh Gandhi: My question is again relating to U.K. FTA. Sir, in U.K., I think we are mainly selling towels. So post this U.K. FTA and possibly Europe, is selling bedsheet and maybe other products is going to be a fast ramp-up of sales since we will not have the 9% and 10% disadvantage that Bangladesh, Pakistan and Turkey used to enjoy? Or is it going to be a tougher affair?

And in continuation to that, if that is the case, then where do you see the geographical sales mix in next 3 years? I mean, for U.K. and Europe, do we think we can cross 30% there?

Dipali Goenka: We already actually have crossed that actually. U.K., Europe and rest of the world, actually, we are now like 30% to 35% is this share that we have already have, and we will continue now.

This will

become an added advantage with the U.K. FTA that is coming in, not only because we used to be actually -- we are #1 in -- from India and U.K. towel imports. So that's something that...

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Jayesh Gandhi: Sorry to cut you in between, madam. I was just talking about U.K. and Europe. I think we are some 16% or 17% of total sales. I'm just talking about Europe and U.K., can it be 30%?

Dipali Goenka: Yes. So U.K. itself is 9% right now, and Europe will be around 12%. So this is where we are already there. And with the category mix that we can have and an opportunity because it's not just towels now, bedsheets, that becomes a good market share to take on. Bath rugs is again an opportunity, soft floorings, hard floorings and advanced textile, again, will be a great opportunity for us.

Jayesh Gandhi: Got it. And this 9% or 10% of disadvantage that we had against Pakistan and Bangladesh, can it flow into the bottom line easily? Or how would -- how can we see?

Sanjay Gupta: No, no. So our imports will become cheaper. We will have the same selling price, but imports in U.K. and U.K. will become cheaper. So we will have more salability in U.K. It will not impact any of the pricing or margins.

Dipali Goenka: Because you're already competing with the Pakistan and Bangladesh. It's a good opportunity. It will actually become a level playing field for us.

Jayesh Gandhi: Got it. And one last question on our tax rate. What is the tax rate that we should work with? I think we are closer to like 30%. Is that the way we should work?

Sanjay Gupta: Our ETR for financial year '25 is 25%, and we should be able to maintain it in the future.

Moderator: As there are no further questions, I would now hand the conference over to the management for their closing comments.

Dipali Goenka: So thank you for your time today. And as we look ahead to FY '26 and beyond, we are mindful of the evolving macro and trade landscape. The recent tariff implementation is one such development we are watching closely. While the situation remains dynamic, it underscores the need for agility and foresight. This year is shaping up to be both challenging and dynamic, calling for a strategic repivoting of our products and go-to-market approach. Within the current

uncertainty, we find a certain clarity, an opportunity to innovate, sharpen operational excellence and double down on the India opportunity.

In many ways, the chaos around us also presents structure, revealing pathways for value creation and leadership. We see this as a pivotal moment for India in the global textile space, and Welspun is well positioned to seize the opportunity ahead through our diversified global strategy, continued investments and established leadership. At this stage, given the evolving external environment, it is difficult to provide definitive guidance for FY '26.

However, we are actively assessing developments and we will share a clearer outlook once we have better visibility. We remain committed to creating sustainable value for all our stakeholders through responsible growth, ESG leadership and a sharp focus on execution. Thank you.

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Moderator: Thank you. On behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Q1 FY '26 Earnings Conference Call "
July 30, 2025

MANAGEMENT : MS. DIPALI GOENKA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – WELSPUN LIVING
LIMITED
MR. SANJAY GUPTA – CHIEF FINANCIAL OFFICER –
WELSPUN LIVING LIMITED
MS BHARTI AGARWAL – LEAD INVESTOR RELATIONS
– WELSPUN LIVING LIMITED
MR. SALIL BAWA – HEAD INVESTOR RELATIONS –
WELSPUN GROUP

MODERATOR MR. ASHUTOSH SOMANI – JM FINANCIAL LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Welspun Living Limited Q1 FY '26 Earnings Conference Call hosted by JM Financial Institutional Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this call is being recorded.

With this, I now hand the conference over to Mr. Ashutosh Somani. Thank you, and over to you, sir.

Ashutosh Somani: Thanks, operator, and welcome, everyone, to the call. I will first thank Welspun Living for giving JM Financial the opportunity to host today's call. Without much ado, I'll hand over the call to Mr. Salil Bawa, Head, Investor Relations, Welspun Group, to introduce the management. Over to you, Salil.

Salil Bawa: Thank you, Ashutosh, and good evening to all of you. On behalf of Welspun Living Limited, I welcome all of you to the company's Q1 FY 2026 earnings call. Along with me, we have with us today Ms. Dipali Goenka, Managing Director and CEO of Welspun Living; Mr. Sanjay Gupta, Chief Financial Officer.

We hope you have had a chance to review the Investor Presentation that was filed with the exchanges today. The presentation is also available on our website. During today's discussion, we may be making references to this presentation. We'll request you to kindly review the Safe Harbor statement in our presentation.

As usual, we will start the forum with opening remarks by the leadership team. Post that, we will open the floor for any questions. Once the call gets over, if you have any further queries, please feel free to connect with any one of us.

With that, I would now like to hand over the floor to Ms. Dipali Goenka, Managing Director and CEO of Welspun Living. Over to you, ma'am.

Dipali Goenka: Thank you, Salil. Good evening, everyone, and thank you for joining us today for Welspun Living's Quarter 1 FY '26 Earnings Call. We continue to navigate a world shaped by shifting global trade dynamics, evolving consumer sentiment and persistent tariff uncertainties. Resilience and adaptability remains central to our strategy as we manage near-term challenges while preparing for emerging opportunities.

The implementation of reciprocal tariffs between US and India has created unpredictability in trade flows impacting retailer and overall market sentiment and order patterns. While this poses

short-term pressures, we believe it will drive structural realignment in global sourcing over the medium to long-term. We continue to engage closely with our customers to navigate this transition smoothly.

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The US-India Bilateral Trade Agreement remains under discussion, and we remain hopeful that a constructive policy resolution will restore clarity and stability in trade relations. Meanwhile, the India-UK free trade landmark agreement is expected to provide a strong impetus to India's textile exports, further strengthening our market position. With tariff barriers eliminated in home textile from 12% earlier, Indian textile and apparel exports are well-positioned to scale significantly in the UK market.

Strategic product diversification, particularly in the underrepresented segments can help maximize the benefits under this agreement. Decisions around India, EU interim FTA finalization is also a step in the positive direction for India. Highlights of the quarter gone by. The first quarter of FY '26 was marred by uncertain global trade flow. Consolidated revenue declined 11.6% Y-o-Y to INR2,289 crores and EBITDA margin at 11.1%.

This was primarily driven by softness in export business as reciprocal tariff implemen

tation and

uncertainty around timeliness created an overhang in the market. Both retailers and suppliers, including us, adopted a cautious stance impacting volumes with retailers, inventory levels witnessing gradual correction. Core exports -- our core home textile export revenue declined 11.8% Y-o-Y to INR1,885 crores.

As uncertainty around trade policy continues, consumers could remain cautious and increasingly selective in their discretionary spending. Recently, the US data indicates retail sales fell for the second straight month in May, while inflation accelerated to 2.7% in June, highest level since February, driven partly by tariff inducted cost increases further weighing on consumer demand. India continues to be the leading supplier of terry towels and bed sheets to the United States, holding a dominant market share of 45% and 59%, respectively as per Otexa data for the 12 months ending May 2025. Innovation continues to be at the heart of our strategy, contributing 27% to the revenues this quarter. High potential segments such as pillows, utility and fashion bedding remain focus areas.

Our Ohio Pillow plant continues to ramp up efficiently with capacity utilization reaching to 47%, positioning us strongly to capitalize on emerging growth opportunities within the broader sleep ecosystem. We are witnessing strong momentum with increased traction among retailers and greater shelf presence, strengthening our visibility and competitive positioning in the category and expect to nearly double our Pillow business in this year as against US \$15 million in the previous year.

We are further strengthening our pillow manufacturing capacity in US with setting up of a new pillow plant at Nevada to supply to customers in the West Coast. The Board has approved today an investment of US \$13 million, INR112 crores to set up a Pillow and TOB facility at Nevada with an annual capacity of 10.8 million pillows in two-shift operations. The plant is expected to be operational in quarter 4 and would contribute additional pillow revenues of over US \$60 million at full capacity utilization.

We are also actively pursuing geographic diversification and expand our presence in other key regions, including the UK, EU, GCC, ANZ, Japan. Our revenue share from the market outside

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of US has gone up to 40%. As global trade realigns, we remain optimistic about reinforcing our core leadership while scaling emerging categories through integrated portfolio play and scalable manufacturing.

Emerging businesses.

Our emerging businesses, including domestic consumer, global brands, advanced textiles and flooring continue to contribute 30% to our overall revenues. Branded businesses account for 18% of our total revenues, underscoring our strategic focus on building strong brands. Licensed global brands like Martha Stewart and Disney Home continue to strengthen our shelf presence with key retailers and open up new avenues.

Christy continued to build on its premium positioning, growing in UK and US markets alongside deepening offline presence. Implementation of India UK FTA further strengthens opportunity with our owned and licensed brands to deepen penetration and expand distribution network alongside foraying into category expansion. I will now take you through the Emerging business

segments in more detail.

Domestic retail.

In line with our anticipation of a rebound in consumption, we witnessed visible green shoots in retail activity during the quarter. Our domestic consumer business grew about 10% Y-o-Y to INR134 crores, reflecting improving consumer sentiment. According to the RBI, private consumption remains healthy with a gradual rise in discretionary spending. Rural demand is steady, while urban demand is improving, supported by expectations of an

above-normal Southwest monsoon and sustained buoyancy in services activity. Additionally, CPI inflation moderated to a nearly 6-year low of 3.2% in April 2025, led by a continued decline in food inflation, which should further support consumption trends. We remain focused on strengthening our leadership position in the Indian market by leveraging our global expertise to offer differentiated products and superior brand experiences.

The organized home textiles market is expected to outpace overall market growth at a 9.3% CAGR. Brand Welspun continues to play across affordable and aspirational segments, driving the shift from unorganized to organized retail and grew at a strong 15% in Q1 FY '26. Our B2C business performance has been improving over the past 2 to 3 quarters, growing robust 16% Y-o-Y, further strengthening our brand play.

During the quarter, we added 3 new FOFO stores, taking the total count of EBOs to 48. On domestic flooring front, we witnessed a robust performance, growing 26% Y-on-Y in Q1 FY '26 on the back of strong growth in residential and hospitality segments. The business is inching towards EBITDA breakeven. We have deepened extraction with existing dealers and added new partnerships into top-tier global accounts.

As India's housing market expands, supported by higher GDP urbanization and a preference for premium offerings, demand for innovative and quality flooring solutions is expected to accelerate.

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Flooring.

Overall, Flooring segment clocked a revenue of INR194 crores, 15% degrowth Y-on-Y in Q1 FY '26. Challenges in the global flooring business were further accelerated as tariff overhang led to order holds and subdued demand. However, strategically, we remain focused on deepening our presence in US home improvement and OEM channels, forging strategic partnerships across Middle East and ANZ and leveraging the UK FTA to drive regional diversification and long-term growth.

In our Advanced Textile business, revenues declined by 11.6% Y-on-Y to INR117 crores in Q1 FY '26, impacted by a broader slowdown in US customer offtake and tariff-related headwinds. We view this as a temporary blip amidst global trade uncertainties and remain confident in the long-term growth potential for this business, supported by strong customer partnerships, leveraging our innovation capabilities with a focused strategy to shifting towards offering value-added differentiated products in global markets.

ESG remains a strategic differentiator for us. Our journey towards 100% renewable energy and 100% sustainable cotton by 2030 continues with commissioning of an 18-megawatt solar plant at Vapi and a 4-megawatt plant at Hyderabad this quarter. Additionally, we are targeting 47 megawatts of round-the-clock green power by year-end.

Looking ahead, we expect quarter 2 to remain challenging with sustained pressure on both top line and bottom line. Given the continued uncertainty around tariffs and trade policies, we are closely monitoring the evolving landscape. Our priorities remain on prudent cost management, operational agility and deeper customer alignment to navigate these headwinds effectively. At the same time, we are strengthening the foundation for future growth.

With this, I would now like to hand over to Sanjay to take you through the detailed financial performance for the quarter.

Sanjay Gupta: Thank you, Dipali, and greetings to everyone. I will take you through a brief overview of our financial performance for quarter 1 financial year '26 before we open the floor for questions.

During quarter 1 financial year '26, we reported consolidated quarterly revenue

of INR2,289

crores, down by 11.6% year-on-year. Our EBITDA margin for quarter 1 of financial year '26 stood at 11.1%, down by 409 basis points year-on-year. Our margin compression is primarily driven by operating deleverage arising from lower volumes. In response, we have adopted a conservative stance intensifying our cost optimization initiatives across businesses to ensure continued operational efficiency without compromising on our serviceability and quality.

Profit after tax after minority interest for the quarter is at INR88 crores, down 52.8% year-on-

year. Consequently, our consolidated EPS for quarter 1 stood at INR0.92 per share, down 52.3% year-on-year. On the forex front, our average exchange realization for the US dollar during quarter 1 was INR85.09 compared to INR84.05 in the corresponding quarter last year.

We have focused on strengthening our balance sheet. Net debt stood at INR1,401 crores versus INR1,603 crores last quarter, lower by INR202 crores and versus INR1,562 crores last year same quarter, lower by INR161 crores. Our cash conversion cycle has improved reflecting better

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working capital management. During the quarter, we have incurred a capex of INR83 crores out of INR200 crores guided earlier in the quarter 4 towards various capital expenditures. The Board had further approved a capex of US \$13 million, which is about INR112 crores towards setting up a Pillow and TOB facility at Nevada, USA for the year.

Segmental results, quarter 1 financial year '26 core business home textile revenues stood at INR1,885 crores, down by 11.8% year-on-year and an EBITDA at 12.6% compared to 16.9% last year. During quarter 1 financial year '26, revenues from Flooring business was INR194 crores down by 15%. EBITDA is at INR16 crores, which is 8.4% as compared to 9.2% last year. Our domestic consumer business has shown resilience with 9.5% year-on-year.

With this, I will now leave the floor open for question and answers. Thank you.

Moderator: The first question comes from the line of Perna Jhunjhunwala from Elara Securities.

Perna Jhunjhunwala: First question, I just wanted to understand the demand scenario in the US like how the inventory position of the retailers is, how pressed they are to source from their dominant partners? And what is the kind of tariff sharing expectations they have given that the tariff rates are actually very high against expectation after a deal also for various countries.

Dipali Goenka: Thank you for your question. So definitely, there has been a decline in the volume and the retailers this time are correcting the inventories as well. So that is one thing that they're doing. Secondly, everybody has been very cautious. For example, this time, the top line also de-grew because a couple of promotions actually got held on by the customers as well. And the other thing is how we are looking at the tariff situation is what everybody is evaluating. Now the second question that you asked about how the tariff is high and how it's going to be shared or how it's going to be taken forward. I think let me just tell you that the retail prices in America haven't gone up for the past 20 to 30 years. And now obviously, if there's any kind of a steep thing that happens, it will be between the consumer, it will be passed on to the consumer than the retailer.

And of course, there's a partnership that works on. So there could be that kind of a conversation. So however, this is not going to be anything that can be taken by the vendor alone. It will be kind of shared between all the 3 kind of verticals here, Perna. I hope I've answered your question here. And if you talk about the volumes going forward, it will now depend.

See, now also the tariff announcement uncertainty is an o

verhang. It is just hanging uncertain.

There's an uncertainty here. While having said that with USA, we continue to focus on UK, Europe and rest of the world, where our business grew by -- our thing -- our share is around 40%.

So that's where we're also focusing and seeing how we can increase our share there as well because that clearly will now establish an opportunity for India as well as others.

Perna Jhunjhunwala: Okay. And how do we see the margins then? Because this quarter, we've done around 10% of EBITDA margin. And given that there is an expectation that vendors will continue to see the impact of tariff, do we see normalization of margins even by the end of this year or we continue to remain at lower margins for some time till there is reduction in tariff rate?

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Dipali Goenka: So Perna, I'll tell you one thing. The concerns are there in the terms of the uncertainty of the tariff, okay? Let me just put it and table it there. And the top line definitely will be impacted because the customers are going to evaluate what they have to buy, they'll take very conservative calls there. So that you will see there. And so that top line will also impact the EBITDA indirectly, directly because that definitely will be an impact. So however, I can also tell you this is a blip momentarily. And in the year as we go forward, we will see that come back again, and we are working towards that.

So while the tariff situation is getting resolved, we're also working on our cost. We are working on the other measures, other things so that, that gets corrected till then. And these numbers are going to come back. See, I can just tell you one thing. Welspun is not here for today or tomorrow. They're here for the next 100 years, and we are building a legacy of it.

Perna Jhunjhunwal a: I completely agree, ma'am. But just wanted to -- I mean my question was generally to near -term performance. I mean, how long would it be? Ma'am, my second question on -- with respect to profitability, which I asked you, what are the challenges in servicing newer markets now because we have predominantly focused on US in the past. Now that we are focusing on newer markets, whether these markets can compensate for the growth that we are seeing challenge in the US over a period of year's time or it will still be impacting our volumes despite focus on newer markets? I mean I'm just trying to understand how much growth and margins that we can really see over the year?

Dipali Goenka: Sure. So Perna , very good question indeed. So first of all, let me tell you one thing. So even when you're talking about the US tariffs, okay? One thing, let me be clear here, India is in a good position, apart from all the other competitors that India has and the peers that India has, right? So whatever will happen, India will be at a better position there. So the business opportunity still remains for India.

Now when you're talking about other geographies that we're talking about, the opportunities are very good. And for us, we already started a penetration in UK and Europe, and that's where we are seeing more and more opportunities. And Japan again, is emerging as well. So it is a reemerging economy. Let me tell you that. So again, that's a very important country that we are focusing on.

And of course, there will be ANZ and also the GCC. So while -- see, USA. is the biggest market of consumption. Let me be very clear. However, but this is again a very interesting geography for us. So while right now, we are struggling with the tariffs for USA., where still I maintain that India will be in a good position, but we are continuing to make forays into this part of the world as well.

Perna Jhunjhunwala: Okay. And what will be the revenue share of US in our emerging business or I mean, advanced materials and other businesses?

Dipali Goenka: No, I think we

don't disclose the breakup , but I'll tell you one thing. Advanced Textile, of course, America is a good market, so is Europe and UK and rest of the world as well. Yes, this time, we got a little blip from the top line in the advanced textile as well and also flooring owing to the Welspun Living Limited
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concerns about the whole tariff offtakes as well. So yes, that's an overhang on the tariffs as well, yes.

Moderator: The next question comes from the line of Deepali Kumari from Arihant Capital.

Deepali Kumari : The company has low net debt compared to the previous year. So what is the internal range mark or target for FY '26? Should we anticipate any additional prepayment?

Sanjay Gupta: So we have given a direction for our net debt, which will be in the range of about INR1,300 crores to INR1,400 crores for financial year '26. We have done quite well in first quarter itself, and we have reached INR1,400 crores. So definitely, we would try to top our guidance in this regard.

Deepali Kumari: Okay. And one more question, like your wet wipes segment have done good from last quarter, but it is only 24% of capacity utilization, even though you have 100 million of pack capacity. So is it due to weak demand, pricing issue or problem in distribution?

Dipali Goenka: No, nothing of that sort, Deepali. The thing here is that with the US where we had an opportunity, where that's the reason the business actually, people were just anticipating and they're holding on for the tariffs. So that's where we are looking at it.

Otherwise, the opportunities are not only in the wet wipes for makeup wipes, but baby wipes to the medical wipes, dry wipes. And so there are a lot of opportunities that we're exploring, a lot of innovation is being done here as well. So let me just give you kind of a comfort there that this is a category that we'll see to grow.

Deepali Kumari: Okay. So there is no any seasonal impact?

Dipali Goenka: No, no. The seasonal impact is not there. This is a tariff impact.

Deepali Kumari: Okay. And like your flooring business at what level it will be breakeven?

Sanjay Gupta: Flooring business is already -- we are already at about 8% to 8.5% EBITDA margin. So it is already -- breakeven has happened 2 years back .

Deepali Kumari: Okay. So the new facility I'm asking.

Sanjay Gupta: Sorry, I didn't get you.

Deepali Kumari: The newer facility you have talked about at what level that will be breakeven?

Dipali Goenka: So there's no newer facility that we're investing in Deepali, I think.

Sanjay Gupta: It's in the that we are investing, not in flooring.

Moderator: The next question comes from the line of Param Vora from Trinetra Asset Managers.

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Param Vora : So what I wanted to ask was that with the overall revenue declining, but the domestic flooring showing a strong growth of 26% year -on-year basis, can we expect the flooring business to become a larger revenue contributor in the upcoming quarters?

Dipali Goenka: So I think so domestic flooring will be -- is a great opportunity in India as we see hospitality institutions coming up and the residential opportunity also continues to grow. And so while saying that India will definitely be a good opportunity, but we also will be focusing on the global markets here.

Moderator: The next question comes from the line of Kunal Shah from Jefferies.

Kunal Shah: So my question is in the last 15, 20 days, you've seen countries sign trade deals, right? And at least for some countries, I know we don't compete with many of them, start to emerge. So just from a customer standpoint, have there been any change in conversations on how things will pan out in the coming? I know actual orders and volumes and others may take time, but any change in conversation or direction in the last month or so as these trade deals a

re starting to flow in?

Dipali Goenka: Hi Kunal, so for us as India and the other countries, trade deals you're talking about, I just want to clarify like UK and the other countries.

Kunal Shah: No, no, I mean US signing trade deals with something like Indonesia or Vietnam. I know we don't compete with them, but just from a customer conversation standpoint, any change or any anticipation that they have at their end or what's the next step from their side?

Dipali Goenka: Nothing of that sort, Kunal. See, Indonesia's operations are very minimal, and I think that focuses on minerals that side. Vietnam focuses on other categories more than home textiles. So that, again, is a perspective that let me just clarify as well. So India continues to be a very strong sourcing arm. And definitely, we will see how the tariffs pan out, but India will continue to be a very strong sourcing country for them.

Kunal Shah: Understood. Understood. So it would be fair to say, let's say, half of the issue is also the category itself being weak and the rest is the destocking. And the category weakness is also evident in the branded piece, which has also declined for you. That would be a fair understanding, right?

Dipali Goenka: Yes. Yes, Kunal. Because see, I'll tell you one thing, they are looking at the stocks, they're looking at that as an evaluation, then the tariff overhang is one thing. And the other thing also as we go forward is, again, the economy might also be something that we will see a little slowdown.

Kunal Shah: Understood. Understood. That's clear. And second bit is on the UK side, any early interest that you are seeing which you can tap in the next one year or so? I mean any large customers that you're looking at? I can understand you can't share the name, but any incremental interest that can help build those revenues out in the next year or two?

Dipali Goenka: The answer is yes. Absolutely. Those conversations have started and very positive feedback for sure.

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Moderator: The next question comes from the line of Roshan from B&K Securities.

Roshan : I just wanted to understand when is the new facility likely to be operation?

Dipali Goenka: It will start by quarter 4 of this year in Nevada, yes.

Roshan : Okay. I understand. And by when do you expect to reach the optimum utilization level?

Dipali Goenka: See, it takes at least 6 months to 8 months to reach the optimum. Yes, the second year will be the optimum optimization that you will start seeing because it takes that much time to scale up as well, right? Because every capacity can do around 10 million -- 10 million to 12 million units of pillows.

Roshan : Right. Understood. And given what is your outlook on the festive season in the international markets because probably from quarter 2, your exports starts happening for the festive season.

So what is the outlook over there? How are the buyers behaving? What is the overall mood?

Maybe if you can help me understand that?

Dipali Goenka: So this year, it will -- see, every year, our quarter 2 comparatively to the quarter 1 is a little better. So that is the trend we will also witness. Now to that extent of what it will be in the terms of kind of a better off than the previous year, that is not something I will be able to say. But yes, it will be better than this quarter.

Moderator: The next question comes from the line of Bhavin Chheda from Enam Holdings.

Bhavin Chheda: I wanted to understand from the presentation, what do you mean by effective capacity versus installed capacity?

Sanjay Gupta: In pillow, you mean?

Bhavin Chheda: Pillow also and flooring also because we keep on showing 2 numbers.

Sanjay Gupta: Yes. So flooring, we have built the capacity for 27 million square meters, but we have operational 18 million. So there are some balancing equipment which we will have to

set up at

a very low capex, which will enhance the capacity as and when we need it. For the pillow as well, the whole capacity for the 2 shift operations. And also there are some automations which are still to come in. And so as they become operational, we will start reporting those. Currently, it is only single shift operation and there are another 20% to 30% automation still there.

Bhavin Chheda: So since we have also announced the new facility in Pillow, I'm assuming this you will be ramping up first to the installed level or there would remain a bottleneck to ramp this up?

Dipali Goenka: No, no, no. That will -- see, let me just explain the whole way that the pillow works and the pillow plants work in America. See, since it is logistically very -- it's very heavy and cumbersome. So it is focused on that same zone. So now when we are in Ohio, it focuses on the East Coast, and that's where the distribution will happen with the DCs of the various retailers, right? And when the West Coast comes in, it's focused on the retailers on the West Coast like the hospitality and the other major retailers as well. So that's the way it works and that suffices

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that zone as well. So that's the way we work on actually. So that's the way the pillow works in America.

Bhavin Chheda: Sure, ma'am. So I should understand, so this pillow facility, though we are saying installed 13.5 million and effective 4.7 million PCs, there would be some automation and maybe double shift capacity you have mentioned. You also mentioned that each line normally is capable of doing 10 million pillows. So as and when the demand situation improves in East Coast of USA., this would be reaching volumes of closer to 10 million pieces, right -- facility?

Sanjay Gupta: Yes. Already, we have seen from 30% to now 47% this quarter.

Bhavin Chheda: 47 is of 4.7 basically -- 0.6 million is 2.5 million run rate but what this facility can do. So maybe 3 years' time, basically, once this tariff uncertainty gets over and the capacity gets ramped up, the ramp-up is not very difficult in these kind of facilities. So maybe a couple of years, this would be a 10 million output, right?

Dipali Goenka: In 2 years max. But I think we already -- I mean, by the end of this year and exit, we'll be at 70% of our capacity.

Bhavin Chheda: 70%, again 4.7 or?

Sanjay Gupta: No, 4.7 will increase. So we will start second shift of operation as well. And so you will see a de-clogging of the effective capacity and also achieving higher capacity utilization of that. So we are effectively fine for that double of last year's turnover in Pillow, so 15 million to 30 million. And hence, capacity utilization will ramp up very fast from here.

Bhavin Chheda: Okay. My second question, I think you shared that non-US market was close to 40% of sales, right? That is non-US, non-India or that includes India?

Dipali Goenka: It includes India as well because it's rest of the world.

Bhavin Chheda: Okay. And if you can share some growth in those markets, particularly UK, EU, if we can get some trends there?

Dipali Goenka: So I think we can just give you a consolidated perspective right now. And I think this will continue to increase as a share and as the tariff opportunity opens, the agreements open up for India. Like UK, you already know that we are seeing opportunity. EU conversations already happening and retailers are very, very positive about that as an opportunity. Japan, again, is a great opportunity. So yes, and also Australia is done, but New Zealand is again right around the corner by the end of the year. So yes, those are the things that we will see. So I can just give you that perspective at the moment.

Moderator: The next question comes from the line of Tanishk from Antique Stock Broking.

Tanishk: Can you share the US and UK and EU revenues in terms

of total revenue for this quarter?

Sanjay Gupta: We don't share those revenues. So we are just -- we can share the US and non-US share of the business, and that is all which we can share at the moment.

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Moderator: The next question comes from the line of Lakshmi Narayan from Ksema Wealth Private Limited.

Lakshmi Narayan: Sir actually in previous calls, you have given net debt target would be around zero by FY '28. That still hold good?

Sanjay Gupta: Yes, correct. So we are trying for a zero net debt by financial year '28 which is 3 years.

Lakshmi Narayan: Okay. Sir, my next question is on numbers basically. Could you give me the split of advanced textile s under the home textile segment? Is it possible? How much revenue contributed?

Sanjay Gupta: INR117 crores revenue.

Lakshmi Narayan: For this quarter, sir?

Sanjay Gupta: INR117 crores for this quarter.

Lakshmi Narayan: Okay. FY '25 also is it possible for you to give, last year?

Sanjay Gupta: You can get in touch with Salil, he will provide you the numbers. I don't have it currently.

Moderator: The next follow-up question comes from the line of Kunal Shah from Jefferies.

Kunal Shah: So in this B2B business, that 14%, 15% decline in revenues, possible to share a split of what that would be for, let's say, US customers and non-US customers? How much would that decline be for US then decline or maybe some growth for non-US?

Dipali Goenka: Kunal, I think I can just tell you that the overhang of tariffs is the reason for what you saw in the decline. And I think that's what I can just give you an answer on because the certain promotions were in the anticipation and that actually got a little postponed or a little. So that's the reason I can just say that the tariff overhang was the reason here. And I think it's primarily United States.

Kunal Shah: Understood. But fair to say that the non-US business would have grown Y-o-Y or?

Dipali Goenka: Yes.

Kunal Shah: Understood. Understood. And second thing is with demand in the US generally being weak, are you seeing increased competition both in the US and, let's say, outside the US as well as partners like you would want to get volumes from other markets to compensate for the weakness in the US. Is there some sense on that front?

Dipali Goenka: So we already are working with UK, Europe and rest of the world, Kunal. And I think that's been a great opportunity for us. We're continuing to explore that for the long time as well. And now it actually will start seeing a lot of more fruition positive -- in the positive trend.

So that's where it is. But also, Kunal, let me tell you that India still is in a decent position with the tariff situation as well because if you look at the other peers as well. So I can just say that we'll wait and watch, but India's position will not dilute to that extent.

Moderator: The next question comes from the line of Prerna Jhunjunwala from Elara Securities.

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Prerna Jhunjunwala: Just wanted some color on the product-wise demand, if you can share like bed versus bath, how the demand is and any color which can help us understand where the demand can really improve going forward, maybe versus premium from where the demand is shaping up in current scenario?

Dipali Goenka: So I'll tell you one thing. Right now, I can just say that towels actually degrew this time, but we will see that again come up and ramp up again, Prerna. Sheets -- so the towel had a mega drop, which we will see again come back next quarter and the others. Sheets was also down and the results were also down.

But I think Prerna in the coming times, we'll see them gaining the share and not only ramping up for America, but the other countries will also start ramping up in the terms of the demand. Let me just give you

the perspective here. And in the towels also, you will see the weak season coming in. So there will be a ramp-up for the Jacquard and the fashion towels as well. So yes, that's where it is.

Prerna Jhunjunwala: Okay. And then our branded global revenue combined online and offline would not have declined much. So is it reason to assume that branded piece is still seeing good demand or is it more client acquisition and value segment or premium segment doing better in the branded segment? I mean just trying to understand branded is largely constant for us on a Y-o-Y basis.

Dipali Goenka: So overall branded portfolio is at 18% of the operating revenues right now.

Sanjay Gupta: And you're right, Prerna. So overall branded portfolio has grown in single-digit in the quarter.

Prerna Jhunjunwala: Yes. So I'm just trying to understand whether that will -- that scenario continues and what is driving this branded segment versus the decline in B2B? Because at the end of the day, I mean, I don't -- I mean, just trying to understand how -- if we can further shape up this branded business faster given we have much control on that.

Dipali Goenka: So here, actually, Prerna, because these are all brands like Creative CO/Lab and the others. So they are specific programs that come in and which we launch, and that actually does well in these times. And more so Christy is continuing to grow as well. So yes, that's where we are seeing a contribution of the branded share not getting diluted comparatively globally.

Sanjay Gupta: And as we had last quarter as well, we are informing this quarter as well. So there is a visible soft action by the retailers because of the overhang of the tariff. And hence, though the demand at the customer end has not gone down to that extent the buying has and hence, you see -- to be a lower volume rather in the branded segment.

Moderator: Ladies and gentlemen, we'll take this as the last question for today. I would now like to hand the conference over to Ms. Dipali Goenka for closing comments.

Dipali Goenka: Thank you. So as we close Q1 and look ahead, it is clear that FY '26 has begun amidst significant external headwinds. The implementation of reciprocal tariffs has added layers of complexity to an already dynamic global trade environment. While near-term volatility is inevitable, we see this period as one that will separate the resilience from the rest.

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We are actively engaging with our customers and stakeholders to navigate these uncertainties. At the same time, we remain focused on what is within our control, driving operational efficiency, optimizing costs and staying close to market shifts to respond with agility. The India - UK Free Trade Agreement, once fully implemented, holds strong promise expanding our reach and competitiveness in the UK market.

And similarly, progress in the US-India Bilateral Trade Agreement remains an important milestone, and we are waiting outcome to gain more predictability in trade flows. We remain deeply committed to creating sustainable value for our stakeholders through prudent action, disciplined execution and our trusted partnerships across the markets.

Thank you all for your continued confidence in Welspun Living. We look forward to updating you as we move ahead. And for any further queries, please feel free to connect with our Investor Relations team.

Moderator: Thank you. On behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

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Q2 FY '26 Earnings Conference Call "
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MANAGEMENT : MS. DIPALI GOENKA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – WELSPUN LIVING
LIMITED

MR. MANISH BANSAL – CHIEF FINANCIAL OFFICER –
WELSPUN LIVING LIMITED , USA

MR. SALIL BAWA – HEAD INVESTOR RELATIONS –
WELSPUN GROUP

MODERATOR MR. ANIRUDH NAGPAL – JM FINANCIAL
INSTITUTIONAL SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Welspun Living Limited Q2 FY '26 Earnings Conference Call hosted by JM Financial Institutional Securities Limited. As a reminder, all participants will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. I now hand the conference over to Mr. Anirudh Nagpal from JM Financial. Thank you, and over to you, sir.

Anirudh Nagpal: Thanks, operator, and welcome, everyone, to the call. I will first thank Welspun Living for giving JM Financial the opportunity to host today's call.

So without much ado, I'll hand over the call to Mr. Salil Bawa, Head, Investor Relations, Welspun Group, to introduce the management. Over to you, Salil.

Salil Bawa: Thank you, Anirudh. Good afternoon to all of you. On behalf of Welspun Living Limited, I welcome all of you to the company's Q2 FY 2026 Earnings Call. Along with me, I have Ms. Dipali Goenka, Managing Director and CEO; and Mr. Manish Bansal, CFO, Welspun USA. I'm pleased to inform that the Board has approved Mr. Manish Bansal's appointment as CFO of Welspun Living Limited with effect from January 1, 2026.

I hope you have had a chance to review the investor presentation that we filed with the exchanges today. The same is also available on the company's website. During today's discussion, we may be making references to this presentation. We request you to take a moment to review the safe harbor statement in our presentation.

As usual, we'll start the forum with the opening remarks by our leadership team. Post that, we'll open the floor for your Q&A. Once the call gets over, should you have any further queries that remain unanswered, please feel free to reach out to any one of us.

With that, I would now like to hand over the floor to Ms. Dipali Goenka, Managing Director and CEO. Over to you, Ma'am.

Dipali Goenka: Thank you, Salil. Good evening, everyone, and thank you for joining us today for Welspun Living's Quarter 2 FY '26 Earnings Call. This quarter unfolded against a backdrop of persistent global tariff headwinds and a cautious demand environment, particularly in our key export markets.

Amid this volatility, our focus has been clear, manage what's within our control, strengthen fundamentals - cost controls, efficiency and customer trust and stay future-ready through portfolio and regional diversification, brand-led growth and operational agility.

The 50% tariff on Indian exports to the U.S. has disrupted trade flows and retailer buying patterns across the industry, weighing on near-term volumes. Despite these headwinds, our strong customer relationship and competitive moat as a trusted global partner has enabled us to retain customers and sustain market share in the U.S.

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As per OTEXA, January to July 2025, while the overall exports to the U.S. have declined by 44% in towels and 8% in sheets. Welspun continues to strengthen its market share, underscoring our structural edge in scale, reliability and quality. Our customers are partnering with us to share the tariff burden, the partial absorption of tariffs is weighing on margins. Margins can recover, customers once lost, cannot.

We remain hopeful that progress on the Indian U.S. bilateral trade agreement will bring clarity and gradually restore stability to trade flows. The U.K., India FTA and the other upcoming trade agreements will provide a strong impetus to diversifying our footprint in other regions where we already have a 40% share of business.

On the domestic front, India's macro fundamentals remain resilient. The recent GST rate rationalization and e

ncouraging development is a structural positive for organized players. We expect this to enhance disposable income, thereby laying a ground for stronger consumption trends.

Highlights of the quarter gone by. Amid external turbulence, we delivered consolidated revenue of INR2,456 crores, down 16.4% year-on-year on a high base last year and up 7.3% sequentially. EBITDA margin stood at 6.8%, reflecting the impact of tariff-led volume pressure, adverse mix and other factors. Despite this, our balance sheet remains strong, cost discipline intact and diversification strategy on track. Consumer sentiment in the U.S., our largest market remains muted heading into the holiday season. According to the Deloitte Holiday Retail Survey, spending on Home categories is expected to decline 20% to 25% this season, reflecting softer discretionary spending and measure retailer inventory. In this backdrop of slowdown our core home textile Exports business declined 15.4% Y-o-Y to INR2,043 crores. The recent Federal Reserve rate cut is a welcome development and could gradually have help revive consumption in the coming quarters.

We continue to expand our portfolio with high potential and higher realization categories such as fashion towel, fashion and utility bedding and pillows. With our Jacquard plant commencing operations in July 2025, we are the leading Terry towel manufacturer globally. Our strategic onshore investments in the Ohio Pillow facility has reached nearly 50% capacity utilization and will continue to grow with the Nevada expansion underway. We expect our Pillow business to nearly double to ~\$30 million this year.

Finally, we are deepening our footprint and supply chain capabilities across U.K., Europe, GCC ANZ and Japan to drive geographic diversification that will fuel long-term growth. While overall home textile exports to EU has grown between January '25 to July '25, Welspun dispatches grew over 2x the market rate, expanding their shares in both sheets and towels.

Globally, Christy, our luxury heritage brand showed strong growth momentum of over 40% Y-o-Y, led by U.K. and U.S. performance and healthy gross margins of over 50%. Online segment grew by over 30%, complemented by off-line expansion with 12 doors in Bloomingdale's and bed category expansion in 17 John Lewis stores in London.

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Our domestic consumer business recorded INR153 crores, down 3.7% Y-on-Y, reflecting short-term channel adjustment for GST rate rationalization. Nearly 30% of our portfolio now benefits from the 5% GST slab, which will enhance affordability and accelerate the shift towards branded and organized players over time.

India continues to be a bright spot globally. Now the fourth largest economy, with rising consumption, world-leading digital payments ecosystem and expanding real estate activity, supporting medium-term optimism. Our brand investment and spaces remain strong across affordable and aspiration segments and are well positioned to lead India's next phase of consumption led and experience-driven growth.

Additionally, India is expanding religious tourism and pilgrim infrastructure growing at a CAGR of 18%. It's creating incremental demand for institutional linens, bath textiles and furnishing, providing a new avenue of steady growth for the category. Our domestic flooring business grew 14.3% Y-o-Y, led by strong traction in hospitality with a 30% growth over last year.

Globally, the scenario was different. Overall, Flooring segment clocked a revenue of INR181 crores, 27% degrowth Y-o-Y in Q2 as housing activities and projects starts remain subdued, particularly in U.S. despite the Fed easing stance.

Our advance textile business declined by 19% to INR120 crores, amidst lower global offtake. However, we remain focused on value-added categories such as hygiene, health care and filters

ation, building a strong innovation pipeline to serve global customers as markets stabilize. ESG continues to be a core pillar and key differentiator for Welspun Living. We are progressing towards our 2030 goal by 100% renewable energy and sustainable cotton use. In Q2, our Hyderabad facility achieved 93% green energy use and in the new fiscal year, Anjar facility will be shifting to the round-the-clock RE power, taking it to RE's adoption to 80%. During the quarter, 97% of our cotton was sustainably sourced.

As we move towards the external environment remains fluid, near-term pressures are likely to continue to the second half impacting both top line and bottom line. However, with every challenge comes an opportunity, and we are building a foundation, not just for today but for the next 100 years.

Before I conclude, I'm pleased to share that the Board has appointed Mr. Manish Bansal as the new Chief Financial Officer of Welspun Living, effective 1 January 2026. Manish has been with us for over 15 years and has led leadership roles across our Indian retail, U.K. and U.S. Businesses. His extensive experience across geographies and deep understanding of operations and financial strategy make it exceptionally well-placed to lead our finance function as we continue to focus on disciplined execution and sustainable growth. We extend our best wishes to Manish, as he takes on this new responsibility.

With this, I would like to hand over to Manish to take you through the detailed financial performance for the quarter.

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Manish Bansal: Thank you, Dipali. And good evening, everyone. It's a privilege to address all of you today in my first earning call at Welspun Living. I will take you through a brief overview of our financial performance for Q2 FY '26. We reported consolidated quarterly revenue of INR2,456 crores, down 16.4% Y-o-Y, while EBITDA margin stood at 6.8%, contracting 748 bps Y-o-Y.

Our margin compression is primarily driven by tariff-led volume pressure and adverse mix.

Despite higher realization from forex at USD 87.14 versus USD 84.29 last year. We continue to tighten overheads, optimize sourcing and improve plant efficiencies to safeguard margins.

Profit after tax after minority interest for the quarter is at INR13 crores, down 93.5% Y-o-Y. We continue to strengthen our balance sheet. Net debt stood INR1,570 crores versus INR1,603 crores as at 31st March 2025, which is lower by INR33 crores.

Our cash convertible cycling improved to 88 days, amidst tightening controls reflecting better working capital management. Free cash flow has been improved to INR158 crores versus March '25 INR212 crores. Capex during this quarter was INR87 crores, primarily towards efficiency enhancement and ongoing hybrid wind and solar power transmission line projects.

These investments are aligned with our long-term strategic priority of operational efficiency and sustainability. As I step into this new role, my focus will be razor-sharp on driving cost realization and improving operational efficiencies through automation and digitalization. We have to focus on market diversification and product strategy along with cost reduction to improve margin. Our goal is to make Welspun Living sharper, more agile and future-ready.

With this, I will now leave the floor open for question and answer. Thank you.

Moderator: Thank you so much sir. Ladies and gentlemen, we'll now begin with the question and answer session. The first question comes from the line of S.J. Rao from Share Trend Research.

S.J. Rao: Investors are slightly disappointed about the disappointing results for the second quarter in succession. Any share buyback to offset the negative results?

Dipali Goenka: No, the Board will decide on this actually.

S.J. Rao: Whether you are thinking of compensating the shareholders by thinking of

share buyback, as

you have done in the last three instances?

Manish Bansal: So this is Manish Bansal here. So at the right time, Board will decide the situation. And based on that, the same will be communicated. And this is a short-term issue. And over the period, these things will get automatically improve as soon as this tariff situation is sorted. And then we will be able to deliver better numbers.

Dipali Goenka: So I think while you are talking about these disappointing numbers, I hope you also understand the 50% tariff is right there and is the reality, sir. And the thing is that we haven't lost any customer and we are continuing to hold on to our market share, while we continue to diversify

and hold on our cost leadership and work on the cost controls.
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Moderator: Our next question comes from the line of Shradha Agrawal from Asian Market Securities.

Shradha Agrawal: Three, four questions from my side. Firstly, is it possible to quantify the impact of...

Manish Bansal: Shradha, can you speak a little louder?

Shradha Agrawal: Yes, possible to give us the quantum of tariff impact that we saw in the quarter? And adjusted for that, how would have margins been?

Dipali Goenka: Sure. I think, Manish, over to you.

Manish Bansal: Yes. So it's -- tariff impacts are not in terms of direct numbers, but tariff has actually impacted us in terms of volume and there is very minimal impact in Q2 of tariffs directly.

Dipali Goenka: But it is the impact of the volume because we actually held on until the customer gave us approval in writing to dispatch goods as well. So the lot of impact that you are seeing in this quarter is mainly because of the volume impact. And as we go forward, this will continue in the terms of our tariff impact.

Shradha Agrawal: Ma'am, but ideally, you would have also shared some tariff burden in terms of pricing with the customers

Dipali Goenka: No, that will come in. That is already actually already on the onset, let me just be very clear on it. And this will continue to actually get even sharper in the quarter 3. Quarter 2 has started showing and reflecting. And even in quarter 3, it will reflect.

But having said that, we've worked with our customers to share a 50% they have shared and we have worked as a partnership there with the customers. We are working on the first sale with one of the big fours, and on the U.S. cotton, that will also mitigate a lot of risk of the tariff.

Shradha Agrawal: Ma'am, some of your peers, not necessarily in home textile, but in garmenting those that declared results today, indicated almost a 10% to 15% burden sharing with retailers that impacted the revenue. So apart from the volume impact, I was expecting a similar kind of impact from you.

So is that a number that we also saw in terms of impact on realization?

Dipali Goenka: Yes. Yes, absolutely. Absolutely. That was the impact on the realizations as well. And we just don't deal in one category. For us, Welspun, we have a diversified portfolio, of bath towels, sheets, bedding, rugs, carpets flooring everything and advanced textiles. So for us, it's a very diversified portfolio. Having said that, as the tariff goes, this will be working to our advantage as we go forward.

Shradha Agrawal: Right. And secondly, on the flooring business, this business has been under stress for some time, and the tariff impact has made it even more difficult. So what is our strategy going ahead on this segment? And how -- I mean, I think we are seeing a higher impact on our hard flooring business compared to soft flooring. So what is the strategy that we are undertaking for flooring as a whole and for soft flooring in particular?

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Dipali Goenka: So I can tell you that soft flooring is going to continue to grow stronger and will have a growth

potential of around more than 20%. And hard flooring, you are absolutely right, there has been an impact. Having said that, we are actually controlling our fixed cost, working on a very calibrated approach. And you'll also see an upside here also as we go forward. So I just want to tell you, we capped the cost here. We're capping everything so that there will be minimal impact on this as well. So to your point, you will see kind of a positive impact on flooring as we go forward.

Shradha Agrawal: And then last question, by when do we expect the Nevada capacity to get operational and expected potential peak revenue from this business?

Dipali Goenka: So our Nevada capacity will start being operational by 1st of February, end of Jan, and that's where we are looking at that to be operational. And if you're looking at Ohio, we are more than 50% utilized. And we'll continue to grow our capacity utilization quarter-on-quarter in Ohio as well and Nevada gets operational end of Jan, 1st February.

Moderator: Our next participant is -- come from the line Perna Jhunjhunwala from Elara Securities.

Perna Jhunjhunwala: I just wanted to understand the volume impact that could come in going forward as the full impact of tariff comes in. What kind of decline or uptick that we can expect in the second half of this year? Assuming tariff continue?

Dipali Goenka: Quarter 3, we are seeing a visibility which is looking near around quarter 2 itself Perna. Quarter 4, we cannot right now have a visibility that clear, because the holiday season is there in the quarter 3. So while I think in the next 1 month, we see a visibility for quarter 4. So quarter 3, we

continue to see a clarity, and it is as good as quarter 2.

But I can also tell you that Prerna, while -- and U.S. is your biggest market, while the tariff looms, but as the tariff goes, we'll continue to have that market share, which we are not leaving because of the tariff concerns. And we have also diversified our geography. So when I look at 60% U.S.A, 40% is others in which Europe and UK is ~20%, ~13% is India and ~7% is rest of the world. So we see this kind of a mix continue to grow. And also, along with that, our brand portfolio will also grow. So I think there's a huge opportunity here, Prerna. And this is a minor blip that I will say.

Prerna Jhunjhunwala: Okay. My second question is on this branded business. In your presentation, we see that this branded business is also not done that well. So what could have been the reason behind this brand business in overseas markets not doing well?

Dipali Goenka: Overseas market, I think, Prerna, I think if you would have seen our own brand, Christy has grown. In fact, it has grown by 40% and our online business of Christy has grown by over 23% with a margin of 50%. And we actually opened doors of Bloomingdale's as stores. We actually store in store in Bloomingdale's in more than 9 stores, not from the online.

So that footprint has also started along with what we're doing in U.K. And India has been a challenge. Let me also face and tell you that because of GST. Because the GST blip this quarter, Welspun Living Limited
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Diwali shopping also, they were holding on until there was a clarity of GST. So that actually got procrastinated till first week of October.

That's where -- and if you are talking about the other brands that we have, that actually happens matter of seasons and placement that you will see a continuous growth happening on the quarter - on-quarter quarter right now. So I'm not worried about that. That you will see, like as the placement happens, and there are few placements, strong placements that will happen and you will see that growth coming in. So just to sum it up, our Christy brand global, our own brand has grown. Spaces and Welspun will grow post this blip of GST. So you will see that

upside also.

And our Domestic Flooring, our Welspun Flooring has also grown by 14% this year, this quarter.

Prerna Jhunjhunwala: Okay. And whether there was any volume -- whether there wasn't a rush before this relative tariffs were implemented and there has been an incurrence of higher cost, maybe through air or something like that, that has been incurred in this quarter, or is it normalized operations that we see, and there was no rush of volume before the implementation of punitive tariff? Just wanted to get some clarity on this?

Dipali Goenka: No, no. Not at all, Prerna. Because actually, we also didn't want to rush anything. We worked with our customers, with their written approvals were the dispatches done. So there was just very clear clarity from our customers and ourselves mutually that let's have a proper understanding and then only the dispatches were done.

Prerna Jhunjhunwala: Okay. And you see any demand cautiousness going forward as increase impact of tariff-led goods comes into the system in the U.S.?

Dipali Goenka: So, Prerna, if you have seen the Deloitte report, the consumer report of America, we have clearly said that post the holiday and the holiday season also, they are anticipating a little dip. And going forward also, there's the kind of layoffs that have happened and also the concerns that are there, they might see that dip. Having said that, America is an economy that surprises you. So let's wait and watch and be positive about how the tariff goes off and how we look at the positive demand come back.

Prerna Jhunjhunwala: Last question is on U.K. FTA. Now that it's signed but yet to be ratified, what kind of inquiries you are seeing from the U.K.? And what is your expectation that this geography could actually bring in when the ratification is already done?

Dipali Goenka: We are actually very well placed in U.K. and Europe. And in U.K., also, let me tell you that already the conversations with the top retailers is already happening. The business in the terms of growth, business in terms of strategic partnerships like we work in America has already started.

Along with that, let me also tell you how we are working with the hospitality partners in America. One of the biggest chains of hospitality in fact, Europe, which has around 400,000 properties, we already have started our placement.

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So I can tell you that already we can see that kind of a positive swing there. I mean, one more thing Prerna, let me just clarify. U.K. might have a blip in terms of the kind of economy. But

Europe, if you look at it, have seen that kind of an upside.

So you will see that kind of an opportunity in Europe as well. So having said that, to sum it up for you, U.K., we are continuing to grow. Partnerships are there. Europe, we are continuing to grow. Japan, we will continue to grow along with Australia, which is again showing very, very -- the green shoots in Australia as well.

Prerna Jhunjunwala: And have anything on flooring that is happening in these geographies because that business is continuously seeing some impact of tariff and not seeing any major improvement over there?

Dipali Goenka: So Prerna, very valid point, but I'll tell you, in the terms of soft flooring, we see a very strong upside in the other geographies, where which is like Middle East, U.K. and even in Australia where there are certain JVs that we are working with in Australia, that could be a very positive impact.

And in India also, with the kind of commercialization, hospitality, we are seeing a very positive impact. Along with that, our area rugs with very strong innovation are seeing a strong upside. It is only the U.K., U.S., which is because of the tariff, but despite -- without that, we will be able to have a great opportunity there as well.

Moderator: Our next question comes from the line of

Deepali Kumari from Arihant Capital.

Deepali Kumari: I have few questions. Can you put expectations for working capital cycle improvement, especially in inventory and debtor days where volatility is observed?

Manish Bansal: Actually, if you see our current working capital is one of the best ever. We are currently monitoring and controlling in terms of our inventory levels our debtors and payables. As of now, if you see our current cash conversion cycle is 88 days, which is lowest after FY '22.

So we are very cautious, and that's one of our key priorities to ensure our balance sheet is very healthy and strict controls are in place to ensure our cash flow and working capital cycle is managed. If you see -- even our free cash flow has been improved. We are INR152 crores of free cash flow.

Deepali Kumari: Okay. So we can expect like 88 days only. Is there any improvement in by 2026? Can we see that?

Manish Bansal: There is always a scope of improvement, but it is on an ongoing basis. And as we progress, we can always work on that. But as of now this is what looking more positive.

Deepali Kumari: Okay. And also, can you please share some guidance over margin for FY '26?

Dipali Goenka: We all know that as the tariff goes, there are a couple of things let me tell you. This is like a 50% tariff, which is on the largest market in the world, which is United States of America. While we

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know this is a short-term blip. And as it goes, -- we will come back to our normal margins that we are going to -- that we have already continued to talk about and forecast. So that's why we will see Deepali, our numbers come back to.

It is an interim blip. We are definitely working on costs and the other measures so that we make our balance sheet stronger, have a strong free cash flow. All that measures will be taken here having -- keeping an eye on all this while we maintain our market share in America.

Deepali Kumari: Okay. Yes. At the current annual utilizations, we've seen buckling in bed linen and flooring. What is the optimal target utilization? Is there any something operational bottleneck to achieving it?

Dipali Goenka: So, Deepali, for flooring, I think we are working on a decent optimization of 60% to 70% in the terms of soft flooring. Hard flooring, we are actually capping our capacity to our fixed costs so that we work it efficiently and also profitably. So this is the way we are taking measures on flooring.

Deepali Kumari: Okay. And for bed and bathroom?

Dipali Goenka: Can you repeat what you are saying?

Deepali Kumari: For bed linen, like is there any more capacity utilization we can expect?

Dipali Goenka: So both our capacities and towels and bed linens are running at a decent utilization of around 75% to 80%. And this is also a measurement of how market pans out. So Deepali, it will just depend. Quarter 3 looks closer to what we are now. And quarter 4, we'll have to see how it pans out.

Moderator: The next question comes from the line of Kunal Shah from Jefferies.

Kunal Shah: Just wanted to clarify my understanding of the quarter. This quarter, actually, this revenue decline you see, the volume decline, which will be much smaller than that? The revenue decline is also on account of lower realization since you absorbed some tariff in that initial 10% to 25%. Is that understanding correct? And this is why you don't see a margin impact?

Dipali Goenka: There are 2 things in it. One is also the volume impact. Volume impact is also there because if you look at the numbers in the terms of a drop of 16% overarchingly. And secondly, yes, partial impact of the tariff also impact has been taken on. So hence, that is where you're seeing that

impact. Manish, anything to add?

Manish Bansal: That's right. So there was initial whatever 10% started, then there was again some sharing and then subs

equently. So there is some impact of that in this number for Q2.

Kunal Shah: Understood. Understood. And the actual amount of shipments at 50% tariff wouldn't be very large this quarter in that sense, right?

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Manish Bansal: That's right.

Dipali Goenka: That will come in from quarter 3, which you will see that happening, Kunal. And yes.

Kunal Shah: Understood. Understood. Understood. That's clear. And second bit is on, let's say, this 50% were to go away and we were to normalize to, let's say, similar to our competing countries. How fast would you be able to, let's say revise again your, let's say, renegotiate with your customers to realign our prices for the new tariff rate. Any sense on that? And how fast we can see -- I mean, how many, let's say, months, quarters does it take for things to normalize after that?

Dipali Goenka: Kunal, one quarter, it will take for us to normalize because then it's a long process because the POs have come in at a certain price, we have to work on and to regularize everything. So I think suppose if it comes in quarter 3. So by quarter 4, we would be able to start seeing the benefit.

Kunal Shah: Understood. And if you can share some anecdotes or some qualitative insights on. Have you seen any change in, let's say, how competition is there in the market or the, I mean, let's say aggression from their side, given they have this window of opportunity where India is at 50 and probably they are not at 50...

Dipali Goenka: Kunal, that's a very important point. The important thing that let me just tell you one thing, India continues to be the biggest cotton home textile exporter because also of the cotton that we have, country like China has a Xinxiang that you can see. And the capacities in Pakistan and Bangladesh are not good enough.

Vietnam doesn't do anything in the terms of bath towels and sheets. They do fashion bedding only. Turkey's capacity is also very small, Kunal. So just telling you that there are. And China, when you talk out -- between China and us, we can still -- we can actually take on the delta. So I'm not that worried about.

Kunal Shah: Very clear. And finally, any change of plans on the India business in the next 2 years in terms of, let's say, resource allocation or any initiatives which you have taken on that front incrementally would be helpful to know?

Dipali Goenka: We are going to grow our India business. Spaces and Welspun, you will see that in GST, it was a small blip that you saw. But ongoing, as you see, our intact INR1,000 crores is intact in the next 2 years, and you will start seeing some kind of growth that we have anticipated a 20% growth and a kind of a breakeven EBITDA in the beginning and then gradually taking it to the next level.

Moderator: Our next question comes from the line of Bhavin Chheda from Enam Holdings.

Bhavin Chheda: Decent result despite challenging environment. A few questions. First, I missed out on the sales mix in the quarter, geographical sales mix, if you can give.

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Dipali Goenka: So actually, we don't give our sales mix, but I can tell you how do we work. 60% is America. 40% is U.K., Europe and rest of the world. Out of that, 20% is U.K., Europe. 13% is India and 7% is rest of the world.

Bhavin Chheda: Okay. This quarter also saw, I think, depreciation going up because of the capitalization of the bath linen capacity. So is this the new quarterly run rate INR100 crore in the quarter, or was there something else in that...

Manish Bansal: So this year, we have capitalized around INR300 crores for last quarter and slowly that whatever new capacity we have installed for Jacquard towels.

Bhavin Chheda: Okay. And last one, ma'am, you said that quarter 3 would be largely a reflection of quarter 2. So what you meant was th

e top line numbers because I think margin-wise, it will see a further pressure because of the full 50% tariff impact. So I think your earlier question reply, you said that the quarter 3 largely maintain quarter 2 numbers. What you meant, it was the top-line numbers?

Dipali Goenka: Yes, I'll maintain -- we'll maintain more or less the same, more or less the same with the other top line numbers. I mean, here or so in the terms of the top line, but the numbers will be more

or less the same.

Bhavin Chheda: Historically, December quarter is slightly leaner than the September. So that's the reason I was asking, which means, obviously, the September was much lower, obviously, due to the affiliated impact, but you're saying December will not fall as compared to the September?

Dipali Goenka: It will be maybe 10% lesser here or there. That's it.

Moderator: Our next question comes from the line of Sani Vishe from Axis Securities.

Sani Vishe: As you said, I think we understand that this is a temporary and there are factors which are beyond our control that will decide the future direction in the near term. Let us go beyond FY '26 and rather FY '27. So what are our plans for FY '28 and beyond? So how do you see the growth there if everything normalizes?

Dipali Goenka: We will maintain our market share as one of the biggest in the home textile across the globe. In fact, we are now present in more than 65 countries and we'll continue to take that share because of the FTAs that are coming in across. So that's a huge opportunity. India will be that huge opportunity in terms of the consumption and with the kind of -- it has actually with the GST, you would see that kind of an upswing happening even in the Indian consumption.

Christy will continue to grow globally. And towels will continue to take the market share globally, along with in the sleep category, which is your sheet utility bedding and fashion towel -- fashion bedding, we'll continue to grow that degree across the globe as well. And that is where we will be.

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So as we -- and flooring soft textile, soft flooring will continue to grow. Our textiles will grow in a calibrated way as well. Advanced Textiles, we are going to go innovative. So this is where we'll maintain what we have said. Maybe the numbers in the terms of the numbers that we've given could go one year or two here and there because of the challenges that you see this year.

Sani Vishe: So what I'm trying to gauge is we -- I mean, based on the fact that we are declining this year, there will be a low base that we will have and there will be more growth revenues that will be coming in. So it seems that we can actually exceed the historical growth rate if not in FY '27, then definitely in FY '28.

And similarly, in the margin terms, I think EBITDA margins used to be around 18% level before '23, FY '23, etc. So do you think those kind of margins are achievable in longer terms, I think?

Dipali Goenka: We will maintain to be our market leader in the globe. I'm very clear on that. Let me just be very clear. When you talk about the EBITDA margins, let me also tell you the cotton prices from INR44,000 have come to INR53,000 and INR55,000. So automatically, there is an upswing that you are seeing in the general trend of cotton prices, right? So yes, that could be the impact that we'll see. Home textile will maintain the 15% to 16% in EBITDA that we are continuing to maintain.

Moderator: Our next question comes from the line of Shradha Agrawal from Asian Market Securities.

Shradha Agrawal: In your opening commentary, you indicated that exports to the U.S. have declined by 44% in towels and 8% in sheets, just wanted to check why such a huge variance between towels and sheets demand?

Dipali Goenka: No, because that is a matter of -- kind of the dispatches that happened from the country wise. So

that could change in the next quarter. So let me just tell you that, whereas Welspun continues to grow its market there. So I just wanted to give you that kind of anecdote sharing there that according to the OTEXA data, we actually maintained our market share, while the other -- while actually in generally, the towel and the sheet categories were degrowing.

Shradha Agrawal: But in general, on the demand side, do you see any divergence in demand for both these categories in a material way? Or is it similar, the kind of sentiment that we are seeing for both these categories?

Dipali Goenka: So I can just tell you one thing. See, the 50% tariff, it will depend on the -- how the consumption grows because it's a discretionary spend in home textiles. So it will depend on what the consumer buying will be. So we are -- actually, this quarter two was the time where the holiday shipments were happening. Quarter 3 is the holiday season in United States of America.

So we will actually see how that United States pan out in the terms of the holiday season.

Deloitte's numbers are not looking that good compared to what they are projecting. They are saying that it might -- there might be a blip in the terms of consumption. So yes, let's wait and see. America is an economy that surprises you.

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Shradha Agrawal: Right. And I was also referring to this question because if I look at what your other peer has reported, the other big home textile player, though, I mean, the tariff situation is same for both the companies, but their performance seems to be a little more resilient than us.

Dipali Goenka: Yes. Can I say something here? I think Welspun does diverse categories. So when you talk about us, our volumes are 2,400 and over, right, the largest capacity in the world and in India as well, if I may say so. And it is not just linen and sheet. It is towels, rugs, bedding, flooring and everything, etc., also. So I hope you understand the relevance of this.

Shradha Agrawal: No, that's true, ma'am, but it is coming in the context that towel shipments have seen a high decline compared to bed sheets.

Dipali Goenka: Ours hasn't declined. Ours hasn't declined. I'm talking about America's decline. When I talked about 40% decline, that is the America decline, 8% decline is America's decline, but Welspun has maintained the market share Shradha, if I may clarify that.

Shradha Agrawal: That's right, ma'am. Sure. And just one question, bookkeeping question. So what was the revenue in our Ohio facility this quarter? And are we on track to do the \$30 million number that we had indicated for '26?

Dipali Goenka: We are maintaining and on track of \$30 million as we have committed, and that'll happen for sure.

Shradha Agrawal: Okay. And any number for this quarter, how much did we clock this quarter from Ohio?

Dipali Goenka: We cannot say anything on that. We have actually given an annual number, and that will be achieved.

Moderator: Ladies and gentlemen, as there are no further questions from the participants, I hand the conference over to the management for the closing comments. Thank you, and over to you, ma'am.

Dipali Goenka: So as we close the first half of FY '26, uncertainty in the external environment persists, but our resilience, customer trust and diversified model continue to anchor us. We are retaining market share, maintaining long-term partnerships, investing in category expansion and regional diversification.

On the domestic front, for GST stabilization, we expect consumption to pick up, supported by strong macro fundamentals. With Manish at the helm of finance, we will sharpen our focus on cost control, capital efficiency and margin recovery.

For us, Welspun Living, the current headwinds are not just a test, they are a catalyst. Our strategy is built on 3 pillars: diversify, streamline, operate efficiently and lead responsibly.

Thank you for your continued confidence in Welspun Living. We look forward to engaging with you again next quarter. Thank you.

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Moderator: Thank you so much, ma'am. On behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Q3 FY '26 Earnings Conference Call "
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MANAGEMENT : MS. DIPALI GOENKA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – WELSPUN LIVING
LIMITED
MR. MANISH BANSAL – CHIEF FINANCIAL OFFICER –
WELSPUN LIVING LIMITED
MS. BHARTI AGARWAL – LEAD INVESTOR RELATIONS
– WELSPUN LIVING LIMITED

MODERATOR MR. ASHUTOSH SOMANI – JM FINANCIAL

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Moderator: Ladies and gentlemen, good day and welcome to the Welspun Living Q3 FY '26 Earnings Conference Call hosted by JM Financial. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ashutosh Somani from JM Financial. Thank you, and over to you, sir.

Ashutosh Somani: Thanks, operator and welcome everyone to the call. I will first thank Welspun Living for giving JM Financial the opportunity to host today's call. Without much ado, I'll hand over the call to Ms. Bharti Agarwal, Lead Investor Relations, Welspun Living, to introduce the management. Over to you.

Bharti Agarwal: Thank you, Ashutosh and good evening, everyone. On behalf of Welspun Living Limited, I would like to welcome you all to the company's Third Quarter FY2026 Earnings Conference Call. Joining me on the call today are Ms. Dipali Goenka, Managing Director and CEO; and Mr. Manish Bansal, Chief Financial Officer.

We hope you have had the opportunity to review the earnings presentation, which has been filed with the stock exchanges today and is also available on our website. During the course of today's discussion, we may make references from this presentation. As usual, we will begin with opening remarks from the management, following which we will open the floor for a Q&A session. Should you have any additional questions after the call, please feel free to reach out to us. With that, I would now like to hand over the call to Ms. Dipali Goenka. Over to you.

Dipali Goenka : Good evening, everyone, and thank you for joining us today for Welspun Living's Q3 FY '26 Earnings Call. Q3 FY '26 unfolded in an operating environment that remains challenging and largely unchanged. Persistent U.S. tariff headwinds, muted discretionary demand and cautious retailer buying continued to weigh on demand visibility and volumes across export markets. However, as we closed the quarter, the global trade landscape for India has shifted decisively, and this marks a structural inflection for Indian manufacturing and exports. Over the last few months, India has concluded a series of landmark trade agreements, including the India-US trade agreement, the India EU pre-trade agreement and the India U.K. FTA, alongside early agreements with markets such as Japan and Australia.

Together, these FTAs significantly expand India's market access across the world's largest consumption pools, materially improve tariff competitiveness and reinforce India's position as a preferred long-term sourcing destination for global retailers. This shift is not about an immediate demand rebound over the next quarter or two, rather, it meaningfully improves visibility, competitiveness and confidence for global customers planning their sourcing strategies over the

The India-US trade agreement removes a key overhang, the rollback of punitive tariffs, including the removal of the Russian oil-linked levy and a favourable reciprocal tariff framework, potentially around 18%, restores India's competitiveness versus the peer sourcing nations.

Europe, in particular, represents a major structural opportunity.

The EU is the world's second largest economy and a USD 260 billion annual importer of textiles and apparel, while India's current exports are only USD 7 billion, highlighting significant headroom. For Welspun Living, this is not a new market. We already have established relationships and an operating presence.

The India EU FTA materially improves our c

ompetitiveness, strengthens market access and

enhances long-term demand visibility in a large, high-value sustainability-focused region, creating a multiyear growth runway across home textiles, flooring and advanced textiles. From a portfolio perspective, the combination of India-US, India-EU and India-U.K. agreements reduces concentration risk and supports a more balanced growth profile.

With nearly 40% of our business already outside the U.S., we are well positioned to participate in this next phase of global sourcing normalization. As we move ahead, our strategy remains unchanged: stay close to customers, exercise cost discipline, invest in innovation and sustainability and emerge stronger.

Turning to performance highlights for the quarter. Against this backdrop, consolidated revenue declined 9.9% year-on-year, while EBITDA margin improved sequentially to 7.7%, expanded 80 bps quarter-on-quarter, driven by sustained cost actions despite elevated tariff pressures and adverse mix.

Our core home textile exports declined 8.9% Y-o-Y, reflecting the residual impact of tariff-related disruptions, cautious retail behaviour and muted discretionary demand in the U.S., our largest market. While recent data indicates a modest broad-based improvement in U.S. consumer sentiments in store holiday season sales for home products, it declined 3% and overall confidence remains 20% lower than last year's levels.

That said, with India's tariff competitiveness now improving across product categories, we believe the foundation is firmly in place for a gradual recovery in volumes with India and scale partners like Welspun well positioned to gain share as sourcing normalizes. We continue to expand our presence in higher-value categories such as utility bedding, fashion and pillows, underpinned by strong innovation capabilities.

Our Jacquard facility further reinforces our leadership in premium Terry towers globally. Our onshore Ohio pillow facility is ramping up well with revenues already 2x Y-o-Y, and we remain on track to double pillow business this fiscal year, alongside preparations for the Nevada expansion.

Christy, our luxury heritage brand sustained strong momentum in Q3 with 31% Y-o-Y revenue growth, driven by continued U.K. strength, ongoing Middle East market entry and strengthening Welspun Living Limited

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U.S. performance. Performance was further supported by U.K. repeat customer growth of 64% Y-o-Y, strong U.S. marketplace performance and rising demand across core and premium bedding.

Our domestic consumer business recorded INR185 crores. It grew 4.7% Y-o-Y. Our B2C home textile segment delivered 6.4% growth this quarter on the back of strong performance in general trade and modern trade over a festive base last year. Our Welspun and Spaces brand is well positioned to capture India's next phase of consumption-led growth. In addition, India's expanding religious tourism and pilgrim infrastructure is creating incremental demand for institutional home textiles, adding a steady growth avenue. Our domestic flooring business continues to perform well. It grew 14% Y-o-Y, driven by housing, hospitality and institutional demand.

Our global flooring business declined 29.2% Y-o-Y amid tariff headwinds. However, we see significant potential in soft floorings. Our area rugs delivered a strong double-digit growth this quarter and upcoming FTAs are expected to further enhance our competitiveness in global markets across product categories.

Our Advanced Textile business declined 20.9% Y-o-Y to INR104 crores, impacted by softer global demand. With upcoming FTAs, the medium-term outlook for this business remains highly

promising across all geographies.

At Welspun Living, innovation and sustainability are deeply integrated into how we design products, run operations and build long-term competitiveness, backed

by an I P portfolio of over

48 patents. Our innovation-led offerings enable premium positioning and agility with innovation accounting for 20% of revenues. Proprietary platforms like Hygro cotton, GX Pillow and Wel-Trak continue to drive value across categories, reinforcing our leadership in innovation-led growth.

This quarter, our sustainability moat received strong external validation. Welspun Living ranks number one globally in textile, apparel and luxury goods category with a score of 90 in 2025 S&P Global Corporate Sustainability Assessment. Together, our innovation depth and sustainability leadership create a powerful defensible moat, strengthening customer trust, enabling premiumization and positioning us to emerge stronger as markets normalize.

As we look ahead, India's expanding FTA network and global sourcing realignment open up a significant multiyear growth opportunity. Our focused efforts on cost optimization, faster time to market and operational excellence continues with unwavering rigor - placing us in a stronger position with each step. We are ready not just to meet this moment but to rise with it.

With that, I will now hand over to Manish to take you through the financial performance for the quarter. Over to you, Manish.

Manish Bansal: Thank you, Dipali, and good evening, everyone. I will briefly walk you through our financial performance for Q3 FY '26. During the quarter, we reported consolidated revenue of INR2,277

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crores, down 9.9% year-on-year, reflecting continued pressure on volume amid a challenging external environment. That said, the most important financial takeaway this quarter is resilience of our operating model. Despite elevated tariffs, mix pressure and muted demand, EBITDA margin expanded sequentially by 80 bps points to 7.7%, demonstrating the tangible impact of sustainable cost actions, operating discipline across the business. While margins are lower on a year-on-year basis, it is important to note that this sequential improvement has been achieved in one of the most challenging operating environments, underscoring the structural work done on overhead, rationalization, sourcing optimization and plant productivity.

These actions are helping offset tariff-led pressure and adverse mix even as we continue to benefit from favorable forex realization. Profit after tax before exceptional item for the quarter is at INR21.5 crores.

That said, this quarter demonstrates our ability to generate cash even in a down cycle through working capital discipline. Our free cash flow improved meaningfully to INR395 crores compared to INR112 crores in FY '25. This reflects tighter working capital discipline across business. As a result, cash conversion cycle improved to 88 days versus last fiscal, demonstrating stronger operating control despite the volatile demand environment.

Our net debt stood at INR1,332 crores in December '25 versus INR1,570 crores as on 30th September 2025, lower by INR238 crores. We are progressing on cost rationalization, procurement optimization and plant productivity improvements, supported by automation and digitalization initiatives.

These actions are helping us improve resilience and predict profitability even as external pressures persist. Capital allocation remains disciplined. Our capex continues to be directed towards productivity enhancement, sustainability initiatives and selective growth opportunities, aligned with our long-term competitiveness rather than volume-led expansion.

Capex during this quarter was INR139 crores, primarily towards efficiency enhancement and our ongoing transmission line projects. Going forward, our focus remains on driving cost efficiencies, improving mix strengthening cash flows and accelerating diversification across market and categories. With this, I will now leave the floor open for the question

and answers.

Thank you.

Moderator: Thank you very much. We will now begin with the question and answer session. Our first question comes from the line of Purna Jhunjhunwala from Elara Securities.

Purna Jhunjhunwala: Congratulations on numbers in this difficult time. My first question is to understand the global tariff scenario now, the U.S. tariff scenario. What is the current scenario? And are -- is the thing about cotton -- U.S. cotton being used, so tariffs will be zero materialized? Or how do you see it coming in?

Dipali Goenka: So first of all, as you know, about our U.S. tariffs, we saw the 25% punitive tariff go. 18% should be done in the near future. And when you even talk about now looking at India, with the 18%, Welspun Living Limited

it will become the most competitive. I know there are conversations about Bangladesh that are coming into court, and let me put that on the table and address that as well.

Here, the conversations are the same that are going to be applicable for India as well, which are right now happening, and it might -- it's a little ambiguous, but we'll hear in the next near term.

So definitely, for us, with U.S. where we are at 18%, we will also be as competitive as the peers.

When you talk about U.S. cotton, the interesting thing is it's not 0% because when you talk about towels, 50% is your cotton content, right? And when you talk about sheets, it's around 30% to 35%. So it is according to that, that you look at the kind of the cotton that has grown in U.S.A. getting that benefit and an upside.

However, as we go forward, more and more clarity will come in the reciprocal tariff of United States of America. And as we speak, we already know that U.K. FTA is done last year, and we will see that coming in the next 2 quarters and the Europe FTA being done, which earlier actually the FTAs in these kind of were cost arbitrage. But now we are talking about growth as a kind of an opportunity. And we'll see that coming in the next year.

Perna Jhunjhunwala: Understood, ma'am. Ma'am at 18%, even if we assume that the cotton thing is not happening at 18%, how will be the sharing of tariff between the customers and us going forward? And can we assume a return to normal margins from Q1 because Q4 is almost half done. From Q1, can we assume a return to near normal margins for you?

Dipali Goenka : So I'll tell you one thing, Perna, one thing, let me be clear. When we talk about these FTAs and 18% and the others, there is a partnership that you have with the retailers, right? Even in these toughest times, we actually worked on sharing a little burden, right? So there will be that opportunity that will come in. And quarter 4, anyway, I've already spoken about, see February has already gone by.

There's still a lot of conversations happening. So the year will go by. So quarter 4 still will be in that kind of a thing. But as we go forward in quarter 1, we will see a continuous upside coming in. And so I just want to make it very clear. When these kind of implications happen, there's a lot of conversations that will happen between the customers because these partnerships are more than over 2 decades. And we are the most competitive. So this will be same applicable to other countries as well.

Perna Jhunjhunwala: Okay. Understood. So it will still take some time for normal margins to kick in even in FY '27 is where -- how we should look at it?

Dipali Goenka : It will gradually pan out in quarter 1 and as we go forward. Perna it takes time because the orders come in. How this pans out, we're already sitting in February. Quarter 4 is nearly over and the quarter 1 will pan out, right? So it will take time. But yes, it will happen as a gradual upside quarter-on-quarter.

Perna Jhunjhunwala: Yes. Okay. Understood. Ma'am, on domestic business, how is the demand scenario now? And what kind of

uptick we are seeing in the domestic market?

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Dipali Goenka : So with the GST reforms, we'll see a huge opportunity here. And for the next year, the next financial year, we'll definitely see kind of a growth that we are targeting that over 20%, 25% -- and that is something that we are absolutely geared up for our brand, Spaces and Welspun in India.

Moderator: Your next question comes from the line of Shradha Agrawal from Asian Market Securities.

Shradha Agrawal: Congratulations to the team on a good quarter. Dipali, two questions. First is now that India has signed -- I mean, the tariff is 18% plus, you've signed FTAs with U.K. and EU. So how should we look at capex plans going ahead, which we had installed for the time being given there was so much uncertainty?

Dipali Goenka : The thing is that we already have invested in row, if you know about our Jacquard facility, and we're already working on the fashion bedding and also the pillows. So I think we are completely geared up in terms of capacity utilization. So the focus this time is going to be to sweat our assets because the opportunity is humongous because not only with this 18% on India on the tariff in U.S., with the U.K., Europe, now Japan, Australia, the ROW Japan, the other opportunities that we see here are going to open up more doors for all the categories that we do. That is our bath, bedding, flooring and advanced textile as well.

Shradha Agrawal: That's, I was more talking about the INR700 crores capex that we had outlined earlier, the Phase 2, which was to be split between '26 and '27 in terms of capacity into spinning and bath and bed all coming through. So I'm talking about that capex plan, where do we stand on that now?

Manish Bansal: Hi Shradha, Manish here . So yes, so we are on track on our capex, whatever was agreed, but we are not planning additional capacity for taking care of any future business that whatever plant capacity or capex we have done, it will be enough to take care of future demand. And maybe after 2 years, we will review how it looks like.

Dipali Goenka : With the kind of capacity that we have for jacquard and we have become one of the largest capacities in the world, also.

Shradha Agrawal: Right. So we are on track to do that spinning capacity expansion of 40 tons per day as well as 3,600 tons per annum capacity on the Terry. That's already on track, right?

Dipali Goenka : That's already on track and already started, yes.

Shradha Agrawal: Okay. And secondly, on the flooring business, ma'am, I mean, we have been facing some pressure on that portfolio for some time now. And in between, there was a decision that we might look to rationalize our hard flooring subsegment. So any decision that has been taken? Or how should we look at the flooring portfolio going ahead?

Dipali Goenka : So Shradha, let me tell you, I haven't been more positive about this business than ever. I can tell you that really very categorically. With the kind of opportunity that we are seeing now with Europe and rest of the world, our soft flooring business has a massive uptake. And we will see that gradually pan out. And with a year or 2 there, our top line will also come through and our

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margins will also get -- will turn around. And this is something which we are seeing coming in the very near future as well.

Shradha Agrawal: Right. So we continue with both the sections in flooring, both the subsegments, hard flooring and soft flooring?

Dipali Goenka : So we will be -- basically, the thrust will be more on the soft flooring and hard flooring will pan out gradually... Yes.

Moderator: Your next question comes from the line of Bhavin Chheda from Enam Holdings.

Bhavin Chheda: Congrats to the entire team, really good results in the environment we are in.

Just to carry on the

question of the flooring first. If you can update because after the tariff, there had been -- U.S. business got impacted in flooring. So what was the tariff for India on flooring versus competition, where we lost market share? And after the current trade read, what is the tariff scenario of flooring? And ma'am, you spoke about the opportunity in Europe also for flooring. So how does the competitive positioning in the flooring space change post recent tariff announcement? If you can update more on that?

Dipali Goenka : Yes, sure. So when you talk about flooring, we are competing with China, we are competing with Vietnam. We are competing with Turkey right, and Egypt. So if you're talking about these countries, they were very, very competitive. And now with this opportunity that we have, we definitely have an upside. And so that actually gives us an opportunity not only in U.S., but in U.K. and EU also, there's an opportunity.

The other interesting thing, and you must be knowing it absolutely that GCC, again, is on track for being -- having the FTA there, too. So that is very interesting. Australia, we already have an opportunity, Australia and New Zealand. So these are other countries that we will see an upside coming in. And the focus is we'll see a massive upside on soft flooring, which is the bigger part of the flooring portfolio.

Bhavin Chheda: Sure. Secondly, on the advanced textile, the utilization has seen a fall in as compared to even quarter 2. So any specific reason where the demand slowdown happened?

Dipali Goenka : So the demand slowdown definitely happened see now with this kind of tariff implication that we had, we had become completely unviable for countries like United States of America, even for Europe and other countries as well. Having said that, now we see an opportunity opening up again.

And these opportunities will not only come in for spunlace, which is just commodity, but needle punch where we created innovative products and also in wet wipes and the other dry wipes and the other categories that we are working on. So there, again, is an opportunity to grow this category by 20% and with a strong double-digit margin as well.

Bhavin Chheda: Sure. And the last one on how much was the U.S. cotton in your overall cotton mix in the quarter and 9 months?

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Dipali Goenka : So this actually started post the third -- in the second quarter onwards. We started seeing U.S. cotton in the second quarter. And it actually depends on the programs and the program mix that

we do, honestly. So -- and specifically, basically in the bath category, we have seen that coming in as an upswing and mainly also in the second and then in the third quarter.

Bhavin Chheda: If you can share the percentage number, how much maybe 20%, 30% ?

Dipali Goenka : That, I just cannot share that actually.

Moderator: Your next question comes from the line of Sani Vishe from Axis Securities.

Sani Vishe: I just want to understand depending on the last call that we had and the guidance that you had given, we were expecting the trend or rather the decline to be similar to earlier quarters. But as a matter of fact, it has come -- it has been not that bad. So I just want to understand what went better than expectation because I think we were expecting a double-digit decline in revenues. So what went well or better than expected? And does that mean that we may do even better in Q4?

So I think the tariff impact is not there, I mean, the positive impact of tariff is not there, still we are able to recoup some growth. So I just want to understand what changes now ?

Manish Bansal: Hi Sani, Manish here. So thank you for your question. So yes, you're -- it is -- the results are better than expectation. And there are a couple of reasons for this. And as during last call, we have mentioned very cat

egorically that we are going to work on various fields in terms of managing our cost, cost optimization, improve our plant efficiencies, etcetera.

And that has actually given us some results in terms of performance results. And we are able to absorb the cost or hit of the tariff in these activities. And there are some forex gain also there, and that has actually helped us to mitigate some of other tariff impact. So that's the reason we're actually able to deliver better numbers.

Sani Vishe: Okay. So even on the revenue growth terms, I think we are doing better than expected, especially I think domestic business has started showing signs of good sustainable growth. So do you think that we can expect further traction in domestic and overall revenue growth, where do you expect to end for the full year?

Manish Bansal: So yes, you're right. We are expecting growth in domestic business. And that is a continuous focus area for us, and we will continue to do that. And probably we will be able to share the updates in some time.

Moderator: Your next question comes from the line of Ashutosh Somani.

Ashutosh Somani: While you have stated that a lot of clarity is yet to emerge on how the U.S. cotton benefits will flow through for Bangladesh. Just want to understand some -- 2 parts of this equation. One is what does the U.S. cotton usage do to the unit economics of our product, okay? And secondly, how high can the usage be in percentage terms in a product category?

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What is the highest number you can think of? The context of this question is that the number doing the rounds for Bangladesh is 70%. So 70% usage of cotton -- U.S. cotton in a product makes them eligible for zero tariff. So in that context, just wanted to understand two things from you. One is, is it even viable to have unit economics in your favor after using 70% U.S. cotton sitting in Bangladesh or India? And the second is, can we actually go as high as 70% in any of the product categories?

Dipali Goenka : So go ahead, Ashutosh. Yes. So first of all, let me tell you, like for our towels, we know that it can't go beyond 50%. In sheet, it can't go beyond 30% to 35%. Similarly, it's applicable to all the categories. So maybe apparel could be maybe 10% here and there more. That is the unit economics that we can talk about.

However, even in the elements that you know about Bangladesh deal, let me also clarify, there's going to be a quota about the goods that are going to be exported out of this cotton because Bangladesh doesn't do any cotton. They anyway import cotton, right? So they'll be importing more U.S. cotton. But that is going to be again having a quota. Then the other -- the rest of it will have that 19%. And similar deal is what the government has been talking here for India as well. So that also I just want to table. So people can say 70% to 80%, as I know very well, right now for my products, this is where the cotton consumption remains.

Ashutosh Somani: Dipali, this is very helpful. The other question is, are we -- from the outside, it looks like it's a great time to be in textiles with the addressable market size increasing many fold from a 3-5 year perspective. U.K. FTA will be ratified at some point in time, EU FTA maybe after 6, 8 months of U.K. And then you have the issues with U.S. has been resolved and new markets, Australia, Middle East. So are we like now comfortable from a 5-year perspective to report high double-digit revenue growth sitting here in India?

Dipali Goenka : So while this all looks very good, and we are actually geared up to do what it takes to achieve the numbers of growth and even margins. But Ashutosh, it will all now we see -- if I look at it, U.S. will happen in next year only. U.K. will happen in the next couple of quarters. We will definitely see that upside happening. But -- there would be other e

lements that we should be

even looking at in the terms of this dynamic environment. But Ashutosh, just to give you a perspective, we are feeling very positive about the kind of upswing we'll have in this business.

Moderator: Your next question comes from the line of Aradhana Jain from B&K Securities.

Aradhana Jain: Just wanted to understand, given that now the U.S. market seems more favourable to us. So from EU perspective, what are the growth drivers that we feel that EU can bring to us? Because the reason I'm asking is that if I consider the FTA before that the tariffs were -- the rate was around 9%, 10%, right?

So the incremental benefit that we get, and please correct me if I'm wrong, is from the aspect of the 9%, 10% going away. But my understanding is that from home textile perspective, U.S. is much larger market. And for us, that remains. So from EU perspective, what exactly now changes beside the rate changing?

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So is the market more favourable for home textiles? Like from a macro perspective, I wanted to get your thoughts on the home textile space in the EU market? And how are we going to tackle it? Is there going to be a different strategy for the EU market? And what kind of growth can we expect from that market, not maybe in the near term, but over a period of time?

Dipali Goenka : Thank you. That's a very interesting question and very valid as well. So as I spoke in my opening remarks that EU is the world's second largest economy. And it is at around USD, it imports around \$260 -plus billion of textile and apparel. And India's only current exports is \$7 billion.

So the important aspect is that the other countries, like you can imagine, Pakistan, Bangladesh have kind of an upside on this. While as Welspun, we already are present in 27 countries, but -- and across all the categories, this will give us a mega boost in the terms of being competitive with the countries like this.

The important thing you spoke about being the largest market. U.S., of course, is the largest market. Europe being the second largest, it is a fragmented market. But having said that, the opportunities are definitely huge. And for us, there are certain retailers we've seen that we are doing very well.

And these are mass retailers who have a span of around 2,000 stores and they're opening a store every day. And the opportunity here, even with our Disney presence that we have, we are not only penetrated in the West Europe, but also in the East Europe. So with us, the basis set, along with this, not just the retail presence, we also have a hospitality presence now in U.K. and Europe. And this is going to continue to grow for us at Welspun too.

Aradhana Jain: And in terms of growth, how much growth do we expect this new market to -- not new market, but the EU market to bring to us within the next 2 to 3 years' time?

Dipali Goenka : So let me tell you, in our portfolio right now, America used to be around 70%. Now it is around 65%. Our portfolio will grow as a pie, where we are right now at 40% with Europe and rest of the world. This will again increase another 10% of the pie. So we want to continue to grow this market. This is what I can say as of now today.

Aradhana Jain: Understood. And second question is on the FTA with Bangladesh. Now there are a lot of apprehensions talks around whether the reduction in the rate that has happened in Bangladesh from 20% to 19%, while it is obviously favourable for them, but the additional clause of the clause that they might be also eligible for 0% for selective cases?

Do you -- from your perspective, do you really think that's going to be a value add for them given that there are talks that if you import from U.S., your logistic costs and a lot of other working capital requirement increases. From that perspective, how do you look at this deal that has come through

from a 0% tariff? Because you also said that we are -- we could also be eligible for that, right? So if we -- if tomorrow, we are eligible, will it really help us to get to that 0% and from cost perspective? Is it viable or not?

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Dipali Goenka : First of all, let me clarify one thing on this deal that is happening with Bangladesh, and it's still going on as a conversation where the quotas are there. So there will be a certain quota that will be on the country and then the rest will be on 19%. And similar thing has been worked out for - - that is continuing -- there's a conversation happening there, too.

So we will have to see how this pans out. For Bangladesh, getting in U.S. cotton to make -- see, Bangladesh doesn't grow any cotton. Anyway, it was importing from India. Now they'll import it from United States of America. So anyway, that was one thing that they were already doing. So that was the cost they were anyway incurring -- but it is also the quota that is going to be a

very interesting opportunity where we are looking at, but the rest will be at 19% only. Now if you look at Bangladesh, it is better upside for apparel. And I mean, their inflations have also caught on with them as a country. So we'll see how this pans out going forward.

But let me be very and I think we should be confident as a country where with this 18%, we are far more competitive, not only in the terms of the tariffs, but in the terms of being a stable democracy with cotton having that next doors, but a strong infrastructure and a back end with MSMEs as well. So I think as a country, India, we should be very confident about this opportunity that we have.

Aradhana Jain: And in terms of raw materials, how much percentage of our raw materials would be cotton and the rest of, say, MMF Fiber for us?

Dipali Goenka : See, mostly for our home textiles, it is 100% cotton. And for our flooring, that's where we have the man-made Fiber. So that it just is that much. And along with our advanced textiles where you have others like viscose as well. So that actually makes around in the portfolio around 10% to 15% of our inputs of manmade Fiber.

Aradhana Jain: And is it fair to assume that most of the cotton we are procuring from India itself?

Dipali Goenka : So 70% of our cotton comes in from India, and the rest comes in from the different parts of the world. Yes.

Moderator: The next follow-up question comes from the line of Purna Jhunjhunwala from Elara Securities.

Purna Jhunjhunwala: For U.K., since the FTA is nearby, have we started conversations with our U.K. clients for enhancing orders? How are things moving on the U.K. side?

Dipali Goenka : So Purna, if I may say here that we have already been present in all these countries and with all the major retailers. And now the opportunity is to scale that up. Our presence is already there. Our offices are there. We also have our warehousing in U.K. Our teams are sitting there actually seeding the market on a regular basis.

Now it is only going to scale up. The opportunity here is like how we have in the United States of America. Now here, we're going to do -- there's an opportunity to do business plans together,

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look at kind of an opportunity growth here, Purna. So that's going to be another next level where we're going to take it.

Purna Jhunjhunwala: Okay. So, I mean, what is the kind of market in the U.K. in terms of price points that we're seeing and the order sizes that we are seeing, it's going to be materially different than what is U.S. right now, right? So just trying to get some understanding on how we can see the scale up in U.K. as Europe is still far?

Dipali Goenka : So I'll tell you one thing, U.K. will have an opportunity in the terms of quality more than quantity. And like there

are certain retailers like John Lewis and the others where you will have far more premium luxury products -- and the others will be the opportunity in the terms of, yes, value.

And there also, it is pretty substantial in the terms of our towel category. The other opportunity that we'll have is in the terms of bedding and seats, where because we couldn't compete with these countries like Pakistan, we now -- that will also open a door for us because we'll be competitive there to Purna.

Moderator: Our next question comes from the line of Riddhesh Gandhi from Discover Capital.

Riddhesh Gandhi: Just had a question with regards to again on this EU FTA. Just wanted to understand how large is the EU market compared to the U.S. market, both for the bed sheet and towels. What is our market share in the EU? And effectively speaking, is the primary reason why our existing market share is low because of the duties keeping are higher. And so is it that the actual opportunity? Just wanted to understand the scale of it?

Dipali Goenka : As I said earlier, that U.S. -- like if I talk about Europe, which is the -- we have -- I said it in the opening remarks, Riddhesh, that \$260 billion on the import of textile and apparel. And now that becomes India's opportunity because India was just doing \$7 billion of business with Europe and -- so this is a huge opportunity. The delta is huge. And so that actually helps us to compete and sets the platform for us to -- the stage is now set to scale that up.

Riddhesh Gandhi: Got it. And the other question I had for you was with regards to -- you indicated that it would take a few quarters. I understand that obviously, the Q4 is, I mean, almost over. But with regards to -- I mean, wouldn't it be almost instant where Q1 onwards, I mean, support which we would have been providing for the 25% oil tariffs will go away. And therefore, the growth revenues and the margin should again be on -- with the previous trajectory?

Dipali Goenka : Yes, I'll tell you one thing. The thing is it takes time to scale up now, right? Because with the 50% tariff, there's a lot of supply chain for the whole system, right? So there's a lot of -- and that's what it will take for us to scale up for the retailers as well. So now from quarter 4, that's the reason I said it's going to be a scale up from here. And it is definitely a gradual process

because the supply chain in textiles is a longer one comparatively.
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Riddhesh Gandhi: Got it. And just to understand, are the inventory levels at the retailer level at the moment reasonably low given I would assume that ordering would have been slower given the tariffs, which are there and hope of a resolution or is that not the case?

Dipali Goenka: So I'll tell you one thing. A lot of it has been taken care of because it has been -- December has -- quarter 3 of ours is their end of year, right, financial year. Already, they have taken care on the books are closed. So now January onwards starts their new year. So that's where they have all the reconciliations done and they move forward.

Riddhesh Gandhi: No. But I'm asking, are the overall -- I mean, inventory levels at the retailer end reasonably low and thin and therefore, there would be some amount of restocking opportunity as well or that's not?

Dipali Goenka: So that actually is having -- that needs to be seen because retailers like clubs and mass retailers, the inventories would have got over because they already have passed the Black Friday and the sales have happened, though it was relatively lower. But I think they would have been there in the terms of reducing the inventories by 60% to 70%. The rest is in there, which is on a roll anyway, Riddhesh.

Riddhesh Gandhi: Good it. Understood.

Moderator: Sorry to interrupt Riddhesh may we request.

Riddhesh Gandhi: Okay. No problem. I will rejoin.

Moderator: Thank you so much. Our next question comes from the line of Vishal Mehta from IIFL Capital.

Vishal Mehta: Thanks for taking my questions and congratulations on a resilient performance, I would say. So my first question is, I just wanted to understand the tariff -related impact in this quarter. While it's difficult to probably quantify on the volume loss, but if you could quantify discount -related impact that you've had in this quarter? And does it impact both revenues or you just probably take that hit in the cost and it's seen only in margin. So just a clarification there would be helpful?

Dipali Goenka: So see, you cannot quantify this. First of all, let me just put that to you. The important thing is revenue and margins are related because imagine when you are increasing -- most of the retailers increase the retail prices, right? And as a result, you would see a kind of inflation setting in, you will see that kind of an impact in the terms of buying.

So that actually becomes kind of a setback that you would have seen. And yes, the impact has been there, but quantifying it is a little difficult because everything is in your pipeline is on the road in the terms of your goods in transit to the kind of dispatches and to the other things as well.

But yes, it has been a massive impact as well. I just want to say that.

Vishal Mehta: No, ma'am, just the discounting related impact, even that is difficult to quantify as in the discounts that you've given to customers?

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Dipali Goenka: See, it is 25 plus 25%, right? So we were definitely most uncompetitive compared to all the countries, right? So because of our strategic partnerships, we could see how we could work together through these challenging times. So we -- like in the terms of the oil tariffs, how could we take that burden and the reciprocal, how could be -- they could work through. So that's the way we move that forward.

Vishal Mehta: Okay. Fair. The next question probably was on your home textile branded piece. I see in your presentation that the business has broadly stayed flat or a minor decline. But in your comments, you mentioned that Christy grew well, 30 -odd percent plus growth that you've seen in Christy brand. So does this imply your other brands kind of declined? And what led to that? And what's the outlook on your other brands, if you could probably give some sense around that?

Dipali Goenka: Absolutely, Vishal. Let me give you a perspective here. So when we spoke about when you saw your brand sales there, you see even a licensed brand sales, right? So that's where you saw kind of a decline. But when I see about our own brands, that is Christy, Spaces and Welspun, we have seen an uptake. So Christy has had a massive uptake of around 30%, 31%. Even our domestic businesses in Spaces and Welspun have seen an upside, which should continue to grow, yes.

Vishal Mehta: Okay. Fair. And lastly, on advanced textiles, last question. In advanced textile, we have another peer in the industry who's probably growing his advanced textile business well and has not seen kind of a tariff pressure. But we've continued to see pressure in this segment. But going forward, more so, are we looking to add more products in this segment? How are we seeing this particular segment of ours going forward?

Dipali Goenka : So let me first clarify a few things. When you talk about advanced textile, there's a very different kind of this -- there's building materials that come in, which will not get impacted. For us, there are materials that we are doing are spunlace, which is commodity. The others are wet wipes, needle punch where we are making far more innovative products.

So we were not competitive compared to the countries where it was imported from, whether it was Europe, U.K. and primarily United States of America, I would say. But now

with the

opening up of all the FTAs, this becomes a huge opportunity for us. Even in U.S.A. in the terms of wet wipes in the major retailers that we're talking to or even in U.K. and Europe in the terms of innovative products that we are working with or rest of the world as well. So let me just put that in. It's a huge opportunity for us in the advanced textiles, where we will see that growth of double digit and also very strong margins as well.

Moderator: Your next question comes from the line of Rohit Ohri from Progressive Shares.

Rohit Ohri: Two questions from my side. First one being, when you mentioned that our procurement for cotton has a split of 70 -30, my question is that what percentage is imported from U.S., may it be Suprema, Pima or maybe Egyptian cotton? What is the percentage that we take from U.S.?

Dipali Goenka : So see, Egyptian comes in from Egypt. And Prima Suprema and the uplink cotton or cotton grown in U.S.A. comes in from United States of America. And as I said, that 60% to 70% comes

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in from India because India is the primary grower of cotton. 30% is the cotton, which will have that strong mix of U.S. cotton and also the Egyptian cotton and other cottons as well and organic in Australia too.

Rohit Ohri: Okay. My second question, in terms of the traditional sales mix, which we had, which was 60%, maybe America, 40%, U.K. And if we split it further, it becomes 20 U.K. and then Europe is having -- 13%, sorry, and the rest of the world also has -- and with the focus coming on ANZ and Japan.

Do you think that the mix or the pie will shift because in one of the interviews also at Davos, you also did mention about artificial intelligence, which could be applied for fetching better productivity gains or maybe reducing the inventory levels or improving the workforce. So do you think that the pie will shift or it will remain more or less the same?

Dipali Goenka : So I'll tell you one thing, pie will grow. Rohit, the pie is definitely going to grow. So right now, we will see that opportunity upswing coming in. The pie is definitely going to grow in the terms of share of the countries. Earlier, it was primarily -- see, we had a disadvantage of the U.K., Europe impact in the terms of our duty-free element, but now that has opened up. And other FTAs are opening up.

Now you know the Chile coming in, the Peru coming in, the Canada coming in, GCC opening up. Australia, New already happened. Japan is again a very interesting country where you will see again an upside. So this pie will grow. So you can automatically see that across all the categories that we do is where you will see an opportunity.

And when you talk about AI and the workforce, see, you already know that textile is a very labour-intensive industry, right? To get efficiency, to get productivity. AI will be a very interesting element that we are actually exploring and continue to implement in a smaller way and continue to grow that because it's going to be a very big element going forward to keep us competitive here.

Rohit Ohri: Any number you'd like to put in terms of the spends that you'll make probably towards Industry 4.0 and AI going forward?

Dipali Goenka : See, the investments will happen as we go forward, and these actually become a part of the opex cost. So we'll continue to grow here. And we have to get competitive guys. I mean I'm very clear about it. This is something our throughput, our costs, everything will have to get competitive going forward.

Moderator: Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to the management for closing comments.

Dipali Goenka : Thank you. As we close quarter 3 FY '26, the external environment is beginning to turn more constructive. The recent trade agreements meaningfully enhance our export comp

etitiveness in

our core and emerging product portfolio across all global markets. At the same time, India becomes a very important opportunity for our domestic brands, supported by improving

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affordability and steady consumer demand. The investments we have made over the past few years in capacity, capabilities and brands position us well to capitalize on emerging opportunities. Thank you for your continued trust and support. We look forward to engaging with you again next quarter.

Moderator: Thank you. On behalf of JM Financial, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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"Welspun Living Limited
Q4 FY26 Post Results Earnings Conference Call "
May 15, 2026

MANAGEMENT : MS. DIPALI GOENKA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – WELSPUN LIVING
LIMITED
MR. MANISH BANSAL – CHIEF FINANCIAL OFFICER –
WELSPUN LIVING LIMITED
MS. BHARTI AGARWAL – HEAD INVESTOR RELATIONS
– WELSPUN LIVING LIMITED

MODERATOR MS. ARADHANA JAIN – 360 ONE CAPITAL

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Moderator: Ladies and gentlemen, good day and welcome to the Welspun Living 4Q FY26 Post Results Earnings Conference Call hosted by 360 ONE Capital Market. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Aradhana Jain from 360 ONE Capital. Thank you, and over to you, ma'am.

Aradhana Jain: Thank you, Dorwin . Good afternoon, everyone. On behalf of 360 ONE Capital Market, I welcome all participants and the management of Welspun Living to the 4Q FY26 con call. Without much ado, I'll hand over the call to Ms. Bharti Agarwal, Head Investor Relations, Welspun Living to introduce the management. Over to you, Bharti.

Bharti Agarwal: Thank you, Aradhana and good afternoon, everyone. On behalf of Welspun Living Limited, I would like to welcome you all to the full year and fourth quarter FY 2026 earnings call. Joining me on the call today are Ms. Dipali Goenka, Managing Director and CEO and Mr. Manish Bansal, Chief Financial Officer.

We hope you've had the opportunity to review the earnings presentation, which has been filed with the exchanges today and is available on our website. During the course of today's discussion, we will make references from this presentation. While there is no change in the disclosure, we have refreshed the presentation this quarter to better reflect the business narrative and strategic progress in a more intuitive manner.

We will now begin with the opening remarks from the management, following which we will open the floor for a Q&A session. Should you have any additional questions after the call, please feel free to reach out to us. With that, I would now like to hand over the call to Ms. Dipali Goenka. Over to you, ma'am.

Dipali Goenka : Thank you, Bharti. Good afternoon, and thank you for joining us for Welspun Living's Q4 and Full Year FY26 Earnings Call. FY26 navigated pronounced external disruptions - tariff volatility, geopolitical tensions, and demand softness, with Q4 marking a decisive sequential inflection driven by sharper execution and strengthening business momentum.

Revenues improved quarter -on-quarter. Margins stepped up meaningfully. Cash flows remained strong and execution momentum is clearly visible entering FY27. Q4 revenue grew 7.7% sequentially. Q4 EBITDA margin improved to 10.8%, up 313 bps quarter -on-quarter. Full year free cash flow generation of INR956 crores. Net debt reduced by 52% year -on-year to INR775 crores.

What changed this quarter is very important. Volume stabilized with ease in U.S. tariff uncertainty and emerging FTA, creating stronger market access. Cost actions taken through the Welspun Living Limited
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year began to flow through. Strong growth momentum in our branded business, 44% year-on-year growth in Welspun and 19% year-on-year growth in Spaces.

Management actions through FY26 were deliberate and disciplined. We protected customer relationships and focused on geographic diversification, with our non-U.S. share expanding to 41%. We intensified cost discipline and optimized working capital, delivering structural cost efficiencies. Our investments in innovation, sustainability and nearshore manufacturing continued, and we ended the year on a positive note with the commencement of commercial production at a Nevada Greenfield pillow facility on 31st March 2026.

As we look ahead, our operating guard rails for FY27 are clear, driving profitable growth and margin recovery led by operating leverage and mix improvement. Navigating global market dynamics and macroeconomic

volatility with agility and sharp execution continued balance

sheet strengthening with strong working capital discipline. Q4 was about stabilization. FY27 will be about scaling profitably and responsibly.

Turning to our performance highlights.

FY26 was marked by sharp external volatility, driven by U.S. trade uncertainty and disruption from the West Asia conflict, which pressured freight, energy and commodity costs across global supply. At the same time, a clear structural shift is underway with India strengthening its position as a preferred sourcing destination following progress on trade framework with the U.S., U.K., Europe, Japan and Australia. The EU and U.K. together represent a home textile market of over USD 30 billion, where FTA structurally enhance India's competitiveness and create multiyear growth opportunities beyond the U.S.

Against this backdrop, our FY26 consolidated revenues stood at INR9,468 crores, down 11.5% year-on-year to a period that I would characterize not as a reversal of a fundamental but as a year of external shock absorption. EBITDA margins for the full year stood at 9.1%, reflected of a deliberate choice to protect customer relationships, capacity and talent, through an exceptionally difficult operating environment.

The fourth quarter showed green shoots. Consolidated quarterly revenue grew 7.7% sequentially. EBITDA margin for the quarter stood at 10.8%, a meaningful sequential step-up of 313 BPS, reflecting both operating discipline and the benefits of sustained cost optimization efforts. Our home textile business remained impacted by cautious retail buying and tariff uncertainty, with FY26 revenues declining 11.2%.

However, India remains a stable sourcing destination with 45% share in cotton terry towels and 60% share in cotton sheets as per OTEXA. At the same time, we continue to focus on geographic diversification beyond the U.S., with expansion in share to 41% in FY26 across Europe, U.K., India and ROW. With emerging FTAs, creating stronger market access and tariff competitiveness, our non-U.S. growth strategy becomes increasingly important in building a more balanced, resilient and future-ready global portfolio.

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The pillow utility and fashion bedding remain high potential categories. Our Ohio pillow facility continues to ramp up well with utilization now at 60% and we doubled the business this year to USD 27.5 million from \$15 million in FY25.

We also partially commenced commercial production at our Nevada pillow facility in March 2026, further strengthening our local manufacturing presence and long-term play in U.S. sleep ecosystem.

Another key strategic priority is strengthening our branded and consumer-based portfolio, which contributed 19.3% of FY26 revenues and continues to improve the quality of growth.

Our global brands accounted for 12% of our business and continue to deepen shares presence across key international markets. Christy delivered 15% growth in FY26, driven by strong U.K. performance, improving U.S. e-commerce traction and sharper brand positioning penetration. A homegrown brand, Welhome, built around elevated comfort design and value also scaled up meaningfully, delivering USD 19.4 million in revenues with strong traction across North America and expansion underway in Japan, the U.K., China and Taiwan. Welhome is well positioned for a double-digit growth.

We've also seen strong momentum in institutional business through our brand Welspun Hospitality with growing presence across marquee hospitality chains globally, including Hyatt, IHG, Wyndham Hotels & Resorts, and Marriott International. This channel strengthens our premium positioning, drive specification led demand and creates a strong bridge between B2B sales and B2C brand visibility.

In India, our consumer brands, Welspun and Spaces delivered strong momentum, growing 44% and 19

% Y-o-Y, respectively, in quarter 4, supported by stronger brand salience, premiumization, and sharper channel execution. Taken together, our branded portfolio is becoming a meaningful long-term growth engine, improving margin resilience stronger customer stickiness and a structurally superior business mix.

India continues to be one of the structural growth story for our business. And the domestic consumer business remains a key strategic growth engine. In Q4 FY26, the business delivered an outstanding performance with revenue growing 29.2% Y-on-Y and achieving EBITDA breakeven for the quarter.

For the full year, domestic revenue stood at INR657 crores, up 9% Y-on-Y, reflecting improving scale, stronger execution and a healthier business mix and continued channel diversification.

This momentum is being driven by strong performance of our Welspun and Spaces brand.

Domestic Flooring business also continued its strong trajectory, growing 18% Y-on-Y for the full year, with healthy contributions from housing, hospitality and institutional demand. This growth is further supported by our focused engagement with architects, interior designers, and project contractors helping us, strengthened specification, let demand.

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The broader India's macros remain supportive, easing retail inflation and rising urban and rural disposable income provides a compelling tailwind for our domestic business. We are investing ahead of this goal, deepening distribution, expanding our product range and strengthening our brand equity.

Our Global Flooring business saw the sharpest impact from West Asia logistics disruption and U.S. tariff headwinds through FY26, resulting in a 25.1% year-on-year revenue decline. While near-term performance has been pressured, the structural fundamentals of business remain intact. Our focus is on regional diversification across ANZ, Canada, and the Middle East, backed by strong customer partnerships with a meaningful recovery, particularly in soft flooring expected over the coming year.

Our Advanced Textiles business operated in a softer global demand environment during FY26 with revenues declining 20% Y-on-Y to INR452 crores. Primarily due to volume pressure and slower export uptake. At the same time, we secured important wins through high-value niche applications, including sustainable hygiene solutions, fem care, specialty wipes, protective apparel and insulation, reinforcing a strategic shift towards value-added and differentiated categories. The medium-term outlook for this business remains constructive. The U.K. and the EU FTAs materially strengthening our access to key European markets for technical textiles, specialty non-wovens and wipes, where quality, compliance and sustainability are critical purchasing prices.

Sustainability and innovation continue to be two of Welspun Living's strongest competitive moat. In FY26, our sustainability leadership achieved strong global recognition with Welspun Living being ranked number one globally in the textile apparel and luxury goods category. In 2025, S&P Global Corporate Sustainability Assessment with a score of 90.

We have also initiated a supplier focused program, Step Zero which aims to build a strong partnership with our suppliers who will play a key role in carbon mitigation in the entire value chain. Now, global retailers increasingly making sourcing decisions based on ESG compliance with traceability and long-term resilience.

Our sustainability leadership becomes increasingly important. We remain firmly on track towards the FY '30 commitments of 100% renewable energy and 100% sustainable cotton. Alongside this, our innovation portfolio, such as HygroCotton, GX Pillow, and Wel-Trak continue to support premiumization and customer stickiness, contributing 22% of our business. During the

quarter, we filed two new patents, taking a total IP portfolio to 50 patents, further strengthening our long-term differentiation and value creation.

We enter FY27 with greater clarity and strengthened competitive position supported by structural tailwinds that are steadily coming into play. The benefits from FTAs are multiyear and durable. The U.S. retail environment is stabilizing with some near-term overhang still persist. And India's domestic growth momentum continues to accelerate. Importantly, our operating model has been stress-tested and sharpened through a challenging cycle, leaving us better prepared to capitalize on the next phase of growth.

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FY27 will be a year of measured volume recovery and margin progression and we expect to exit the year on a stronger growth trajectory targeting double-digit growth. By a structural tailwind in the form of tariff easing and FTAs are coming into play, the global macro environment remains uncertain with a continuously evolving geopolitical trade landscape.

Against this backdrop, our operating model has been a rigorously stress tested and strengthened positioning us to deliver our sharper growth trajectory with double -digit growth and EBITDA margins advancing into the teens in FY27. With that, I will hand over to Manish to take you through the detailed financial performance. Thank you.

Manish Bansal: Thank you, Dipali, and good afternoon, everyone. Let me take you through the detailed financial performance for our Q4 FY26 and full year to FY26. The quarter showed clear signs of sequential improvement across both revenue and profitability. Consolidated revenue improved by 7.7% over Q3, which indicate early signs of improving customer demand and better visibility as tariff uncertainties started easing.

Q4 EBITDA margin stood at 10.8% improved by 313 basis points sequentially from 7.7% in Q3. This was supported by better utilization, improved product mix, cost rationalization and favorable forex realization. FY26 consolidated revenue stood at INR9,468 crores, a decline of 11.5% year -on-year, reflecting the impact of U.S. tariff headwind, cautious retailers buying and softer discretionary demand in our key export markets, especially during the first half of the year.

Full year EBITDA margin stood at 9.1% compared to 13.6% last year. The margin dilution is primarily attributable to lower volume and tariff -related realization impact.

As committed, we undertook focus action to strengthen governance and financial discipline. And I'm pleased to share the outcomes. Tighter controls led to a reduction in debtors and inventory by INR345 crores, improved net working capital by INR776 crores, driving a significant improvement in free cash flow to INR956 crores, up 8.5x year -on-year. This enables a sharp reduction in net debt to INR775 crores, down 52% from last year.

Cash conversion cycle at 82 days improved meaningfully versus last few years, demonstrating stronger operating control across businesses. Total capex for FY26 stood at INR472 crores, focused on productivity improvement, sustainability and selective growth opportunity. For FY27, we expect capex in the range of INR400 crores to INR500 crores, largely towards modernization, automation and debottlenecking operations.

We refer to our intimation dated July 30, 2025 of our Board of Directors' approval for a capital expenditure of USD 13 million for setting up pillow manufacturing unit at Nevada. We are pleased to share that our Nevada Pillow facility is in the U.S. partially commenced commercial production of 4.5 million pieces from March 31, 2026.

This strengthens our local manufacturing presence in U.S. and support our long -term growth strategy in the sleep solution category. Reflecting our continued focus on disciplined capital allocation and long -term shareholder value creation, I am pleased to inform that Bo

ard has

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approved buyback of equity shares of the company at a price of INR175 per share for an aggregated amount not exceeding to INR252 crores/

And dividend recommendation at 10% per equity share for the financial year 2026, subject to shareholders' approval. We remain focused on improving margins, strengthening cash flows and maintaining capital discipline as demand gradually normalize. With that, I will now leave the floor open for question and answers. Thank you very much.

Moderator : Thank you very much. We will now begin the question and answer session. Our first question comes from the line of Perna Jhunjunwala from Elara Securities.

Perna Jhunjunwala: Thank you and a good improvement on a quarter -on-quarter basis. I wanted to understand that the tariff situation now that there are talks about tariff refund to continue. So what are your hearings on tariff go ahead. How should we assume the utilization levels improving for you for '27 and moving forward?

Dipali Goenka : Perna, thank you for your question. First of all, I think, let me get the clarity on the tariffs, how it actually evolved. It started from March, 10% and then it moved to 25% and then 28th August onwards, it moved to 50%. And then the next February, it came back to 10%. And now this whole thing of the tariff refund that is coming through.

So there's a conversation that's happening, but I want to just give you a scenario here. Our more than 80% of our business is FOB and where we basically have to work with the customers on the tariff refund. And the other -- the rest of it also, there is a conversation that is happening. And so we let you know when the clarity gets better there.

Now when you talk about the utilization, as we spoke about our numbers, that the growth that we're talking about, we definitely are seeing a utilization getting better in towels and sheets and even in bath rugs. The utilization will be above more than 86% across all the three categories as we go forward. So yes, things that may look better because even in the toughest times of that, we didn't lose any customer. The conversations we worked on partnerships and strategy.

Perna Jhunjunwala: That's very encouraging at 86% reversal to -- 86% in FY26. How do we see margins in light of increasing cotton prices, are we getting price hikes from customers or tariff refunds actually play

as a cushion for next year? Just wanted some clarity on that also given cotton prices have increased sharply in the last two months?

Dipali Goenka : So it is not just cotton. I think let me also tell you that cotton prices have gone up by 10%. The man-made fibers have gone up by more than 20% and the crude by 40%. So overall, it was straightly impacts the whole commodity cost that we need. However, we 'll work on our -- as we spoke about this year also.

We did a lot of governance cost controls that will play a very big role. And whenever these kind of things happen and even in the tariff situation that we had, we talked about a 50%, 50% sharing. So here are also conversations that are happening with the customers. And wherever it is needed, we will discuss how the prices will have to be passed, Perna.

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Perna Jhunjunwala: So, ma'am, can we assume some -- do you think that there will be some margin pressure continuing at least in the first half, given the pressure on -- given these cost escalations or a regular improvement in margins is doable given tariffs are not there?

Dipali Goenka : So as I spoke about a double -digit growth in the top line, it also kind of a teen kind of EBITDA margin. I think that's what will sum up everything, Perna, at the moment, because that will -- there are a lot of factors and the terms of everything that will contribute to that, right?

Perna Jhunjunwala: Understood, ma'am. And last q

uestion is on Flooring business. How do we see traction over there? And where do we see the segment moving ahead in next 2 years?

Dipali Goenka : So here, Perna, just -- I think the most vulnerable business to the whole Middle East and the other has been Flooring. But I must tell you, there has been -- soft flooring has seen an upside. And it has a positive margin potential 20% plus and a CAGR potential growth. So it is all owing to the commercial segment traction in U.S. co -branded carpet tiles collections and also our diversification in Australia and New Zealand.

So the soft flooring is something that we definitely see an upside there. And a lot of opportunities are there in terms of innovation and focus on the domestic flooring where the businesses are growing, all the commercial opportunities that you see, the architects and the interior designers. So definitely, we'll continue to grow this even better. So the soft flooring and the domestic flooring definitely ceases. And when we talk about the hard flooring, we are rationalizing the portfolio and you're protecting our margins here. A lot of work has been done here , Perna. And we will look at how we grow prudently in the terms of margins and also the top line.

Perna Jhunjunwala: On Flooring, what are the kind of opportunities with FTA -driven countries? Because you mentioned about U.S. in this entire response, but it would be great if we could understand what would be the opportunity in U.K., Europe, eventually that could support this or accelerate this growth going forward?

Dipali Goenka : Perna, as I spoke about Australia, New Zealand, Middle East, Europe, these all will open up in a big way. As you also know that a landscape of our hospitality and the commercial in America that we have penetrated, the same way we are penetrating into the commercial and the hospitality space in U.K. and Europe. So that will also add on to our FTA -- FTA will add on to the upside here in the terms of Flooring.

Moderator : Our next question is from the line of Shradha Agrawal from Asian Market Securities.

Shradha Agrawal: Congratulations, Dipali, on a good quarter. And also appreciate the confidence you are giving for FY27. So just had two questions. One is given the rising inflation in the U.S., how do you see that impacting retail demand in '27? And against that backdrop, what gives us confidence of improvement in utilization levels . Don't you think that increasing inflation will have some impact on consumer demand?

Dipali Goenka : Shradha, a very good question. First of all, yes, inflation could be up in America. However, the retail demand is still very robust. So we see that kind of a strong buy in America. But I think in

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the conversation that we spoke about, we have actually our non -U.S. markets have also contributed 41% of our top line.

So now with the FTA, as we see U.K. opening up by June end, the U.K. FTA happens by June end. So I think the second quarter will see that happening, that Europe will happen in January. So we will definitely see the upside of these kind of businesses as well, apart from the other rest of the world countries that we're looking at. So to your question, U.S. is the world's biggest consumption economy. And with even where we are looking at the inflation, we will still see the growth there, comparatively even to the last year, Shradha.

Shradha Agrawal: Right. And the second question is again on macro. So with rupee, USD levels -- of USD, rupees now at INR96. So are clients pressing us to pass on the rupee depreciation benefits or is there

any change to our contractual terms with clients? Or is there any change in hedging policy? And what is our current hedge cover? And how should we look at hedging gains or loss, assuming the current spot rate of INR96 to continue into '27?

Dipali Goenka : So Shradha, we don't work -- our whole po

licy has remained constant for years and we remain

there. Now let me tell you, when you talk about the cost, I will say currency is at 96. But if you look at the others, crude oil is at 40% up. Cotton is at 10%. Yarn terry towel is up 20%, 30%. Yarn bedsheet is up 20%, 30%.

The dyes and chemicals up 20%, the man-made fiber and the polymers are up 20%. So then you are setting up that cost. So customers totally understand that. We completely are talking with them in close conversation around what is the kind of net delta that we are looking at. So there's no net delta gain even with the rupee where it is. So we are working and we'll work on how we can look at sharing the costs as well.

Shradha Agrawal: Right. And secondly, in terms of utilization for our utility bedding plant in the U.S. So I think the first plant is already operating at 60% utilization. So how should we look at the guidance of utilization improvement for the first part and the partial beginning of ramp-up of the second plant. So how should we look at the ramp-up there?

Dipali Goenka : So first of all, let me just give you two scenarios. When we talk about both the pillow plants, they are one is in the Midwest, One is in Ohio. The other is on the West Coast. And these are bulky products. So they will need -- they have to be closer to the DCs and the warehousing of our customers.

So they both will have their demands accordingly. But Ohio is at 60%, which will definitely ramp up ahead. And also with Nevada, along with man-made filling that we're going to do, we're also going to do natural fiber. So that will also add on a category and a kind of an upside on our UVR also.

Shradha Agrawal: Right. But what is the kind of potential revenue expected from the Nevada facility in '27?

Dipali Goenka : They literally will double. So see, I'll tell you, this year, we did around \$27 million. Next year, we intend to double that, we are talking about \$60 million. So that's the kind of a visibility that we are seeing for the next year.

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Moderator : Our next question is from the line of Anand S. from Avendus Spark.

Anand. S : Just wanted to understand a bit on the medium-term revenue aspirations that we had in terms of, let's say, INR15,000 crores kind of a number. I understand while the prospects in between have changed, how are we looking at that number currently? That is one. In terms of which segment we are looking to drive the growth or, let's say, in the next couple of years? That's my second question? And possibly, one other in terms of what's the peak revenue potential that we have in our existing capacities? And what's the capex that we need to achieve that INR15,000 crores kind of a number broadly?

Dipali Goenka : So first of all, when you talked about our INR15,000 crores, owing to the current, we look at next three years that we will achieve these numbers. And in the current optimized capacity that we're looking at, we can move up to around INR11,500 to INR12,000 crores. That's where we are looking at it.

And when we talk about the growth, I think let me tell you, we are the leaders in both category across and now present in more than 50 countries, we would take this in with the FTA opportunity. We want to see our towels across, and that's a great opportunity of growth that we're looking at.

Our sleep sequential system that we have created for pillows, which actually is as big category as towels, we'll again see kind of an upside there. So these are important categories. Apart from that, the other growth will come in from our brands. And I think India has had an inflection point. I know right now the per capita consumption where it looks like. But I think as we go forward, we definitely will see an upside here.

Our target towards INR1,000 crores is absolutely spot on here. We will see that growth happening here, along with our brand, We

lhome, and Christy, which is a premium U.K. brand.

which actually is growing and is having a good robust footprint. We'll see a good traction in brands as well. So this is where we are seeing our next footprint happen.

Moderator : Our next question is from the line of Shweta Sharma from Arihant Capital.

Shweta Sharma: Yes. So ma'am, we saw a domestic consumer business and impressive growth in Q4. So the -- while the global remains mixed. So are you seeing any sign of restocking from a major U.S. and Europe retailers for the upcoming holiday season? Or is the current demand still primarily driven by a replacement cycle rather than expansion inventory building?

Dipali Goenka : See, I'll tell you one thing. We are looking at kind of a reasonable growth next year. And as I

spoke about in my speech as well, that our top line will grow by a double digit. And that's what we are maintaining across the globe. Indian market will again grow at a rate of around 26% to 30%. So that's what we're also maintaining.

So we will see this kind of a growth coming in from whether it's United States of America or U.K., Europe. And I think the FTAs where you will see most of the FTA is opening up. U.K., as I spoke about, is already right on the corner, Europe by January end. I think -- and more -- and more and more FTAs opening up could be a great opportunity for us as well.

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Shweta Sharma: Okay. So with the new FTAs in place, what's the strategy for soft flooring in the U.K. and Europe? And do you expect this segment to achieve margin parity with the core home textile business by the end of FY27?

Dipali Goenka : So, both businesses are very different. However, we definitely will have an advantage with the FTAs opening up in U.K., Europe. We already are working with Middle East, Australia, New Zealand. So yes, we definitely will have that upside. The margin parity is down about the same.

Shweta Sharma: Okay. And some -- like India and U.S. trade agreement reducing tariffs from 50% to 18% in Feb. So how much this benefit has been retained as margin expansion compared to passed on to retailers to regain the market share lost during the high tariff period?

Dipali Goenka : So we didn't lose any market share, first of all. We retained each and every customer. So that is something that is there. And I think it moved from 50% to 10%. And now the BTA is having, whether it will be 15% or 18%, that conversation is happening. But always, it is a conversation with the customers as a partnerships. So it's going to be definitely a 50-50, and that's the conversation we've already been having with our customers on.

Moderator : Our next question is from the line of Aradhana Jain from 360 ONE Capital.

Aradhana Jain: And congratulations on the good set of numbers. Just a couple of questions from my end. One, to continue with the previous participant's question on the U.S. tariff side. We are at 10% today. The Section 122 is applicable, I guess, till June end. After that, you are saying maybe we go to 15% or 18%.

And there's also Section 301, which has been initiated on a lot of countries, including India. And say, if that also gets concluded, because of all of this uncertainty, have you seen any meaningful change in the ordering behavior from, say, the larger retailers over the last two, three months, and the tariff-related discussions globally? That's my first question?

Dipali Goenka : No. So first of all, this year till July 24 is our 10% that we're talking about and the conversation is still happening with the government regarding the BTA that is happening. So one thing is that we had a close conversation with our customers, practically every day in America since our team is already there on the ground. And we are not seeing any kind of a disruption there. So that way, I think we are pretty okay with that. Anything -- in fact, I know -- I mean

, as I spoke about the

utilization also. Our utilization is around 86% and above. So this also is contributing to that factor of utilization increase.

Aradhana Jain: Understood. And second is, there's already a discussion on the cotton and yarn price increase. But ultimately, we as a downstream player, we'll have to either take the hit by ourselves or pass it on. But is the industry currently able to pass on the raw material inflation smoothly? Or does the weak global demand backdrop limit the sort of pricing power?

Dipali Goenka : So there are conversations that will happen with customers. And there is definitely that opportunity that we will work together to share the load. And that is something that we are looking at with our customers. That will have to be shared and the conversations are on accordingly.

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Aradhana Jain: Understood. And lastly, any guidance on the EBITDA margin side, by when do we expect to get closer or back to the 14%, 15% kind of range at the EBITDA level?

Dipali Goenka : So despite the macro factors that you are seeing today and you know that how tough these are. We are looking at a double-digit growth and a kind of a teen EBITDA in our next year plan. So that actually speaks it all.

Moderator : Our next question is from the line of Shirish Pardeshi from Motilal Oswal.

Shirish Pardeshi: On the Slide 10, I'm reading global B2B and others is contributing 52% of the business. And Y-o-Y, it has declined by 12%. So two questions. Have we lost any customer here or it's a linear decline because they are sitting in U.S. and everybody has declined in terms of their ordering?

Dipali Goenka : No, there's no loss of any customer. It is the kind of a demand decrease because there was uncertainty, right? Once the tariff was 10%, another 25%, then India becomes a 50%, right? So hence, there was this uncertainty flavor that was there, which actually was -- there was a lot of

communication that happened with the customers, and that's where it is. So there's no loss because of any customer losses.

Shirish Pardeshi: So when you look at the past 12 months and next 12 months forward, this INR4,400 crores business will see what -- what run speed for FY27?

Dipali Goenka : We actually are looking at -- when you're looking at a double -digit growth here, and I spoke about it earlier as well. And we are also not just seeing the America market grow. And as I spoke about U.K., Europe, contributing around 41% this quarter, which will also be an opportunity because the FTAs like U.K. will happen in June end, and Europe will happen in January end. I think that's something that we are seeing as a potential opportunity as well.

Shirish Pardeshi: I heard that Dipali, but the question here is that you have Ohio and Nevada coming up and scaling up. So what will be the U.S. growth you are cancel ling in?

Dipali Goenka : No, U.S. will be primarily contributing to the growth. And pillows is already, as I spoke about, this year, we clocked around \$27 million. We are going to clock double \$60 million actually literally next year on our pillows. So Ohio and Nevada will contribute to that. And U.S.A. definitely is going to be a very big one in the contribution of a growth of a double -digit growth as we see at Welspun Living Limited on B2B Global.

Shirish Pardeshi: Given the RM challenges and tariff situation, what is the margin we would be doing? I mean, I don't know whether you share that in '26. But this 52% business, I would assume that would have an EBITDA margin of about 5% and 6%. I don't know whether it's righ t or wrong, you will correct me?

Dipali Goenka : No.

Shirish Pardeshi: But how does this pan out in FY27?

Dipali Goenka : So see, we don't -- the thing is, as I spoke about, we'll have a double -digit growth and a teen EBITDA. So that at least speaks it all. And we are not 5% to 7%. We should do better, h

onestly.

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Shirish Pardeshi: Okay. And last question on the Flooring business, which is about INR700-odd crores, B2B and branded. Yes. I mean, this business to my best understanding has a lot of momentum, and we also have a capability. But some of this business has not been able to scale up. I don't know what is your expectation, but it has not done w ell over the last two, three years. So next two, three years, if we build this number, what kind of business we can see that?

Dipali Goenka : Flooring, INR1,000 crores kind of a number we are talking about right now. And we are talking about soft flooring completely growing. And I think that's where we see a great opportunity because there's a potential even with the FTAs that are opening up. Only the hard f looring bit, which we have -- which is a very small part of it will -- which is we are controlling very prudently and also looking at kind of a margin control there as well.

So we are good to go under soft flooring and with the FTAs opening up in U.K., Europe and also in the Middle East and Australia and New Zealand and also the India market, as I spoke about, has grown 30%, and we also are anticipating to grow next year at 30 % is a good opportunity here. And you are right. Flooring has seen the biggest impact due to the macroeconomics more than anything else.

Shirish Pardeshi: Okay. And just last question, if I could squeeze in. This INR252 crores buyback, how one should look at the capital allocation because you also have a debt of about INR700-odd crores. So next two, three years, is there any guidance you can give how we should be looking at these numbers?

Dipali Goenka : Sure. Manish?

Manish Bansal: Manish here. So, thank you for the question. So basically, as I mentioned, this is coming out from our cash. So, in this year, we have done well in terms of our cash flow managed working capital management, and we will continue to do that. So, we are looking in ideal world next year, debt free company -- net debt zero company, unless we plan any additional capex or any special requirement, but otherwise, if all goes well, that we will be net debt zero company next year.

Moderator : Our next question is from the line of Ronak Shah with Equirus Securities.

Ronak Shah: So, my question is regarding the Advanced Textile segment. So, though it is a relatively smaller segment in our overall piece, but how you are seeing the growth rates and the opportunity in this business considering there are so much noise into the street regarding this?

Dipali Goenka : Advanced Textile, we are actually moving from the commoditized product to value -added offering. We primarily focus on consumer segment here. And we are going to look at kind of EBITDA steady state of around more than -- around 20% here. And our focus segm ents will be Hometech, Medtech, and Indotech.

And of course, right now in 2026, we secured strong wins across sustainable diapers, fem care, specialty wipes, protective apparel and jacket insulation. So I can just sum it up by saying that Advanced Textile will be focused on innovation -led positioning. As you know, the company also has 50 -plus patents. There's a lot of strong product development happening here as well.

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Ronak Shah: Understood. And my second question is regarding in case, companies coming up with any sort of M&A opportunity, what will be the space you will be focusing on?

Dipali Goenka : So that's something will have to be seen because as you have literally seen that our opportunities also in the brands that we are working in globally, I mean our own brands that we have. We have opportunities for growth in different countries. So let's see, these are all open ended and we are open to those opportunities actually.

Moderator : Thank you. Our next question is from the line

of Jaysheem Khetani with JFK Finsev .

Jaysheem Khetani : A good set of numbers comparing the previous quarters. So one question that I wanted to ask that I think in the last call, you had talked about entering the GCC region as well. I think you're already operating that?

Dipali Goenka : Yes.

Jaysheem Khetani : Yes. So due to this war impact, how much of the business impact do we see over there? And in general, due to the Strait of Hormuz closure, so what is the other impact that you are seeing?

Dipali Goenka : So, GCC region actually is 2% of our revenue. So -- and most of the businesses are FOB. So here, it actually is something we'll wait and watch until this whole clears up. So the impact on our business is very, very minimal.

Jaysheem Khetani : Okay. And so what about the export that we are doing from -- to the other countries? So will that be impacted due to the closure of the Strait?

Dipali Goenka : No. If you remember, we also have the Red Sea issue. And the whole -- there's always been that thing of Cape of Good Hope. So it goes around the Cape of Good Hope, it takes 15 to 20 days.

And I think the whole trade and commerce has been working accordingly for the long time as well. So I think we're all used to that now. So that's what will continue here.

Jaysheem Khetani : Okay, okay. And one more question, what I wanted to ask is, so about the facilities that we have in the U.S. So are we planning to expand aggressively or the guidance that you gave, that is what we are planning as of now?

Dipali Goenka : See, right now, the opportunities that we are -- we have these two own organic facilities that we have put up, which are absolutely state-of-the-art. Ohio and now Nevada, which commissioned on 31st March, we are going to look at it, plus we have a lot of partnerships there who we are working with there, not only in U.S. but also in Canada.

So we are looking at it, and it's not only retail, but also in hospitality. So we are very focused in what we are doing. As I've said, we did \$27.5 million this year. We'll be doing -- we're doubling it to \$60 million next year. So that's where and we'll continue to grow this. Our goal will continue to be adding value-added products and better and best category more than anything else and focus on sleep as a category, which will not only be pillows, but also the utility bedding.

Moderator : Our next question is from the line of Hemant Shah with ENAM Asset Management Company.

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Hemant Shah: Two questions on the domestic business. This quarter saw a robust growth. So what has led to the growth in both the B2B and the branded business? And second is for FY27, on the domestic online business, do you see growth coming from that business as well? Or would it be the offline business that will grow the branded domestic business?

Dipali Goenka : So India, actually, it continues to be the bright spot for us in the global economy that we are talking about. Our both brands, like Spaces actually grew 19% in fourth quarter and Welspun grew 44% in the fourth quarter. And so we are absolutely focused. The channels are very, very different here. One is your general trade.

The other is your modern trade, the other is the regional trade. And the other is your commercial and hospitality chains that we have. And this is all offline. When you talked about e-commerce, I think the focus is on quick commerce and also in e-commerce to that extent. But I think the India is a very mixed market. And finally, the mom-and-pop stores really ruled the roof here. So we'll be focused on the offline and online as the opportunities come in, and we will have our own -- we also have our D2C brand -- branded exposure. So we are working on that as well.

Hemant Shah: And on the domestic B2B side?

Dipali Goenka : The B2B, all hospitality. We are working on the hospitality chains. And as you know, we are

present globally. We have great partnerships in the United States of America, U.K., Europe. And those are the brands also that are coming in here. So that is, again, a very good opportunity for us. The religious tourism which is growing at a rate of 20%, is again a very good opportunity for us. And so the B2B is, again, going to be a very important aspect. And so that's what it will be. It's a brand that's a B2C and our B2B and D2C.

Moderator : Our next question is from the line of Perna Jhunjhunwala from Elara Securities.

Perna Jhunjhunwala: Wanted to check on cotton inventory, how many months of cotton inventory do we have?

Dipali Goenka : So we have an inventory cover until October. And so we are covered primarily until October.

And we'll continue to buy yarn, when we require a little bit here and there. So till the next season comes, that's what we have.

Perna Jhunjhunwala: Okay. And what is our hedge position today? Are we maintaining that 65/35 ratio?

Dipali Goenka : No, Perna. That's what we maintain as a group at Welspun world, and we maintain that across all our companies, group companies.

Moderator : Our next question comes from the line of Rohit Ohri with Progressive Shares.

Rohit Ohri: Dipali, two questions. First one on this total turnover that we have, how much percentage or what value would you give to premiumization?

Dipali Goenka : So if we talk about it, 22% of our contribution comes in from innovation. And as you saw, our brands also grow. That, again, is important. Our branded business was around 19%. So definitely, that's again a good opportunity for us. So these are important aspects of what we are looking at our growth that is coming in.

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Rohit Ohri: On the ROCE, do you have any guidance to share with us for the next three years or so?

Dipali Goenka : So ROCE will continue to improve. This year has been a challenging one, and I know it was. But we'll come back to where we were and in fact, better it as we go forward. And that is something that we are seeing and we are very positive about it.

Rohit Ohri: And that growth would be?

Dipali Goenka : Say about -- around more than 15%.

Rohit Ohri: Okay. But that's going to be asset heavy or asset light?

Dipali Goenka : Asset -light right now.

Moderator : We have no further questions, ladies and gentlemen. I would now like to hand the conference over to the management for closing comments.

Dipali Goenka : So thank you, Robin. FY26 was a year that tested our resilience. We chose to protect what matters most to our people, our customer relationships, our capacity and the brand equity through a difficult cycle. That was the right choice and the early green shoots in Q4 FY26 validate that view.

While the global macro environment remains fluid and no -term uncertainties persist, the structural outlook is turning more positive. India's evolving FTA architecture creates a strong long-term advantage as the West Asia situation remains uncertain and requires close monitoring. At the same time, India's domestic consumption momentum continues to strengthen.

At Welspun Living we enter FY27 with the balance sheet strength, operational discipline, brand equity and customer relationships to emerge as a stronger, more valuable business. We are not just managing through this moment, we are positioning to lead the next chapter. Thank you for your continued trust and confidence in Welspun Living. We look forward to a constructive conversation. For any further queries, please feel free to connect with the investor relations team. Thank you.

Moderator : Thank you. On behalf of 360 ONE Capital Market, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.